

Voltas Ltd. (VOLTAS)

Conference call transcripts, oldest-first. 13 call(s). Generated 2026-06-08.

Call: May 2023

4th May, 2023

BSE Limited National Stock Exchange of India Limited
Department of Corporate Services Listing Department
Phiroze Jeejeebhoy Towers Exchange Plaza
Dalal Street Bandra-Kurla Complex
Mumbai 400 001 Bandra (East), Mumbai 400 051
Scrip Code: 500575 NSE Symbol: VOLTAS

Dear Sirs,

Sub: Transcript of the Conference Call pertaining to Financial Results

Further to our letter dated 26th April, 2023, we enclose herewith a copy of the transcript of the Q4 FY23 Earnings Call on the Audited Financial Results (Standalone and Consolidated) of the Company for the quarter/year ended 31st March, 2023 held on 27th April, 2023.

2. The same is also available on the Company's website at
https://www.voltas.in/images/Investor/schedule-announcements/download/Voltas_Earnings_Call_Transcript_Q4_FY23.pdf

Thanking you,

Yours faithfully,
VOLTAS LIMITED

V. P. Malhotra
Head – Taxation,
Legal & Company Secretary

Enc.

Page 1 of 16

"Voltas Limited
Q4 FY '23 Earnings Conference Call"
April 27, 2023

MANAGEMENT : MR. JITENDER VERMA – CHIEF FINANCIAL OFFICER –
VOLTAS LIMITED
MR. MANISH DESAI – HEAD CORPORATE FINANCE –
VOLTAS LIMITED
MR. VAIBHAV VORA – MANAGER, CORPORATE
FINANCE – VOLTAS LIMITED

MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Voltas Q4 FY '23 Earnings Conference Call, hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital. Thank you and over to you.

Bhoomika Nair: Yes, thank you. Good afternoon, everyone. I would like to welcome you to the Q4 FY '23 Voltas Earnings Call. We have the management today being represented by Mr. Jitender Verma, Chief Financial Officer; Mr. Manish Desai, Head Corporate Finance; Mr. Vaibhav Vora, Manager, Corporate Finance.

I'll now hand over the floor to Mr. Jitender Verma for his initial remark, post which we'll open up the floor for Q&A. Over to you, sir.

Jitender Verma: Hi and thank you Bhoomika and a good day to everyone else. As we entered the financial year '23, it was set to be a year of recovery, leaving behind the after effects of COVID, Russia-Ukraine war, while on one hand supply chain disruptions were unwinding, synchronous tightening of monetary policy by most central banks, resulting increase in the interest rate and thereby controlling effects of elevated inflation. The volatility in commodity prices, signs of turbulence in the banking network are holding the economic growth across most of the countries.

Despite the challenges across the globe, India continued to show resilience to the effects of various global events. The widening of current account deficit, depreciation of the Indian rupee and muted capital inflow did impact the company growth in the later part of the year. The impact of the higher inflation rate witnessed in the consumer confidence index across segments and in particular, the discretionary sectors. However, the policy measures taken by the central government to strengthen manufacturing in key sectors with production-linked incentives, higher allocation towards building infrastructure and softening of inflation rate shall support the economic growth in the coming quarters.

Given the ever-challenging environment, Voltas' product business has performed relatively better with growth across all product categories amid incessant rains and muted consumer sentiments towards discretionary spend. Our consolidated total income for quarter four financial year '23 was INR3,003 crores as against INR2,704 crores in quarter four FY '22, which is a growth of 11% year-on-year. Profit before tax and after tax was INR214 crores and INR143 crores respectively. Earnings per share not annualized for the quarter ended 31st March, 2023 was at INR4.35 against INR5.52 reported last year.

The consolidated total income for the year ended 31st March 2023 was higher by 19% at INR9,667 crores as compared to INR8,124 crores in the corresponding period last year. Profit before share of profit, loss of joint venture associates and tax was at INR672 crores as compared

Voltas Limited
April 27, 2023

to INR808 crores in the corresponding period last year. Profit before tax, after share of profit loss of joint venture associates and an exceptional item was at INR307 crores as compared to INR697 crores last year. The exceptional items of INR244 crores pertained to provision made due to termination of contract and encashment of bank guarantee for two overseas projects in Dubai and Qatar respectively. Legal proceedings have been initiated against the main contractor for recovery of these proceeds of bank guarantees and other amounts due from debt. Net profit after tax was at INR136 crores as against INR506 crores in the corresponding period last year.

Earnings per share as at 31st March, sorry, earning per share for 31st March 2023 was at INR4.08 as compared to INR15.23 last year.

The corporate balance sheet continues to remain healthy with the cash and cash equivalent at INR2,590 crores at the event.

A snapshot of our results for this quarter and for the financial year was already given in our detailed statement yesterday.

Segment A, Unitary Cooling products :

For UCP, the onset of summer season with higher temperature in the early part of March resulted in increased demand from the consumer. The unseasonal rain in the latter part of the month deferred the demand for the cooling product. However, the weather forecast for hot summer and

scorching heat witnessed in the current month has increased footfall for the product category across major parts of the country.

The consumers' desire to have products with advanced features and its long-term advantage of savings in energy cost, the split inverter category of air conditioner is in high demand. The expanded product portfolio of Voltas with in-house designed SKUs and competitive pricing has resulted in increased share of the inverter category to 75% from 63% during the year and its contribution is in excess of 80% for the quarter. Based on the success of the inverter split category, the company has expanded inverter portfolio in the window category as well as strategic price points during the current season.

Aggressive pricing to leverage early summer sales and garner the market share has increased competition in an already fragmented market. While we continue to be leader in the MBO, that is multi-brand outlet for the overall air conditioner category with year-to-date February market share of 21.9%, the market share for February month was at 18.2%. Nevertheless, secondary driven incentive program across these channels, healthy tie-up with modern trade and organized channel, extensive network of Exclusive Brand Outlet (EBOs) including experienced zones at strategic locations along with customer-centric exciting schemes during the season shall help strengthen the market share.

Commercial refrigeration category continued its growth journey during Q4 FY23 and for the year on an even higher base with increased participation from retail chains and OEMs. Within the commercial refrigeration category, higher demand was witnessed in water coolers, water dispensers and Visi Cooler. The category is expecting to grow further, considering a rapid urbanization, change in dietary preferences, demand for the frozen food and market expansion

Voltas Limited

April 27, 2023

Page 4 of 16

by the OEM of ice creams, chocolates and beverages. The company has expanded its product SKUs to cater to the demand for each segment. During the quarter, the company has made inroads for Medical Refrigeration (MR) product in a small way and will enhance its focus to take advantage of the increasing demand of these MR products. Having planned capacity expansion, Voltas is geared to launch a number of consumer-focused product with enhanced features and quality in the near future.

Prediction of early summer with above normal temperatures, seasonal tie-ups with Modern and retail chain helped placement of Air Coolers across the value chain. The exclusive product has further supported tie-up with e-commerce, an evolving and preferred channel for the short season product category. Along with active channel participation, the company has introduced many SKUs to balance the product portfolio for each of the product sub-category. The efforts have yielded desired results in further strengthening brand position and securing market share of close to 9% in air cooler segment.

Expansion of commercial establishments across various sectors and a growing demand for light commercial and deductible product resulted in growth for the commercial air conditioning category with improved margin. The focus on customer

retention with value-added services is

supportive in securing long-term orders of after sales service at a competitive pricing.

On the cost front, softening of the commodity prices, although they still remain volatile, prudent and well thought of sourcing has helped contain material costs to a great extent. However, the continuous advantage of the same may not be certain, given the erratic and fluid demand and supply gap for the critical inputs. Nonetheless, our efforts will always be there to remain competitive and continue to provide value for money products to the consumer considering to an objective of market share and margin.

To summarize, for the quarter ended March 2023, Unitary Cooling Product segment registered revenue of INR2,049 crores, a 13% growth in turnover from INR1,818 crores. The segment reported an EBIT of INR206 crores in quarter four as compared to INR192 crores in quarter four of FY 2022. For the year ended March 2023, the segment registered 33% growth in turnover to INR6,475 crores from INR4,882 crores with the EBIT of INR538 crores.

Segment B - Electromechanical Projects and Services:

Segment revenue for the quarter was INR746 crores as compared to the previous corresponding quarter of INR692 crores. Segment result for the quarter reported a loss of INR14 crores as compared to profit of INR48 crores for the corresponding quarter last year. Segment revenue for the year was INR2,403 crores and the segment result for the year was INR302 crores after the exceptional loss of INR244 crores.

Domestic project business witnessed a healthy order booking of INR1,910 crores as compared to INR848 crores in similar period previous year, comprising of single largest order of INR1,200 crores in electrical. The planned and timely execution of the projects resulted in achieving threshold for recognizing margin as per internal policy and thereby contributing to the results.

Further, a tight monitoring of working capital and focus on collection improved return on the capital for the domestic project business.

Lower order pad in the international project business -- in the international project business as most of the old projects are at the completion stage impacted the top line as compared to the previous year. The region continued to witness a delay in certification and thereby collection of the outstanding amount, resulting in provisions following prudent and conservative policy. Having said, all efforts are being pursued to engage with customers to expedite certification work and improve collection of the due amount.

The carry forward order book for domestic project stands at INR5,799 crores containing orders across water, HVAC, rural electrification and urban infra activities. The international order book as at 31st March 2023 stood at INR2,356 crores, largely in UAE and Saudi Arabia region. Total carry forward order book of the segment stood at INR8,154 crores vis-a-vis INR5,360 crores of outstanding order as on 31st March 2022.

Segment C, Engineering Products and Services :

Segment revenue and results continue to report improved performance for the quarter, registering healthy growth over previous year. Segment revenue for the quarter was INR142 crores and EBIT for the quarter was INR56 crores respectively. Segment revenue for the year was INR522 crores and the segment result for the year was INR201 crores.

Better average billing hour rate and customer-focused approach has supported the growth in Mozambique territory. The removal of export levy on iron ore and increased focus on infrastructure sustained the demand for crushing and screening equipment.

Textile sector continued to witness challenging environment on account of lower than usual utilization of spinning mills due to lower export order and high prices of key raw material quarter and yarn. Despite this adversity, the vertical has performed outstanding

ly on the back of strong

order book and introduction of various innovative product along with OEM. The focus on after sale service has also supported the overall revenue growth.

Voltas Beko

Revival of demand, particularly in the month of March has resulted in the overall volume growth of 26% during the quarter. The brand has cumulatively sold in excess of 3.3 million units since its launch and has become first brand to achieve this milestone in the shortest period of time. The expansion of distribution reach, focus on more energy-efficient star-rated product with wider range of product SKUs and in-housing manufacturing of the high value added product supporting the overall growth.

Leveraging the strength of the joint venture partners both in manufacturing and distribution is helping the Voltas Beko brand to timely introduce innovative product, with differentiated features and expanding distribution reach in the targeted and strategically important market. This concentrated effort has resulted in securing a market share of 5.3% increase from 4.4% in the

Voltas Limited

April 27, 2023

month of March with the market share of 8.9% in the sub-segment of washing machine category of semi-automatic washing machine.

Our objective is to have more value-added products to be manufactured from own factory and thereby control and strengthen the supply chain to improve overall margin. With this objective, trial is underway for the fully automatic front-loaded washing machine to manufacture in-house after successful launch of frost free refrigerator during the current season.

The lower penetration in most of the product category, consumer shift to the premiumization and technologically advanced product, along with lifestyle changes bodes well for the product category and the brand to progress on the defined objective of market share in a profitable way.

Outlook

Cooling products being a weather dependent and seasonal product, the summer period becomes critical for the industry and company for the growth. The current weather forecast and increased footfall projects towards a reasonable growth. The company is adequately prepared to secure the opportunity both on supply and consumer demand front and will continue to pursue its aggressive strategy to strengthen market share in a profitable basis.

As you are aware that the company had planned for compressor manufacturing through joint venture with Highly International, subject to the necessary regulatory approvals. As these regulatory approvals were not forthcoming, both the parties have mutually agreed to terminate

the joint venture agreement.

In case of projects business, we will continue to follow cautious and risk-mitigated approach, while selecting new orders. The execution of the orders in hand is paramount to ensure timely completion of the project with tendered margin.

With an eye on sustained profitable growth, while enhancing focus on product business and project business, independent of each other, the Board has approved an internal restructuring of the international operation, including investments in overseas joint ventures and subsidiaries to be housed in a 100% wholly owned subsidiary. Thank you.

Moderator: Okay. Thank you very much. The first question is from the line of Mr. Ankur from HDFC Life. Please go ahead.

Ankur: Hi sir, good afternoon. Thanks for your time. One question on the room AC side. So you have clearly mentioned because of unseasonal rainfall, we understand, quarter didn't go well. And then there seems to be that the inventory in the channel at least when I spoke to some of the channel partners and OEMs as well was fairly high. So how are you seeing that inventory right now? Obviously, April we see some heat waves, etc... So I'm assuming some volumes that have got cleared. But how are you seeing inventory in the channel? And more importantly, earlier we were talking of a price hike to come

through maybe in April, early part of Q1. So how are you kind of seeing that?

Voltas Limited

April 27, 2023

Page 7 of 16

Management: See, this high-channel inventory is basically a period when you're looking at March, towards the latter part of the month of March, there were incessant rain practically all over India. So therefore, if we just look at this point in time on end of March, there is a possibility that in certain channel partners, the inventories were stocked. However, as we sit at this time, we have seen that the weather has been really hot. And all the channel inventory which was there have all got cleared up and we are -- all the industry is looking at a very good season going forward in the months to come, at least during the summer months.

As far as your second question, can you ask that again, you said something about pricing in April.

Ankur: That's right. Because -- yes, yes, so I'll just repeat myself. So I remember in the last con call, you have said that we'll take or at least we look at price hikes in the beginning of Q1, around April, May was what you said last time around. So I'm just wondering, is that broadly on track? Are we -- or have we taken any price hikes in April? Or are we looking at any price hike in the next month?

Management: Yes, I understand. The fact is, no, we have not taken any price increases in the month of April. And as the future goes, we always keep looking at the price movements very cautiously. And certain other brands had actually gone for deep discounts, which we continue to believe are not sustainable. And therefore, we maintain our position and have not taken any discounts, but at the same time we have not increased the prices also. And that's a thought policy we would continue to look at.

Ankur: Okay. And just one last question would be on the margins in the UCP segment, and I remember you called out high single-digit margins to kind of continue and again I'm talking on an annualized basis, that is so last year was closer to 8.3% thereabout. So is that something you believe should continue at least over the next 12, 15 months? Is that how we should look at margin?

Management: In a one statement, I would say or in a one word, I would say yes, that's the outlook we still maintain. However, I mean, the high single-digit margin, there may be some periods when it may go down closer to like instead of a very, very high single digit, it may stay around the same number, but slight volatility may remain.

Moderator: Mr. Ankur, may we request that you return to the question queue for follow-up questions as there are several participants waiting for their term. Our next question is from the line of Mr.

Amber Singhania from Nippon India AMC.

Amber Singhania: Just one question from my side. Basically when we see Voltas, we have always seen in a decade, Voltas has always been very dynamic towards the market changes and always taken steps proactively towards turning the things towards their favor in terms of market share growth.

However, in last five quarters, we are seeing that we are continuously losing market share every quarter. So it has been almost two season now where we have seen a market share decline. So just wanted to understand, sir, where exactly are we losing out, what is the inter section the company has and what could be the reason where we are seeing this continuing not just one, two

Voltas Limited

April 27, 2023

quarter, but continuing to season access. And what are the steps you are taking to correct it -- correct this fall as such?

Management: So Amber, if I want to take your questions, I'd like to split into two, the one is how are we seeing the market? And once we do analyze on that, how we are trying to react to the same. Your reading is right that the last two quarters our market share is falling, however, as we said earlier as well, we have to wait for how the season to

roll out. But from the season perspective, we'll

see a good amount of traction coming during the March to June period. What we also reported and I don't know in the last investor call, somebody asked me why you're reporting YTD. And I confirm that, once we come to the season, we'll report both YTD and the monthly market share. And that's what we have reported even during the current year when we are doing this call. I also say that we cannot relate, or we cannot completely follow the competition because we are reasonably sure that the price level at which the competition is operating is not sustainable one, sooner or later it will bounce back. And when play on a pricing side, you are compromising many things also in this business. And we would not like to have those kind of features going or the mind not going to the consumer's mind. So, we are reasonably confident that the market will see a stabilized kind of operating in the near future and then we'll try to reap the benefit of what we lost the last one quarter.

Amber Singhania: Sir, so, is it purely the price competition, which is leading to this kind of fall? Or is there anything else also which is impacting our position in the market, either maybe that geography or maybe the product or maybe something else? Or is it purely the price factor?

Management: See, if I were to put in the order of reasoning, I would say that the price becomes more important. And we all know that if the competition which supposed to eye on a premium start has now looking trading at closer to the mass market price, you may see some kind of traction the way in which we are seeing today in market. So I would say the price is more important. Second thing is once you have the visibility or product strength, you would like to expand to the market where your weaker section -- weaker positioning.

So we have seen Blue Star and few of the brands are becoming very strong in the north market and trying to put the pricing strategy on a price card in order to secure the market share. So these are the known factors. And whenever the price whichever brand would like to play or try to work on a market share, this is a normal strategy the brand has to follow given that product will not give such kind of huge differentiation to demonstrate. So this is a known practice and we're hopeful that it will get streamlined over a period of time and all players become, I would say, reasonably make sure in terms of operating and driving the markets.

Moderator: Mr. Amber, may we request that you return to the question queue for follow-up questions. Our next question is from the line of Dhananjai Bagrodia from ASK.

Dhananjai Bagrodia: Sir, what would be your capex guidance for next year for '24 or '25 broadly?

Management: Up to '24-'25 because we are in '23-'24 currently.

Voltas Limited

April 27, 2023

Dhananjai Bagrodia: Yes, so '23-'24 and for the year after that.

Jitender Verma: Yes, so probably in the range of INR350 crores to INR500 crores, which we're largely now concentrating more on the capacity expansion and the backward integration, which we have put for the PLI scheme, since the compressor plant is now off the card currently, whereas the alternative is still under evolution, but may take longer time.

Dhananjai Bagrodia: And sir for the year after that would be how much? So 1 year is INR350 - INR500, next...

Management: I've given you 18 months kind of capex plan from now, INR350 crores to INR450 crores.

Dhananjai Bagrodia: And roughly, what capacity would we get after this capacity expansion?

Management: So, the AC capacity will be almost double toward two million, whereas the commercial refrigerator also will get above from 2.5 lac units what we have to 5 lac units.

Dhananjai Bagrodia: So -- and commercial will become 0.5 million, right? And sir, just one more question. Let's say, what do you think would be now that we're doing standalone

will be the UCP business. What do

you think is a sustainable ROCE for the UCP business? And in terms of the levers, do we see the lever coming from margin improvement asset turnover or net working capital improvement for the UCP business?

Management: See, if you look from the ROCE perspective, since not only Voltas, but many brands are now taking advantage of the PLI scheme by putting required and necessary capex. The ROCE in the near future will definitely see some kind of impact which may get lower for the all players because we're upfronting the capex, the benefit which will flow over the next five to six years'

time frame, whereas the PLI scheme which government has announced will support to be competitive in the market being and localized to a few components which currently we are not having it. But if you ask me, overall, it will be a combination of both to work together in order to improve the ROCE. To give you estimation, it is very difficult to put it because every player has gone into a different, different direction, looking into their own strength in terms of the backward integration, but in the time we are generating returns above your weighted average cost of capital, including the cost of equity, probably it makes -- it's still a viable option.

Moderator: Thank you. Our next question is from the line of Mr. Ravi Swaminathan from Spark Capital. Please go ahead.

Ravi Swaminathan: Hi sir. I just wanted to check with you, what has been the kind of growth that we have seen in Voltas Beko?

Management: Sorry, we could not give e-mail on the investors well in advance. It is around 26% for the quarter ended March. And if I look for the overall, it will be in the range of 15% to 18%.

Ravi Swaminathan: 15% to 18%, what will be for the full year, right? Full year...

Management: March has seen the highest growth, if I take the quarter break up for the Voltas products.

Voltas Limited

April 27, 2023

Page 10 of 16

Ravi Swaminathan: And has there been any price increases across ref, washing machine, et cetera, in the recent past?

Management: As we said, Ravi, we have to be unlike in a condition where some of the proactive role being played by the brand, for VoltBek we'll largely be a follower for the other brands. And since we have the LG and Samsung occupying almost in excess of 50%, 55%, all actions in terms of pricing will closely be done following them. So to give you answer in one line, no price action has been taken in the market for VoltBek product in this category. Rather, we are now looking for more star rated products to be produced and to provide at a very competitive price in order to create another differentiation with the competition in all the categories.

Ravi Swaminathan: And with respect to this compressor manufacturing facility, would we be looking for some other partner going forward? Or is there any plans to go on your own? Any sense on that?

Management: Definitely, we'll be looking at alternatives and at the right time, we would make the necessary announcement in that respect because having sufficiency in compressor manufacturing would be the desired -- is the desired object.

Moderator: Thank you. Our next question is from the line of Siddhartha Bera with Nomura. Please go ahead.

Siddhartha Bera: Hi sir. Thanks for the opportunity. Sir, I will go back to the question on market share again. I mean we had indicated that we want to go back to the earlier market share levels. But on a monthly basis, the market share has kept on dropping. So, what would you expect probably for next year? So these are the levels which we should expect? Or do you believe you still hold on to the earlier levels of 23%, 24%, you will try to go back to next year?

Management: Siddharth, market share is one aspect, the leadership position is the another aspect. And we have continued to maintain our leadership position in both in the market share, as well as in the margin

s as has been seen. And if somebody is out there in the market, looking at the market share only by making losses and then that is what we are saying is not a sustainable position. And we continue to keep looking at our margin share and the balance between market share, as well as margin.

And in that respect, we definitely have -- from the previous quarter of March, we had bounced back. And in the low summer season, there is some tendency to lose that market share. And as Manish had earlier mentioned that when we look at months coming in the summer season, that will be the time when the regaining of the market share definitely will be -- will happen.

Siddhartha Bera: And second question on the margin side. I mean we have seen improvement in the current quarter. Can you indicate if there has been support from the higher commercial refrigeration segment in this quarter as well, which has led to a better margin, so that may not be the case? And have we changed any supplier base so that we -- our cost of procurement has gone down? Or this is entirely organically we have been able to sort of improve the margin?

Management: See, when you look at our segment results, they comprise of all the product categories and different product categories have different margin rates. So therefore, to answer that specific question on whether commercial refrigeration has helped, or room air conditioners have helped

Voltas Limited

April 27, 2023

Page 11 of 16

would be a slightly bit not correct at this point. Margin improvement has been seen across all product categories in this particular case and we are prepared to continue with this trend. The other aspect of your question was whether we will continue to see this in the future? That is

definitely the endeavor to keep up these margin rate in all the product categories.

Moderator: Thank you sir. Our next question is from the line of Shrinidhi from HSBC. Please go ahead.

Shrinidhi: Hi. Thank you for the opportunity. Sir, in project business, we have seen a significant scale up in order backlog. Wondering would it be possible to share some color on how our embedded margin in this backlog and how are working capital terms.

Management: Shrinidhi, on the project business, yes, there has been a scale up specifically in the domestic project line. And that's also I would say a positive towards the fact that when we had a couple of years ago announced that there would be a transfer of this business to the early owned subsidiary so that the focus can be more on the project or rather I would say equal on the project business and product business by housing it in a separate wholly owned subsidiary. So that is kind of confirmed with these orders, so once we have gone separate in the business on -- I mean, separate in the sense that we are in the same -- still the same management at the Voltas level, but there is a specialized focus on the project business.

The profitability remains at the similar levels of previously stated roughly about 4% to 5% as we have been stating. So that would remain though the execution would take two to three years, so it will be spread over the years. So that will continue. And with the same reasoning, the international business is also being organized as we have announced yesterday. So, we will -- it will take its own time to consummate transfer agreements and doing all the activities which are required.

Shrinidhi: And second question I have is, sir, in terms of rationale that you gave for business restructuring, you mentioned that the used flexibility for Voltas to expand its B2C business. May I ask you to elaborate this point as in, are we talking about going into adjacent product categories or we are talking more of existing categories that we operate in?

Management: So, as we discussed earlier as well, while doing the domestic transfer, the larger focus will be on B2C, which is currently what we are doing in terms of

the product categories. Yes, there are

various other products also which are under evaluation, where we are looking into a potential growth and accordingly the call will be taken appropriately. And when we say about it when we've done this kind of restructuring, the core objective is the management bandwidth was largely being occupied for the consumer driven businesses and project businesses.

The focus was not so accurate, or I would not say time not being too devoted towards the project business. And therefore, this business being transferred with the company, which will have a different set of directors. But there are various product categories in the B2C, which are under evolution. It will be premature to quote anything currently. We will definitely disclose when the time is more appropriate.

Voltas Limited

April 27, 2023

Page 12 of 16

Moderator: Thank you sir. Our next question is from the line of Girish Achhipalia from Morgan Stanley. Please go ahead.

Girish Achhipalia: Hi sir. Good afternoon. Thanks for the question and opportunity. I just had a faction question. So commercial AC and refrigeration is how much in full year FY '23? And also, if you can just sell out the top line for Volt Bek?

Management: I would say in terms of contribution, I have to split into two. One is if I take this AC contribution to the entire segment in the range of it will be 17% to 18%. And if I look for the commercial refrigeration, the second question asked, the commercial refrigeration contribution to the segment excluding commercial condition will be around 20%.

Girish Achhipalia: And air coolers would be 4% to 5% again? Or would it be different?

Management: Air cooler will be much lesser than 5%. It is a volume but small value kind of category.

Girish Achhipalia: And Volt Bek top line and AC volumes helped for the full year?

Jitender Verma: Volume, I would not be specifically name, but I can give you a range, it is in excess of 1.4 million the AC put together. And in terms of the Volt Bek, top line will be in excess of INR1,000 crores.

Moderator: Thank you. Our next question is from the line of Arafat from InCred Capital. Please go ahead.

Moderator: Mr. Arafat, you can go ahead with your question.

Arafat: Sir, my first question is again on the JV, which you recently terminated. So, I just want to understand what's the main reason, it's only regulatory approval that thing? Or is there any other reason that you have canceled this agreement?

Management: On the -- I think your question is relevant to the Highly JV and as stated in our announcement, it is because the regulatory approvals had not been received up to now. And therefore, I would say that was the main reason. And you can understand, when the government doesn't give these kind of approvals, there may have been certain consideration in their own mind because of the geopolitical situation as we are seeing. And therefore, looking at all those things and after making all the efforts, we have decided to part ways mutually. And that's I would say is still the

main reason, yes, so no other...

Arafat: Sir, my next question is on margin of EMP segment. Although you have seen significant jump in order inflow and order book, but sorry to reiterate on that, but what kind of margin you are looking for '24 and '25 for the EMP business?

Management: See what we have, Girish is, it's a mix of again when we say it's old and the new project. We are very cautious, selective in the new project and that to be the building of the higher contingency given the past experience. So if I -- and you know very well the project cycle does continue for -- or any other project does continue for more than two to three years. So, if I were to blend both the old project margin and the new project margin, it should reflect around in excess of 5% for Voltas Limited
April 27, 2023

Page 13 of 16

the project business, at least for the year

, starting the next year. We have seen, in fact, the current margin also is a good kind of trajectory, but somewhere because of this liquidity trays and we get collection and being having too much conservative on our policy front, given the past experience, we are seeing this kind of level of margin. But otherwise, new projects are turning out, the margin closer to the tender and then tender margins anyway because of the cautious approach, it is enough amount of contingency and that with the higher margin percentage.

Moderator: Thank you.

Moderator: Thank you sir. Our next question is from the line of Venkatesh Balasubramaniam from Axis Capital. Please go ahead.

Venkatesh B.: Obviously, you have mentioned about competition. So -- and you have mentioned -- you mentioned the name Blue Star. We are already aware of having gaining market share. Who are the others who are gaining market share other than these two? Are there other people? Is it Daikin, is it LG? Or is it someone else?

Because we hear all sorts of things, we also hear that Reliance has launched BPL and Kelvinator and it has started picking up some amount of market share in northern part of India. So is there any truth to that? And lastly, we also hear that when we go to the Tata-owned Croma shops, the people there, the salespeople say that Croma has in-house brand seems to be cannibalizing the lower-end Voltas AC. So, any thought on that, both being Tata companies couldn't we work out a relationship that the Croma brand itself can be driven to Voltas, why should a business group have two different brands at the same time, please some thoughts on it?

Management: Yes, so let me answer the second question first. See Croma is having their own independent entity and independent target towards what kind of product they want to manage it or they want to deal with and what kind of market share they are looking for. The private label brand is not a new concept in India, it has been prevailing for a long time. Yes, it's another competition to the Voltas and normally, when the 40 brands are eying for a market share, one more brand by the private level within the group company probably will not impact much because now we used to have a competitive scenario to fight with each one of them.

Now the question comes is why not united? The question really comes because that every brand carry some kind of perception in the minds of consumer. People have seen how the private level brand supporting to the after sales service support because these units are having almost more than 8 to 10 years life. Although people may give replacement warranties and a service promise and all, we have seen in the market how the outcome of all such kind of promises with no committed level of franchises working with them for any brand, I'm not talking about Croma specially, but I'm talking about all the private level brand who are working on a suboptimal price level.

Given that background, let me answer on the market share side what you talked about it.

Generally, I have seen even Lloyd is losing its grip on the market. If I take the last two to three months trend on the market share, however, if I take year-on-year and that to exit market share, yes, the Lloyd has increased the market share and the other brands who have increased over Voltas Limited
April 27, 2023

Page 14 of 16

there significantly is Daikin, who is having a market share growth in over and above the Lloyd.

So they are leading in terms of growth I have to put over there, Daikin is growing much faster than even Lloyd if I were to compare similar period with the exit market share.

Now question has come on Blue Star, Blue Star also gained market share, but not to the level at which the graph or the GFP reflects over there. They have gained by 0.5% to 0.6%. However, if I look from the Daikin, it is in excess of 200 basis points.

Venkatesh B.: On the electromechanical project, last y

ear, if I ignore the Qatar and other write-off, which was almost INR240 crores at the EBIT level what you delivered was something like INR58 crores loss. Now how much -- what was the scale of the provisions you have made in this -- in the last year?

Management: Sorry, I would not be able to quantify so clearly. But my press release what I have given to the SEBI itself talking about before exception after exception results. And you can easily make it out where the kind of quantum of provisions we made, along with the notes to accounts which we disclosed. It is a good amount of loss, the provision which we trade out. I would say out of that, two incidents are an exception, which have not been perceived by us or which have not been ever thought about it that such kind of action can take place because we have not seen such kind of incidents in the last decade of our existence in the international operation. So that takes over around INR244 crores, so balance also I would not like to quantify as it is, but you can see from my segment as a result which is self-explanatory.

Moderator: Thank you sir. Our next question is from the line of Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian: Good evening sir. Sir, on the electromechanical project side, we made a provision of around INR240 crores, we may see any further provisioning in the next coming year? We may see around INR200 crores, INR300 crores of provisioning on this project?

Management: Your voice was distorted. Could you repeat your question, please?

Balasubramanian: I just want to understand on the EMP side, are we going to see any further provision going forward on the basis of your current assessment?

Management: See, I think you are confusing the extraordinary losses with the normal ECL provisions which are there in the business. To clarify, in quarter two and quarter three, there was an encashment which was done by, I would say not so clean way and we have gone legal against them. And that's why it is a completely an extraordinary event, which happened. And we can be reasonably assured that these extraordinary events may not happen again. And therefore, I do not predict that. However, there is -- in the segment B, if you see, there is a loss and that is on account of normal provision. As we have mentioned that there are certain instances of delayed certification and delayed collections, so that has been the main reason and as being a very prudent company, we take those provision.

Voltas Limited
April 27, 2023

Page 15 of 16

Going forward, our efforts on collections and on certifications would be more, I would say strengthened. And therefore, on the basis of that, we would not be projecting or predicting any more provision. However, when we are dealing with the third parties, there is always a case for the other side to do whatever they want to do. So in that situation, one can't rule out the possibility, though from our side, the procedures will always be strengthened. And therefore, my prediction is it should not be...

Balasubramanian: Sir, any reversal of any of the provisions which we made in last year or something like this, anything positive, you can see -- we can see something?

Management: Definitely, again, as a normal procedure, whenever we collect the amounts which have been previously provided for as a prudent policy again, you do take those reversal. And like for the extraordinary provisions we made, we have very clearly stated that we have gone legal against them. And as and when the legal cases are decided and I believe in that market that may happen within a 12 to 24-month period. And as and when those legal cases are decided in our favor and we are able to collect the money, we should definitely be reversing those provisions.

Moderator: Thank you sir. Our next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Yes, good af

ternoon. Thanks for taking my question. Sir, one clarification with regard to this backward integration to compressors. So how significant is there a cost advantage in being backward integrated, now that we are sort of calling off the Highly JV, does that lead to a cost disadvantage for Voltas compared to some of the other brands that are setting up this manufacturing? And also with quite a lot of these compressor and other component manufacturing capacity coming up in India, would you expect prices of the finished products to sort of come under pressure over the next couple of years or so? Your thoughts on that, please.

Management: So if I look from the cost perspective, many players in the industry are now evaluating the option of compressors. Yes, we had about two or three brands actually jumped into it and going to manufacture the same. Probably, we were to wait for time in terms of how we are becoming cost competitive. The reason being is because they are -- all these brands are in the business of air condition for almost more than two decades. But now the things are changing and they try to cope or try to be a part of the backward integration player.

And that is the thought process even for Voltas as well when we decided to move and go with a joint venture partner. Some in substances like we have to wait and work gentlemen in terms of

how we become cost competitive, because for China if you look, which is the biggest manufacturer of the compressor, they are almost serving 90% of the world capacity, which means on the scale front or the sourcing front, they have the largest advantage -- the largest supplier of the same. Whereas in case of India, people are manufacturing for their own consumption, which will restrict to even less than 2 million or 2.5 million or so, even they're talking about the installing of the capacity.

So I would say that let's wait and watch for more time in terms of how the things are shaping up. As far as the capacity is concerned, even though the capacities are coming up, but they are

Voltas Limited
April 27, 2023

Page 16 of 16

coming in the, I would say, size of 1 million and around 1.5 million, which means even I take the Indian air condition market itself, forget about refrigerator and others, which is itself heading towards in this current year, if everything goes well, around 10 million. And all this capacity put together will still fall short of what probably industry requires. So, we are reading both import and domestic market will be there for the sourcing of the compressor.

Yes, if you are subsidizing the JV some advantage would have slowly in terms of control of the product and the design I would say, securing the sourcing of the components. However, although it's not there, we can have a long-term kind of arrangements with any of the manufacturer, as we all know. GMCC also now started manufacturing, their commercial production is expected now and in fact, our news is already started in the quarter four. So all these options are available for the brand in order to secure the long-term sourcing arrangement for this component.

Abhijit Akella: And just one last thing on the capex for FY '23, which is about INR180 crores, INR190 crores. Is it primarily in the UCP business itself? And then for the outlook that you gave of about INR350 crores to INR450 crores for the next 18 months, would it be roughly possible to give us a split across the major projects into which that amount is being invested?

Management: It will be there only on two projects, which is commercial refrigerator and the air conditioner, both will be on the production capacity expansion. And along with this PLI benefit, PLI application which we made, which includes a backward integration or I would say corporate manufacturing as well at the Greenfield project at Chennai.

Moderator: Thank you. That brings us to the end of our question-and-answer session. I would like to

hand

the conference over to Ms. Bhoomika Nair from DAM Capital for closing comments.

Bhoomika Nair: Yes, I was just trying to thank the management for giving us an opportunity to host the call and wishing you all the very best and also thanks to all the participants for being on the call. Sir, any closing remarks from your side?

Management: No, in fact, we're grateful to have these questions coming from the participants. I'm sure one hour will be differently short for the participants, which are in tune of which are a number in excess of 100, 200. So we are open for any kind of question answers, which we could not cover up in this -- during this investor call. And I wish all of you a good day and hope that each one of you will have a Voltas product or a Volt Bek product in your home during this season period of time. Have a great day to all of you.

Management: Thank you.

Moderator: On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line.

Call: Aug 2023

21st August, 2023

BSE Limited National Stock Exchange of India Limited
Department of Corporate Services Listing Department
Phiroze Jeejeebhoy Towers Exchange Plaza
Dalal Street Bandra-Kurla Complex
Mumbai 400 001 Bandra (East), Mumbai 400 051
Scrip Code: 500575 NSE Symbol: VOLTAS

Dear Sirs,

Sub: Transcript of the Results Conference Call pertaining to Financial Results

Further to our letter dated 8th August, 2023, we enclose herewith a copy of the transcript of the Q1 FY24 Results Conference Call on the Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter ended 30th June, 2023 held on 12th August, 2023.

2. The same is also available on the Company's website at
https://www.voltas.in/images/Investor/schedule-announcements/download/Voltas_Earnings_Call_Transcript_Q1_FY24.pdf

Thanking you,

Yours faithfully,
VOLTAS LIMITED

V. P. Malhotra
Head – Taxation,
Legal & Company Secretary

Enc.

Page 1 of 17

“Voltas Limited Q1 FY24 Earnings Conference Call ”

August 12, 2023

MANAGEMENT : MR. JITENDER VERMA – CHIEF FINANCIAL OFFICER ,
VOLTAS LIMITED
MR. MANISH DESAI – HEAD OF CORPORATE FINANCE ,
VOLTAS LIMITED
MR. VAIBHAV VORA – MANAGER , CORPORATE
FINANCE , VOLTAS LIMITED
MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

Voltas Limited
August 12, 2023

Page 2 of 17

Moderator: Ladies and gentlemen, good day and welcome to Q1 FY24 Earnings Conference Call of Voltas Limited hosted by ICICI Securities .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you and over to you.

Aniruddha Joshi : Thanks, Yashasri. On behalf of ICICI Securities, we welcome you all to Q1 FY24 Results Conference Call of Voltas Limited.

We have with us senior management represented by Mr. Jitender Verma - Chief Financial Officer , Mr. Manish Desai - Head of Corporate Finance and Mr. Vaibhav Vora – Manager (Corporate Finance) .

Now I hand over the call to the management for the initial comments on the quarterly performance and then we will open the floor for question and answer session. Initially , each participant is required to ask two questions in initial round and then they can join for another round of questions. Thanks and over to you , sir.

Jitender Verma : Thank you, Aniruddha . This is Jitender and welcome to everyone who has joined us in this call.

As we begin, I would start by saying that the Financial year 2024 began on a subdued note with high inflation and concern on slowing of economic growth and poor health of banking sector.

Policy tightening by central banks in response to this inflation continues to raise the borrowing costs, leading to constrained economic activity. While inflation may continue to remain high, it may further escalate owing to shocks posed by geopolitical unrest, natural calamities hitting various parts of the globe. This in turn may trigger a more restrictive monetary policy.

Concerns regarding the performance of banking sector receded during the quarter with high interest rates filtering through the financial system trimmed the supply of credit . The rise in central bank policy rates to high inflation will continue to impact economic activity . As per IMF, global growth is anticipated to fall from an estimated 3.5% in 2022 to 3% in 2023.

While economies across the world are facing issues , the Indian economy has shown resilience and grown during the quarter. Center 's fiscal deficit remained under control . GST collections , manufacturing PMI , sale of automobiles, number of UPI transactions , electricity consumption all reported strong numbers during the quarter. The resumption of interest by FPI's in the equity market showed a good infusion of funds raising the indices were record high . The Indian economy does not seem to dither with the concerns on the inflation and given by improved crude oil prices due to inflation . The USD INR, however, continues to remain under pressure moving

Voltas Limited
August 12, 2023

Page 3 of 17

to the upper end of range to Rs. 83 owing to the rise in yield due to US credit downgrade and other macro economic factors that may lead to higher import cost impacting the overall growth.

Given the overall business backdrop, this quarter, for us at Voltas, was both exciting and challenging. The incessant rains impacted the sales during the quarter and thereby slowed down the anticipated growth in the cooling business segment both for the company and the industry. Delayed collections in our overseas business, resulted in a conservative provision impacting the overall result. Our Consolidated Total Income for Q1FY24 was Rs 3,430 crores as against Rs 2,795 crores in Q1FY23, growth of 23% year on year. Profit before tax (PBT) and after Tax was Rs. 203 crores and Rs. 160 crores respectively. Earnings per Share (EPS) (Face Value per share of

Re. 1) (not annualized) for the quarter ended 30th June, 2023 was at Rs. 3.91 against Rs. 3.29 reported last year.

You all have seen the snapshot of our results for this quarter; therefore I am not repeating that .

Segment A Unitary cooling products (UCP):

Q1 of FY24 was projected to be high growth quarter ; however, erratic weather conditions in

April and May, especially in North and West India, our usually stronger markets, dampened the spirits. However, availability of high tonnage products, aggressive consumer finance scheme, strong channel and network presence coupled with revival of the demand in the month of June helped Voltas achieved volume growth of 15%.

Voltas' product booking with advanced features and long-term advantage of energy savings helped the split inverter category of air conditioners remain in high demand aiding to the growth for the segment. The expanded product portfolio, SKUs designed in-house and competitive pricing has continued to have a high share of contribution in excess of 80% for inverter sales in Room Air Conditioner category for the quarter. While Split AC show n the growth, demand for Windows AC, primarily driven by sales in North, remained weak because of the unseasonal rains.

Our competitors went aggressive on the pricing to meet their primary billing, which impacted market share and margins. However, secondary sales driven by incentive schemes across sales channels, healthy tie-ups with modern trade and organized channels, growing network of Exclusive Brand Outlets or EBOs including Experience Zones at strategic locations along with a focused customer centric approach during the season helped Voltas to strengthen market share to 20.6% at the end of June 2023.

Sales growth in the commercial refrigeration was lower during the quarter on a higher base of the corresponding previous quarter. Weather disruptions have impacted the consumption of cold beverages, chocolates and ice creams, leading to the lower than expected demand from the OEMs. Within the commercial refrigeration category, demand was buoyant for water coolers and Visi coolers. Affordable pricing tie-ups with modern and retail channels, active channel participation, aggressive pricing with lucrative dealer incentive scheme garnered a positive and

Voltas Limited
August 12, 2023

Page 4 of 17

a strong growth for the air cooler segment as well. The category has grown by 49% in volume with improved gross margins.

Commercial air conditioners garnered good traction in chillers, VRFs and Ducted AC during the quarter with large scale O&M orders paving the way for good numbers this quarter. Our focus on customer needs and our track record has helped us win multiple big ticket orders for O&M. On the cost front, softening of commodity prices, tactical sourcing, manufacturing efficiencies and various value engineering initiatives across all our products has helped contain material costs and protected margins to a great extent. We will continue with our efforts to remain competitive and continue to provide value for money products to our consumers, which will help us not only to maintain our leadership position in both the market share and margins, but also continue to be a key differentiator among other players in the industry.

To summarize, for the quarter ended June 2023, UCP segment registered revenue of Rs. 2,514 crores, a 16% growth in turnover from Rs. 2,162 crores in quarter 1 FY23. Segment reported an EBIT of Rs. 207 crores in quarter 1 FY23 as compared to Rs. 166 crores in Q1 FY23, a growth of 25%.

Segment B : Electromechanical projects and services :

Segment revenue for the quarter was Rs. 679 crores as compared to the previous corresponding quarter revenue of Rs. 455 crores. Segment for the quarter reported a loss of Rs. 52 crores. Loss in quarter ended June 2022 was Rs. 12 crores.

With renewed focus on our wh

olly owned subsidiary post business transfer, our collective efforts resulted in better performance of the domestic project business in terms of both execution and managing working capital efficiently and also securing healthy orders during the quarter. The domestic projects segment booked orders worth Rs. 608 crores as compared to Rs. 191 crores during the previous quarter. Further, a tight monitoring on working capital with focus on certification and collections in return on capital employed and delivered good results during the quarter.

All ongoing projects in our international business are largely under nascent stages and while the business reported a higher revenue, as per our internal policy, the margins on all such projects will be recognized on reaching a key milestone. Considerable delay in certification and slowing collections against due receivables continued in a few projects resulting in provisions following our prudent and conservative approach. Having said that, all efforts are focused on engaging with customers for expediting certification work and improving collections of the amounts due. Order booking for quarter 1 FY24 was Rs. 755 crores as compared to Rs. 435 crores in the similar period last year.

During the quarter, the company has been intimated of a request received by the bank for encashment of the bank guarantee from the main contractor in one of the projects in Qatar. The

Voltas Limited
August 12, 2023

company has issued a cession request to the bank pursuant to which the bank guarantees have not yet been encashed. Basis internal assessment on technical merits of the case and legal opinion on the contractual aspect, we are confident that it has good grounds to successfully defend any claims that may arise on the company.

The carry forward order book for domestic projects stands at Rs. 5,244 crores containing orders across water, HVAC, rural electrification and urban infrastructure. The international order book as at 30th June 2023 stood at Rs. 2,949 crores, largely in the UAE, Qatar and Saudi Arabia regions. Total carry forward order book of the segment stood at Rs. 8,193 crores vis-a-vis Rs. 5,362 crores of outstanding orders as at 30th June 2022.

Segment C, Engineering products and services:

Segment revenue and results continue to report improved performance for the quarter, registering healthy growth over previous year. The segment revenue for the quarter was Rs. 142 crores and EBIT for the quarter was Rs. 54 crores respectively.

Cutting edge engineering solutions coupled with a focused customer-oriented approach supported Mozambique operations in performing well, contributing significantly to the results.

The revival of the capital cycle, along with lifting of export duty on iron ore has sustained the sale of crushing and screening equipment, albeit with restricted credit to the contractors.

While capital machinery rollout from the principle has increased, the volatility in yarn prices and slowing exports, coupled with supply chain disruptions has lowered the momentum for textile business. Nevertheless, the focus on sale of accessories, recent announcement of PM MITRA Park and the proposed PLI 2.0 scheme should help in sustaining the performance going forward.

Voltas Beko:

Voltas Beko continued to garner strong sales since March 2023. High demand across all company products that is refrigerators, washing machines, microwaves and dishwashers resulted in a growth of over 40% during the quarter. Revenue was also driven by increased tie-ups with organized retail, improved participation from e-commerce and a better product mix. The expansion of distribution reach, focus on product placements with existing and evolving sales channels, wider range of product SKUs and in-house manufacturing of the high value added products continued to support the overall growth.

Timely availability

of affordable and durable products has been the key strength for Voltas Beko.

Our concentrated efforts on innovation with differentiated features and long-term tie-ups with organized trade in the targeted and strategically important markets is anticipated to further support our growth in future. These collaborative steps have resulted in securing a market share of 5% in the washing machine category with 9.6% market share in the sub segment of

Voltas Limited

August 12, 2023

semiautomatic washing machines. The company also maintained its market share in refrigerators at 3.5%.

Our objective is to have a vast array of value added products which will be manufactured at our own factory, which will help us control and thereby strengthen the supply chain to improve overall margins. With this objective in mind for the Fully Automatic Front Loaded (FAFL) washing machine to be manufactured in-house have been completed and the production of the first pilot batch is underway currently.

Outlook:

The period of July to September is usually a lean period for cooling products. However, the start of festival period is expected to witness a spurt in demand. It will be interesting to see the impact of factors such as inflation, revival of rural demand, movement in crude oil prices, rupee behavior and policies made by RBI to address the overall economic growth agenda.

Both the government and private sectors Capex commitments for FY24 remain strong. Uptake in the order booking coupled with momentum in execution of the MEP projects should help report better performance for our project businesses too.

In general, we anticipated pickup in the pace of overall economic activity and we would seize the opportunity to continue on the momentum of growth.

That is all from my side and I would now request the moderator to open the meeting for questions and answers. Thanks.

Moderator: Thank you very much. We will now begin the question and answer session. We have our first question from the line of Ankur from HDFC Life. Please go ahead.

Ankur: Just a few questions on the UCP segment, so very good performance, 15% volume growth that we are seeing, but just if you could help us because industry volumes were maybe flattish on the secondary side during the quarter, so if you could help us understand how would our secondaries

have done during Q1 and is it also a case of us kind of filling in inventory in the channel, is that the reason why our primaries look so much higher than maybe what the overall secondary growth would have been ?

Management : Ankur, this is Manish over here. Ankur, in fact, the question of higher primary sale and the inventory with channel partner probably because if the inventory is there with the channel partner, obviously it will see a reverse impact on the primary sales from the brand. So, what is happening is although we all know North region which is strongest for the air conditioner market and contributing larger share in the overall that didn't go well and if I look from the Voltas' perspective, we are relatively stronger, as you all know in the North region. So, in a way in the initial months of the quarter we were having a lot of apprehension on the volume and the growth, the reason being is because industry was not looking into our volume growth at all in this quarter because of this inclement weather, however you recall that we have taken some steps in the

Voltas Limited
August 12, 2023

Page 7 of 17

South market to strengthen our market share, which were continuously on a weak foot. That actually has resulted in our favour because what we have seen in our trend that we have, if I look from my primary perspective and generally secondary also follows the primary our volume growth for both East and South was on a much higher side followed by North because North you all know that the growth was marginal. So

, in and all, I would like to say that the strategy or the focus what we did in the past 2-3 quarters, since I would say last year to make our position stronger in South region actually started getting some kind of momentum. But I will be saying it will be too early to celebrate on this front because what we need to ensure now that we sustain this momentum in South winning the confidence of the channel partners and customers both and should further strengthen our position as we move forward. Similar steps have helped us in moving in the East region as well, where we have been relatively performed much better than any of the brand. As I said, we will continue to monitor on our steps and our strategies in these two regions to further strengthen our positions, not anyway going to be a strong foothold in Voltas as well as for the overall industry and will not leave our footage or leave not any stone untuned, if I have to further aggressively move on the North when the market becomes more open for the cooling product categories.

Ankur : I just want to reconcile the fact that our volume growth of 15%, how would that have been versus the industry growth given the fact that our market share numbers both Q-o-Q and Y-o-Y seem to be lower right for Voltas ?

Management : So, in fact, if you look for the month of June, we improved upon, if I look into sequentially from the month of May, on a Y-o-Y also if I look into it on a quarter-on-quarter what we normally on Q3 basis there also we have seen some improvement over there. As I said, had the North would be doing better for the industry and definitely for Voltas probably would have seen good amount of improvement in market share for the Voltas as such. So, this is where it stands. If I look from the industry perspective, you are getting this perfectly all right. Industry has not grown in the volume. The growth is there, but what the data we are getting from all our industry players and from the market, it is lower than single digit.

Ankur : And just on pricing, any change in competitive behavior from any of your peers, if I can name some like Lloyd, Daikin who obviously become hypercompetitive over the last few quarters, any change there or is it still very volume focused over margins ?

Management : Ankur, we all know that if the initial months of the season quarter won't perform as in the line with the growth which company has projected or the brand has projected for the only tool what they have is to resort on the pricing. So, we did see aggressive pricing by few brands, you name almost all, so I am not going to put again to save time on the Q&A session, so that we have seen it, but as I said, we won't concentrate only on the price because there are certain tools in our hand, which Mr. Verma in his opening spill has clearly spelled out on which we focused upon it have been circulated to all the investor fraternity as well. So, I would say that rather on price, we have more focused upon the BTL activities and winning the confidence of the channel partners on some of the markets where we were focusing upon for a long time and that has helped

Voltas Limited
August 12, 2023

Page 8 of 17

us and as I said, we have to continuously drive this as we move forward to achieve our strategic goal of market share as well as margin what we are looking for.

Moderator : Thank you. We have our next question from the line of Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera : Sir, you have indicated that in the quarter we have seen some commodity softness as well and our revenues are also higher on a sequential basis compared to last quarter, so this margin drops

sequentially, can you just explain what has been the major issue, I understand that you have not taken any price cut is what you are indicating, but slightly more color on how to look at the margins from current level?

el?

Management: Siddhartha, in fact in the past call also when we said why the commodity softening is not going to generally help the industry, the reason being is because looking into the seasonality of the product, generally the raw material gets indented at least three or four months in advance and that is why if I can see the announcements, because this time we were late in our announcements of the results, but if I see from the other brands who have announced the results, they have also not seen any significant improvement in the gross margins. This is a prime reason. The softening of the commodity price most had been seen after the February and March where for the brand as such and for almost all brands, the raw material got indented and the material starts flowing for the seasonal purpose. Now, having said that, your valid question is sequential drop in the margin, if you recollect during our March investor concall and thereafter as well, the brand incurred substantial amount of advertisement expenditure during this season period and it goes if I look into quarter as a percentage, quarter revenue to quarter outflow and advertisement, it goes as high as 4% for an half percent and that gets settled down once we go down and at the end of the year you find we end up growing 3% or 2.75% to 3% of the overall turnover. So, that is prime reason that some of the expenditure which are required to go on supporting the BTL and the ATL activities being incurred impacting the overall margin on a sequential basis.

The question from your side is how should we look, as you move forward to the subsequent quarter, we have been telling that the industry is becoming more competitive. Most of the brands are harping for the volume. Furthermore, the PLI scheme, if you have to qualify for each of the brand players in the industry, we can see more aggressiveness of the price to drive the volume growth and thereby qualify for the PLI scheme. So, in and all Siddhartha, we keep our stand, maintain that industry will now come to a single digit margin, and among those even Voltas which continue to be a leader in the margin. I would not like to quote any percentage currently, because we have been telling about the single digit margin, but I would like to maintain the same point, rather I would go on that irrespective whatever happens, the Voltas will remain leader both in margin as well as market perspective.

Siddhartha Bera: Also for the quarter, will it be possible to share the secondary volume growth which you have seen or that will be difficult?

Voltas Limited

August 12, 2023

Page 9 of 17

Management: No, we can share with it. If I am not wrong, the secondary growth for the industry in the market, if I take generally we take Siddhartha from February or January to June because that is a period where because different parts of country goes into a different kind of trajectory of the season and all, so if I look from this perspective, probably the industry has seen secondary growth of around 8% if I take January to June, but I would request, Vaibhav, we did one snapshot on that, so can you just reconfirm on those numbers, if I take January to June and if you take April to June or that matter?

Management: Sir, Jan to June is 8%.

Management: Jan to June is 8% right for the industry as such?

Management: Yes, sir.

Management: And that is what I said, Siddhartha. So, why we took Jan because we know very well this summer in the South region starts from the February and probably looks like this year, although we have seen good amount of monsoon, I would say unseasonal rains, but the second summer has already started both in West and South, as I am sure who are attending from Bombay and all they are feeling the pinch about the second summer and all, but if I take April to June, Siddhartha, so I have given you

Jan to June and if I take April to June period, the growth for the industry is around 20%.

Siddhartha Bera: And sir, second on this project business, so we have continued to see with recurring losses coming out in the past few quarters, possible to highlight when we get back to the normal sort of margin levels going ahead or there are many more provisions which will keep coming up in every quarter?

Management: Siddhartha, you are right in saying that there have been certain collection delays and certain other additional provisions which we have to take. I will assure you that these are following the conservative approach, which I can't say for other companies, but we being part of a larger group, we always report whatever is the truth out there. Now in the project business and specifically in the global markets in the Middle East, there have been certain headwinds with which when we are looking at our projects business, we are taking those provisions and this is in a way, cleaning up of the whatever legacy issues or whatever would have been like even in this quarter we have

reported and we have shown in our financial statement , press release that there was a request for encashment which we will be fighting and we will be going with that. So, I wouldn't say that this is something which will continue because on the other side we have also started becoming more and more strict in our order taking , so that it will not restrict our kind of growth in that part of the region , though for a year or so we may step back and look at our procedures and the way we select our partners in terms of who we work with and what kind of contracts we take and we ensure that we get payments on time because when we do our work on time, we expect our payments also to get on time and we don't want to get in situations that once the work is done we are pushed or the payments are slow, so that is an approach or you can say it is a retreating of the business a little bit and just taking the prudent approach on the numbers.

Voltas Limited

August 12, 2023

Page 10 of 17

Moderator : Thank you. We will take our next question from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella : Just on the UCP segment, I wanted to confirm the number that you cited earlier. I think that air cooler has grown about 49% in the quarter and if you could also please just share how much the commercial AC and commercial refrigeration parts of the segment have grown as well as RAC on a pureplay basis ?

Management : So, if I look from the commercial refrigerator perspective we have put on our spiel that what we anticipated , the growth actually has on lower side , the reason being is on a higher volume base that is the first and second thing is due to the incessant weather, the demand for the cold beverages, chocolate and the ice creams actually had tapered down. So, once we see this kind of cycle, you find that the demand is not there and impacting the overall primary sales from the brand as such . To put together , our growth in the commercial refrigerator was in single digit and if I look from the UCP perspective, the product sales actually have done much better . Service revenue, which will combine with the commercial air conditioner, has seen a lower growth if I compare with the product sales, but the overall growth for the C AC business was around double digits and exceeding 25 % to 30%.

Abhijit Akella : And then just the other thing was on the market share numbers , so when I look at the exit run rate of market share reported for June, it seems to be about 20.6% versus last year, I think it was 24.1% as of June again , so it seems to be a decline , I was just sort of trying to reconcile that with your statement earlier that market share has actually increased , so perhaps if it is possible to share the average market share for the quarter

and for 1Q this year and last year?

Management : When I was saying we have improved on the market share , so I was more referring to the sequential improvement from the May if I take from April or I can take it from March, April, May and June, yes if I compare with the last year June on a Y-o-Y basis , yes, the market share has done and we have been steering into it for the last almost 8 to 9 months, so we have come down from 24% to around 20.6% now in the June exit. If I take an average market share we are somewhere around 19%. There is no comparison for the last year because last year we were running most of the sphere in excess of 24%. So, you can say for a calculation purpose we are running around 24 % average market share in the last year and this year we have come around 19% what I just told you for that matter, but as I said, there is a journey for it and that is why I said some of the markets we analyze much deeper way where we have to focus upon. The efforts are there and we are hopeful that as we move forward it turns out to be result oriented gain in all the efforts that we are putting currently.

Abhijit Akella : Just one last question if I may flip in, just the geographical or region wise split of revenues, if it might be possible to share some color on that for this year versus the comparative last year numbers ?

Management : Abhijit, what I said that the industry has seen the tilt toward this current year, otherwise North normally contributes 50 % to 55% of the overall business for the industry and that even Voltas

Voltas Limited

August 12, 2023

Page 11 of 17

is very strong, but we cannot be far away from the industry, otherwise our market share sees reflection to it. . So, in an overall basis, if I look into it, the South and East have done this time much better. They have inched up by 2 % to 3% what they used to have , otherwise North has dipped down and West has affected the most.

Management : Abhijit, Vaibhav this side. The market share for Q1 FY23 was around 22.5% .

Abhijit Akella : So, 22.5 compared to about 24 last year?

Management : 22.5 last year and vis-à-vis 19% this year.

Moderator : Thank you. We have a next question from the line of Dhananjai Bagrodia from ASK. Please go ahead.

Dhananjai Bagrodia : Just a couple of questions, if we see our EBIT for our EMP business, the losses as you taking in the exception of the last two quarters also has been equivalent to five-year EBIT of the same business before that, so net-net, all the hard work is not being able to be fructified, is any thoughts about maybe scaling down the business or even going about it slowly because five year business to be lost in 3 quarter is a huge number if you think about it ?

Management : What you are saying is exactly the thoughts in the minds of the management are and that is a fact the numbers don't like, but rather than scaling down the business, like I said, the opportunities are great, you have to go in with more improved processes in terms of who we contract with, how we contract with and what kind of procedures we will be putting and those are the things which we have been doing over the last few months and we continue to strengthen that part of our business in terms of getting the things properly. On the execution side as the project is executed, we are very strong and we have been in that part of the region for the last 40 years; however, certain players in that part, they have started this new thing of not paying on time and then once the project is done, then finding excuses for not paying it. So, those things which we need to improve it, so I would say it is more external, but we need to be stronger internally to face these kinds of external situations. I do not want to name or be specific, but yes it definitely does not look good that all the efforts of last few years get wiped out in a small

portion,

but at the same time as the top of the larger business of Voltas, we always stand with our businesses because each vertical or each segment of the business have their good days and the bad days. So, at this time, we can say that we are facing some rough weather in reference to our international operations and we need to stand with them. So, there is no scaling down, but it is prudent cleaning up of the process.

Dhananjai Bagrodia : So, from your assumption, having seen other players also do a similar business, what are we doing wrong in this compared to other players because no one else is having this EBIT level loss or recovering anything which we are doing different versus them and then what we can incorporate to do something similar to them ?

Voltas Limited

August 12, 2023

Page 12 of 17

Management : We are looking at other businesses also which are in the similar field like us in the electromechanical projects. We have seen people facing similar problems in the business. How are they doing their accounting is what we would not like to comment and like we had said that we always take a transparent approach and the prudent approach. So, in the business side, we are seeing the kind of similar issues being faced by others.

Dhananjai Bagrodia : And sir, would we also look at like other players have started realizing that to go about this segment by maybe having outsource model, so that to increase our asset turnover, is that something which we could also look at for our UCP business?

Management : I don't know really what you refer to. I mean in this contracting business outsourcing is the norm because.

Management : No, sir, he is referring to the UCP segment, you were talking about UCP.

Management : Sorry, I thought he was talking about that.

Management : Project is always on outsourcing model, what rightly said by you, sir. So, in case of UCP, what happens generally is asset light model was the key till such time we have seen or I would say we have a different sources to put the material in. Now the question is when you go on a higher on the volume side, it all depends upon how you strengthen your back end or I would say backend process, in order to gain control on the design as well as on the uniqueness which product is going to differ. To our reading, when we have gained our market shares this time, we could do it by virtue of our in-house SKUs which are there in the market today in a larger spectrum and that actually helped us to go on this. We are still following the asset light model because we have not gone for the entire backend or the all components getting manufactured in our own factory, we are going to outsource some of these through the OEMs and in the import source, but the balancing needs to be done in order to attain the product differentiation, design, controls and more importantly, to get advantage on the shift in the economics which you are seeing today in terms of the sourcing.

Dhananjai Bagrodia : What do you think will be volume for the industry for the year?

Management : You are asking me at the end of the quarter 1 to forecast for the quarter 4, in fact for the quarter 1 the industry was expecting around more than 20% growth, but the way in which weather behaved all forecasts have come down drastically. So, I would say that was, let us wait for the festival period to get over for us to assess in terms of how the overall volume growth will look like.

Moderator : Thank you. We have our next question from the line of Nihar Davey from Vallum Capital Advisors. Please go ahead.

Nihar Davey : My question was since that market share has come down, like you said, on an average from about 22% last quarter to 19% at the moment, do we have any plans or strategy in mind to gain

get back to that 22 or do we see our strategy aligning more to 19 itself and continuing that 19 ?
Voltas Li

mitted
August 12, 2023

Page 13 of 17

Management : See, as I said, none of the brand would like to stay where they and they make all efforts to climb up on the stage, and that is where we are leading upon . Our internal target is on a much higher side and I would not like to quantify on the call because we have to prove ourselves, which we have proven now in quarter 1 by improving upon it and hopeful as you move in the year forward, we will see a good amount of improvement over there.

Nihar Davey : And sir, my second question is like you said, the gross margins are also down , any strategy change that we are expecting that we will start the pricing more aggressively like our competitors are to gain that internal target which is a higher market share?

Management : As I said, we always try to balance the market share and the margin and we will continue to focus upon it. That doesn't mean that no price correction we have taken in this quarter, which has gone by, but that correction was not across the market and across all categories or across all SKUs . So, we do balance it out and we will do that activity or that , I would say eyeing detail which you talk about and keep our eyes close to the market. So, we continuously follow it, you won't find any price correction happening across markets and across all SKUs. It balance it out to gain wherever we can and to release the price wherever we find it is better to do it to maintain our positions in that particular market, in particular potential territories.

Management : I just wanted to add that, you have to remember that numbers of course , everybody looks at the numbers on market share , but we continue to maintain our leadership position both in the market share as well as the margin. See, there are certain players who tend to buy the market share, continue to keep on making losses in this segment and then saying that we have the volume numbers, etc., that is why we are very alive to that fact and we have to balance our situation . We are not here to give away our market share to anybody who wants to come in and play the prices. So, we according to the geography, according to the market space , we are also doing what we need to do . On pricing , on other areas like we earlier mentioned, whether it being in increasing our reach, increasing our strategies by introducing more innovative products, more value engineered products to save costs because it is always margin versus market share and we are focused on our market share as well as at the same time if somebody wants to go and keep on hurting themselves , so that is their problem . We have to maintain a balance out there .

Nihar Davey : Just a small follow up on that , so any particular regions or any particular categories that the management is more open to let us say being aggressive at pricing ?

Management : So, I would say entire market is open street for us to play around on pricing or on the kind of product differentiation. So, I would say that focus will be continuing where we have put our efforts on South side . North anyway, we are strong , so we have to further ensure that we are not losing on that position , so West and East required to be more, I would say aggressive in terms of fixing the opportunity of the growth in future .

Moderator : Thank you. We have a next question from the line of Latika Chopra from JP Morgan. Please go ahead.

Voltas Limited
August 12, 2023

Page 14 of 17

Latika Chopra : Two questions , just trying to understand the construct of your revenue for air conditioner segment , the first is if you could share what is the theme of organized retail and e-commerce in this business currently versus say couple of years ago? And how does profitability metrics track for these channels for you versus traditional dealer 's channel? That is the first question and the second question is again, j

u st trying to sense what is the contribution of channel finance to this segment currently, is it very different from what you saw pre -COVID and also does it different in any way the trade margins or the product margin?

Management : So, Latika, if I have to put on the first question in terms of how the organized , the e-commerce has behaved , Latika. In fact, the definition of the organized trade is changing , I would say in a very dynamic way and what we count with the organized trade, we are counting the regional strong partners as well because what is happening with them is they are expanding beyond their home territories. So, in our terms, in the industry terms, we talk about the regional players , but they are now taking shape of the organized player as well. Otherwise, if I go to the old tradition of the organized players, I would find the modern trade which was classifying as the organized trade as such . So, if put together both I look into the e-commerce versus organized trade , they are strengthening their position in the market, making difficult for the moment pop stores for them to survive and eventually if retail has to drive to the Tier-3 and Tier-4 cities as well,

probably over a period of time, distribution itself will convert into a retail stream and you won't find any products are getting or being done for distribution channel, but that is probably another, I would say a long term or I would say a mid to long term kind of market development, but otherwise what we see today is put together e-commerce, organized trade, modern trade, put together, they have inched up to close to a contribution sale of industry around in excess of 35% or 40% compared to what they used to have less than 15% to 20%, I would say 3-4 years back.

Latika Chopra : And does it in any way influence the channel margin on a light product?

Management : Obviously, Latika when some becomes more stronger, the monopoly principles drive, right, so it is going to be more difficult for the brand in order to serve the modern trade or the organized dealer and e-commerce as well. I would find the e-commerce is disruptor in the other way because they do announce one day sale or Big Bonanza sale and the price gets dropped without even consent from the brand side. So, we have to deal with it and we have dealt in the past with all these players, and we will continue to do into it, but what is more is like if these are getting more stringent, it will see overall impact of course to serve to the end consumers and that is why you may be recalling that the all brands are now putting more focus on their exclusive brand outlets as well as their own e-commerce portal or the online channel in order to cater to the customers directly. You may not find traction currently, but as a brand, if you see the next 5 years down the line, probably this should start getting good amount of attention from the customer as well. In terms of your second question, what was the second question?

Latika Chopra : That was on channel financing?

Management : Channel financing, yes, in fact the entire market under the channel financing undergone a change for the last 3 to 4 years. We have seen these small finance companies, credit cards and all are

Voltas Limited

August 12, 2023

Page 15 of 17

now getting participated in the consumer finance, seeing the retail growth in this category and once upon a time, the stronghold like Bajaj Finance, they are overall losing share into it, but if I want to put a percentage on the leaders, Bajaj is still a much higher percentage of share in this overall market, but the credit cards and all also have almost started contributing in around 10% to 12% in the overall channel financing spectrum for that matter.

Latika Chopra : So, what is the total savings of channel finance products in this?

Management : So, generally Latika, you find sales

on the higher side. So, if I look Q1 sale for us, I would say that if I want to put as a percentage to turnover or I would put percentage to the primary because secondary data we do analyze on an overall basis, it does go higher as 30%-35% now on the channel financing which otherwise is to have 10% to 15% if I look into 3-4 or 5 years back, but as I said, it is not totally on non-recourse basis and brand contribute towards subvention cost and there also we do many times co-sharing with the channel partners because at the end and that channel is getting benefit along with the brand.

Latika Chopra : And just one small follow up, how many brand outlets do you have now?

Management : We are currently around 270 and we have a much aggressive plan to expand it.

Latika Chopra : And across how many cities now?

Management : Across we find more on the Tier-2 and Tier-3 cities because there otherwise metro find difficult to have, although we are planning to go for it, but then more places you find in Tier-1 and Tier-cities. Tier 3 is yet to catch it up in terms of the market as such.

Moderator : Thank you. We have our next question from the line of Keyur from ICICI Prudential Life Insurance. Please go ahead.

Keyur : Sir, first question is on this breakup of the UCP segment either for the season of Jan to June or for the full financial year, what would be non RAC as a percentage of UCP revenues broadly on a steady state basis?

Management : So, obviously the percentage of RAC will be higher during the season time because when I say season in a sense, if I put together CR, Air cooler and AC together the percentage definitely get tilted towards the air condition being the large value per unit item compared to the air cooler and the commercial refrigerator. So, I will say like if I have to go on an average annualised basis, you find that if I take 100 as a part of contribution from AC, CR and the air cooler, you find that 75% to 80% comes from the AC, 15% odd, 15% to 17% comes from the commercial refrigerator and our cooler also the volume may find huge on a higher side, but being the lower price per unit value, it contributes around 2% to 3% of the overall revenue. So, I have calculated this from considering the 100 as comprising of these three, if I added the CR, then CR will contribute around 18% to 20% on overall basis.

Voltas Limited

August 12, 2023

Page 16 of 17

Keyur : Sir, second question on the inventory, since in a peak season, you have done this kind of great

sales growth in UCP , should we assume that channel inventory is normal , so what will be channel inventory and brand inventory levels as of now ?

Management : See, as I said in the answer to the first question to one of our colleagues that the generally primary follows the secondary because there is no secondary then primary also will feel some kind of impact into it . In terms of inventory, if you are looking into and particularly the sale which took place or which taking place now under the second summer, in our own reading, the inventory at the trade level is a much comfortable level and probably it will not going beyond even 30 to 35 days if I put together all India bases. Region wise it may differ, but I am sure South and West will not be getting huge inventory including East as well , however , the North because this season has seen some kind of setback maybe slightly having the higher inventory.

Keyur : And sir, just last one clarification on one of the points in the result press release regarding 3.7 billion bank guarantee being asked by the main contractor , so this is already shown as of now as contingent liability since you just clarified it , since it was basically main contractor asked to encash the same , so it continued to be a contingent liability and we don't need provision as of now that is what this stand is right ?

Management : Yes, you are

correct and that is why we have. It is a case actually from many years ago which has been going on between the original customer and the main contractor, no claims on us, nothing , but at the same time they send the request for encashment to the bank and bank has rightly decided not to encash it and therefore we have continued to keep it as a contingent liability, of course with the note clearly explaining what is the situation that is that .

Moderator : Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you , sir.

Management : Thanks all of you. I think there were some very wonderful questions to get insights into the business. As closing remark , I would like to maintain that Voltas is a national brand and we continue to focus on our leadership positions and we are always there to provide good products at right price to their customers and customers know what Voltas stands for.. We have shown in this quarter that in spite of incessant rains in all of North India, we still do a very strong growth in other regions, other parts of the country. So, that is a kind of a testimony to the trends to which we can draw on. We are looking to grow this business more. The penetration levels in the country still remain low and we are going to get the fruits of the economy growing as our current government has very aggressive plans for Make in India and all those benefits will definitely accrue this company and we will continue to go for it. We are expanding. We are making the factory in Chennai , so that definitely is an indication that we are out there to make the most of the opportunities which are being given to us and with that, I would like to thank everyone once again.

Management : Just to add on what Mr. Verma said , but this year is going to be challenging for both product and the project business and the efforts from the management side is to continue this growth

Voltas Limited

August 12, 2023

Page 17 of 17

momentum and seize the opportunities whenever it arises in the future. Thanks a lot to all of you to spend time on the weekend to attend this investor call and wish all of you a good weekend and extended weekend as well. Thank you.

Moderator : Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Oct 2023

27th October, 2023

BSE Limited National Stock Exchange of India Limited
Department of Corporate Services Listing Department
Phiroze Jeejeebhoy Towers Exchange Plaza
Dalal Street Bandra-Kurla Complex
Mumbai 400 001 Bandra (East), Mumbai 400 051
Scrip Code: 500575 NSE Symbol: VOLTAS

Dear Sirs,

Sub: Transcript of the Earnings Conference Call pertaining to Financial Results

Further to our letter dated 17th October, 2023, we enclose herewith a copy of the transcript of the Q2 FY24 Earnings Conference Call on the Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and half year ended 30th September, 2023 held on 20th October, 2023.

2. The same is also available on the Company's website at

https://www.voltas.in/images/Investor/schedule-announcements/download/Voltas_Earnings_Call_Transcript_Q2_FY24.pdf

Thanking you,

Yours faithfully,
VOLTAS LIMITED

V. P. Malhotra
Head – Taxation,
Legal & Company Secretary

Enc.

Page 1 of 18

“Voltas Limited Q2 FY24 Earnings Conference Call”

October 20, 2023

MANAGEMENT : MR. JITENDER PAL VERMA – CHIEF FINANCIAL OFFICER
MR. MANISH DESAI – HEAD CORPORATE FINANCE
MR. VAIBHAV VORA – MANAGER CORPORATE FINANCE
MODERATOR : MR. DEEPAK AGARWAL – PHILLIPCAPITAL (INDIA) PRIVATE LIMITED

Voltas Limited
October 20, 2023

Page 2 of 18

Moderator: Ladies and gentlemen, good day and welcome to the Voltas Limited Q2 FY24 Earnings Conference Call hosted by PhillipCapital (India) Private Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Deepak Agarwal from PhillipCapital (India) Private Limited. Thank you, and over to you, Mr. Deepak.

Deepak Agarwal: Thanks. Good afternoon, everyone. On behalf of PhillipCapital (India) Private Limited, I welcome you all to Voltas Limited Q2 FY24 Earning Call.

Today we have with us management represented by Mr. Jitender Pal Verma – Chief Financial officer; Mr Manish Desai – Head Corporate Finance; and Mr. Vaibhav Vora – Manager Corporate Finance.

I would like to thank management for giving us the opportunity to hold this call. Now I would like to hand over the floor to the management for their opening remarks, post which we will open the floor for Q&A. Thanks, and over to you, sir.

Jitender Pal Verma: Hi. Good afternoon. This is Jitender. Thanks to all the participants who have joined for the call. Before we get to the question-answer session, we just wanted to have a few words and explain our results, and then we can go on to the question-answer session.

As we all know, the second quarter of FY24 began with a slow economic recovery across major economies, but amidst sluggish pace. The action taken by the central banks across the globe on tightening of the monetary policy by increasing benchmark interest rate has helped tame the inflation to some degree. However, inflation still remains at higher levels. The key commodity prices have also shown a downswing given the overall supply exceeding the demand. Amid this slow recovery, recent geopolitical events may further cause some disruptions in the near future, and we have to wait to assess its impact on the economy.

In these challenging times, the Indian economy has remained resilient. High frequency indicators of GDP growth, GST collections and PMI point towards sustained economic recovery largely led by the urban diaspora. However, the rural economy is still having muted growth owing to high inflation. Given the lower economic growth in developed countries, recent geopolitical events and strengthening of US dollar index may impact the fiscal budget which will consequently impact the overall economic growth. There are still some positive offshoots in terms of manufacturing focus fueled by production-linked incentive schemes announced across various sectors and signs of receding inflation month-on-month that should support the growth going forward.

Voltas Limited
October 20, 2023

Page 3 of 18

In this traditionally tepid second quarter of the financial year both for product and project businesses, Voltas clocked a considerable topline growth in both unitary cooling products and projects business. The financial results for the quarter have however been impacted on account of the provision of Rs. 86 crores due to delayed collection in the overseas business. Consolidated total income for Q2 FY24 was Rs. 2,364 crores as against Rs. 1,833 crores in quarter 2, FY24, growth of 29% year-on-year. The profit before tax and after tax was Rs. 85 crores and Rs. 36 crores, respectively. Earnings per share (face value per share of Rs. 1) (not annualized) for the quarter ended 30 September 2023 was at Rs. 1.11 against a negative EPS of Rs. 0.22 reported last year.

The consolidated total income for the 6 months period ended 30th September 2023 was higher by 25% at Rs. 5,794 crores as compared to Rs. 4,627 crores in the corresponding period last year.

r. Profit before share of profits, loss of joint ventures, associates and tax was at Rs. 352 crores as compared to Rs. 340 crores in the corresponding period last year. Profit before tax was at Rs.

288 crores as compared to Rs. 174 crores last year. Net profit after tax was at Rs. 165 crores as against Rs. 103 crores in the corresponding period last year. Earnings per share not annualised for 6 months ended 30th September '23 was at Rs. 5.02 as compared to Rs. 3.07 last year. The corporate balance sheet continues to remain healthy with the cash and cash equivalents and minimal borrowings at Rs. 2,590 crores as at the yearend. With the objective of conserving cash for the potential future growth opportunities, the Board in its meeting has approved issuance of listed unsecured non-convertible debentures to the tune of up to Rs. 500 crores for funding the capital expenditure plans.

You have already seen our snapshot of the results.

Segment A: Unitary Cooling Products:

The second quarter of a financial year is usually a lean period for the unitary cooling business through the initial period, but it is also the start of the festive period that continues for a period of two plus months across various parts of the country. The Onam festival in Kerala has witnessed a strong growth in the appliances business after almost three years of muted sales. This has given a hope of higher tertiary sales in the coming festival period across the rest of the country supporting primary billing to the trade partners that is reflected in the overall volume growth of the room air conditioners during this quarter. The focus on the inverter category and promotion of higher energy efficiency products has resulted in a healthy product mix contributing to the overall margins.

Voltas continued its leadership in multi-brand outlets with YTD market share of 19.2% and exited August market share of 19.5% amidst an intensely competitive and fragmented market.

The commercial refrigeration vertical witnessed a muted growth on account of cautious investments by B2B due to lower demand of cold beverages, chocolates, and ice creams.

Voltas Limited

October 20, 2023

Page 4 of 18

Nevertheless, the focus on the retail channel and product mix within the category supported the overall volume during the quarter on a higher base of the previous year. Within the commercial refrigeration category, the demand was buoyant for water coolers.

The air cooler vertical witnessed a strong demand in East and South India, whereas demand in northern region was tepid. Increased channel participation, network expansion, and product launch at competitive price points resulted in more than 50% volume growth over the previous year with an exit market share of 7.7% as of July and achieving the number two position in the industry.

In commercial air conditioning vertical, the quarter has witnessed a good demand for chillers and packaged air conditioners. The mandatory quality control order QCO compliance in few of the commercial air conditioning product categories and slowdown in projects will have some impact for the coming period. However, the focus on customer retention and retrofit jobs will continue to support the overall growth for the category.

Commodity prices have softened during the quarter. However, the volatility still continues.

Various manufacturing initiatives undertaken, expanded sourcing base with expected stabilizing of commodity prices should help in containing product costs, thereby supporting the overall margin in the future.

To summarize, for the quarter ended September 2023, unitary cooling products segment registered revenue of Rs. 1,209 crores, a 15% growth in turnover from Rs. 1,048 crores in quarter 2, FY23. The segment reported an EBIT of Rs. 93 crores in quarter 2, FY24 as compared to Rs. 76 crores in Q2 FY23, a growth of 21%. And for the six months ended September 2023, unitary cooling products segment

registered revenue of Rs. 3,723 crores, a 16% growth in turnover from

Rs. 3,210 crores in the first half of FY23. Segment result was Rs. 300 crores in the first half of FY24 as against Rs. 243 crores in the first half of FY23, a growth of 24%.

In Segment B, which is "Electromechanical Projects and Services":

The segment revenue for the quarter was Rs. 924 crores as compared to the previous corresponding quarter revenue of Rs. 554 crores, a growth of 67%. These segment results, however, for the quarter reported a loss of Rs. 49 crores due to a provision of Rs. 86 crores made on account of delayed collection in overseas projects.

A healthy order book at the beginning of the quarter and scheduled execution has resulted in this attractive growth for the domestic project business during the quarter. The focus on collections and certifications has improved the overall working capital and return on capital. The domestic projects segment booked orders worth Rs. 673 crores largely in the electrical and MEP as compared to Rs. 475 crores during the previous quarter.

Voltas Limited

October 20, 2023

Page 5 of 18

Commencement of new projects and planned progress in the running projects during the quarter resulted in higher revenue over the previous year. While top line has grown as targeted, the overall results in our overseas projects business have been impacted due to slow progress in the certification and collection of the receivables in few sizable and completed projects. Accelerated efforts are underway to expedite certification by engaging with the customers and thereby improving collection of the due amount. The order booking in overseas projects IOBG for quarter 2, financial year '24 was Rs. 449 crores as compared to Rs. 119 crores in a similar period last year.

The carry forward order book for domestic projects stands at Rs. 5,309 crores containing orders across water, HVAC, rural electrification and urban infra-activities. The international order book as at 30 September 2023 stood at Rs. 3,368 crores largely in the UAE, Qatar, and Saudi Arabia region. Total carry forward order book of the segment stood at Rs. 8,677 crores vis-à-vis Rs. 5,496 crores of outstanding orders as at 30th September 2022.

Segment C – “Engineering Products and Services”:

The segment revenue for the quarter was Rs. 134 crores and EBIT for the quarter was Rs. 54 crores, respectively.

Our customer-oriented approach continues to support Mozambique operations contributing significantly to the result. However, a sluggish iron ore market and slower pace of infrastructure roll out has muted the domestic mining business performance.

In case of textile machinery business, capital machinery rolls out from the principal remained positive although a reduction in yarn price and deceleration in exports coupled with supply chain disruptions has lowered the momentum. Focus on sale of accessories contributed positively in the overall performance.

Voltas Beko:

During the quarter, Voltas Beko crossed a cumulative volume of 4 million units since launch of commercial sales becoming the fastest brand to achieve this milestone. The overall volume growth was in excess of 40% over the previous year against a muted growth for the industry. In line with the premiumization efforts, the overall revenue share of frost-free refrigerators and automatic washing machines has increased over the previous year. The intelligent spend on digital and social media has also helped the brand in connecting with the youth and targeting the consumers in an effective manner. Leveraging on the distribution reach of Voltas, the touch points have seen accelerated expansion over the last two quarters. The strategic tie-ups with modern trade and e-commerce partners in addition to the traditional channel has contributed in achieving much higher volume growth than the industry. Our market share stood at 3.3% for refrigerators and 5.4% for washin

g machines, representing an increase of 0.9% and 1.4% respectively over the same quarter previous year.

Voltas Limited

October 20, 2023

Page 6 of 18

The favorable product mix coupled with localization of the fast-moving SKUs has resulted in the improvement of overall gross margins. The profits have remained at the previous year levels despite higher advertisement spends and spends on BTL activities. Various cost reduction efforts coupled with increased in-house production of SKUs will improve the overall gross margin leading to better profitability for rest of the year.

Outlook:

The early indicators of tertiary sales indicate a strong demand during the upcoming festival months. The downtrend of inflation, stagnant interest rates, and a fulfilling monsoon season may help in reviving rural demand during this auspicious period. The general elections may slow down capital spending by the central government over the next few months. However, the long-term commitment of government towards improving infrastructure remains intact. Private capital spends are expected to continue on the back of the production-linked incentives announced across sectors. We, therefore, remain optimistic given the various supporting factors for the business we operate in.

Thank you. That is the end of my introductory message, and we may open the floor for the question-answer session. So, we will request to take it forward. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.

Natasha Jain: Sir, my first question is regarding the EMPS segment. Sir, are these delays in collections happening because we were possibly a little negligent in terms of screening these orders or are these more geopolitical related specifically in the Middle Eastern belt? And how are the margins in the newer orders that we are taking because the order book is quite strong? So, does it mean that in order to get surety of payment, we might bid for the new project that's probably a lower EBIT margin than historically taken?

Management: If you look at the slowed collections, it's basically a trend which we are seeing in our

international operations and because of that over the last few quarters, we have changed our strategy and for our new order booking, we are being extra careful. However, whatever the previous orders are there, one has to complete them because, one, there is a contract. Two, there are guarantees given. So, we have to manage that.

We mean, at least in this case, we do not see any major bankruptcies as such but following a conservative approach to taking provisions, we take the provisions. So, as and when these collections will come true, which we are very hopeful, we should be able to reverse these provisions.

However, going forward the margins also we are targeting to improve which kind of reflects or will reflect a risk premium in the region. We remain committed to continuing with this business

Voltas Limited

October 20, 2023

Page 7 of 18

and looking at the profitability in a big way, because we do have a large presence over the, we would say, last four decades and that would help us in getting projects of our choosing and which we would continue with that and hope to not having to face the similar situation.

It's basically a selection of good customers which we have to focus, and that's what we are focusing while taking the new projects. On the domestic project side, where the bigger focus is there, we are also having the similar controls and strategies being followed.

Natasha Jain: So, should we assume that the newer projects will come at similar margins?

Management: Yes, similar margins

Natasha Jain: And sir, my second and last question is, so you have been mentioning that along with market share protection, you will also ensure that your margins are protected

, and then in the recent

times we read Noel Tata's narrative that market share loss may be on account of not getting discounts or add in than promotional spends and therefore losing a bit of volumes there. So, just want to get some clarity as to what's the long-term strategy going to be for us from here on?

Management: Natasha, the long-term strategy remain intact. Sorry, this is Manish over this side. Long-term strategy remain intact to have the balance view both on margin as well as on the market share.

The market is becoming more fragmented and is becoming more concentrated now with the top seven to eight brands fighting for the piece of the market share. So, some kind of volatility or some kind of intensity can be seen in the market but the long-term objectives will clear to remain leader in both market share as well as margin.

Moderator: Thank you. Our next question is from the line of Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera: Sir, my first question is on the UCP Side so we have talked about a 20% volume growth and our overall revenue growth has been 15%. So, can I just tie where, how is the growth in RAC and if you can break into the remaining segments like CR and CAC, how the growth has been?

Management: So, Siddhartha, our growth in the AC we have a growth of around 15% or so. The overall growth what we talk about the 20% is largely laid by the air cooler and the sub-commercial refrigerator category like water cooler and water dispenser. Commercial refrigerators remain almost having a muted growth over the last year. So, this is a composition we have. Since the growth in air cooler is an excess of what we have given in our investor spill result tilting towards a higher turnover, higher overall volume turnover for that matter.

Siddhartha Bera: So, overall volumes include air coolers as well as ACs in that?

Management: All categories have seen a growth largely, but in that among all, the air cooler is the biggest one or the highest one for that matter.

Voltas Limited

October 20, 2023

Page 8 of 18

Siddhartha Bera: And sir, going ahead in terms of the commodity benefits which you have talked about, can you highlight, I mean, in general, do we sort of factor in and get back to that earlier levels of double-digit margins at some point with the benefits or do you think given the competitive intensity in the market that may take longer even with the commodities softening now?

Management: No. So, what we have written, what we talked about is we have seen some kind of softness in the commodity price, but the volatility still continued. So, in a way the benefit which the brand or the manufacturer should get on a long-lasting basis is still not there.

However, given these situations wherein we are, the market consensus says that the supply is going to exceed demand at least for some period of time. Thereby we are presuming that the commodity price should soften out, and if that happens, it should support to the product cost wherein we are using the critical commodities like your aluminum and the copper.

However, that question doesn't get ruled out by giving the passing of this benefit to the end consumers, but that we have to play around in the market looking into the dynamics prevailing across country for that matter.

Siddhartha Bera: Sir, lastly, if you can break out the UCP revenue mix into the particular segments, like how much

will be RACs and CAC and CR?

Management: As we said, the growth in air conditioner at 15% overall in terms of volume and in case of commercial refrigerators, subcategories like water cooler, dispensers are in double digit and air cooler being the highest in excess of 50%.

Siddhartha Bera: Sir, I am looking for the mix. How much percentage of UCP revenues would be RAC?

Management: So, if the percentage almost remains the same because we have to take, if we go quarter by quarter, then you find that the AC contribu

tes highest to it because of volume being on a higher

side, the value per unit on a higher side. So, in Segment A, over 25% odd is coming from the CAC business, rest all from my traditional AC and the commercial refrigerator, and the air cooler business. And within that you find that the ratio between them is 75% is 55%, 15% and balance 5% between air conditioner, commercial refrigerator and air cooler.

Moderator: Thank you. Our next question is from the line of Pulkit Patni from Goldman Sachs. Please go ahead.

Pulkit Patni: Sir, I want to better understand this 86 crores provision that you have taken for delayed collection. Can you tell me how does it works? Is this ECL? Because a delay in payment would not provide you to take a provision. And can you also tell me what is the balance revenue pending in this customer? Because if there is a delay here, what more could we see in future quarters?

And I think just continuing with the same question, can you also better explain, like we have been speaking about, or we have been taking these provisions for quite a lot of quarters now, as

Voltas Limited

October 20, 2023

Page 9 of 18

a management, when do you see things turning for us in terms of better profitability for this segment? Any sense on that would also be helpful.

Management: So, Pulkit, if we answer in two phases, the provision which we had, yes, if we talk about the ECL following the policy what we follow, it would not have amount to the provision what we have taken in the current quarter or as well as in the last quarter and in some of the periods.

However, when we see some kind of stress happening on some of the projects, we go on a higher side following the cautious and the conservative policy.

So, in addition to the ECL, we go for a specific provision on some of the projects where we are seeing the stress continuing for some more time, and that's why we have done this specific provision in addition to what we supposed to follow the ECL provision in normal norms, and that's why you may find many times our policy is much more conservative compared to the other project companies operating in the similar kind of industry or similar kind of framework.

Now having said that, the second question is how long it will take into it? We are seeing stress continue over there. There are certain projects which we are watching very closely. Hopefully, we feel that situation should not arise because there are the commitments coming out from the customer side to have the collection or the payment plan given on the outstanding and hopeful we should not see such kind of provision coming back or coming or getting into in the future period, but it all depend upon, honouring of the plan which has been submitted today or the commitment kind of discussion or during our discussion with the customers.

We have to monitor Pulkit, in a quarter-by-quarter situations. These all provisions are pain to us as a management as well as to the investor fraternity. That's why in the last call also we said we have changed certain terms of doing the business in the overseas market and the consequences of that can be seen in my order inflow. It has come down in a quarter basis less than 1,000 crores. Probably, it will still have an impact, further impact as we move forward in the balance part of the year, but that's where we have to structure our business in the international operation till such time, we feel that or till such time we see recovery in the outstanding or in the overall collection process.

Pulkit Patni: Sir, I will take the liberty to maybe just extend this. So, there are other peers of yours also who have problems in these provisions, but they have some, they give some visibility that okay, these orders will get over by X quarter of X year, after that things should get better. Anything on that sort? Because this has been a continuing thing. So, as an analyst it becomes easy if we can g

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some direction on when we think the worst could be over.

Management: Pulkit, this provision we are taking not because of the running project. These all are coming into either project which are completed or maybe in the last leg of completion. To give you, if we want to go on a much conservative way, the way in which we are standing today, probably you can see such kind of pain may continue for the next two or three quarters. May not be as aggressive or as accelerated what we are seeing today, but if we want to follow the conservatism

Voltas Limited

October 20, 2023

and you asking me that on giving what kind of time zone you are looking for into it, so the next two three quarters we are feeling that some stress will continue in the international business.

Moderator: Thank you. Sir. Our next question is from the line of Dhananjai Bagrodia from ASK. Please go ahead.

Dhananjai Bagrodia: Wanted to ask you now regarding Voltbek. How are we seeing in terms of A, demand? And B, how do we see the year and next year along those lines? And when do we think, we will start seeing a profitable number in this in market share?

Management: So, if we look from the profitability perspective, if we want to go in a straight-line method or basis, the loss would have been quadruple because of higher volume which we have done in the current year.

However, if you can see our results, it has almost remained at the same level at which it was there last year despite our aggressive spend on some of the service initiatives as well as on the advertisement expenditure which means that we are earning or we are balancing our cost or we are optimizing the cost to the fullest extent in order to achieve our targeted breakeven year which is '24-'25 on a EBITDA front. And that's what our efforts continuing over there and we are hopeful that we should be able to get to the particular break even by '24-'25.

Having said, you ask about the market share. Market share has seen growth over the last year.

Since our focus is also going more on premiumization, the frost-free refrigerators to start with has seen some improvement in its overall volume mix or the value mix over the last year. With this we should be able to start gaining in the frost-free market share as well which got impacted and the market share which we are driving earlier was purely based upon the direct cold refrigerator which means that going forward, although 10% what we kept ourself as an objective in the year '24-'25 may not be attainable and that's what we clarified in our previous call as well. Probably we have to wait for some more two, three years before we get into a 10% market share, and this has largely been affected by the COVID two years, which has disrupted the overall distribution as well as on the targeted path what we kept for ourselves.

Dhananjai Bagrodia: Then maybe I will follow it up with the easier question, different question. So, what would be our detailed touch points, let's say last year and this year now, this quarter, year-on-year?

Management: So, if we look into it, we used to have in the range of 6,000 to 7,000 which has now gone beyond 10,000.

Dhananjai Bagrodia: And lastly, what is the CAPEX amount we are seeking for this year?

Management: Current year there is not much CAPEX. We would say the marginal or the normal CAPEX will be there at a plant, but the following year may see some kind of CAPEX given that we are going for more and more capital, more and more localization of the units in our Sanand factory for Voltas Limited

October 20, 2023

Voltbek. I hope your question more was on Voltbek because you continue to the Voltbek front, but for the Voltbek CAPEX

Dhananjai Bagrodia: No, CAPEX for the company.

Management: CAPEX, so since you are continuing in Voltbek, so we gave reply on the Voltbek side. On the Voltas side, yes, the CAPEX plan is in excess of 500 to 6

00 crores covering both capacity

expansion for our air conditioner as well as commercial refrigerator along with PLI led investments which we factored in.

Moderator: Thank you. Our next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Just on the EMP segment, if you could please just help us with the total maybe quantum or the value of the projects that are currently under stress, if that's possible to share that? And also, how much provision have we taken so far on this?

Management: So, as we said, Abhijit, we would not be able to provide any quantum on this matter. What we are trying to say over there is and the amount of provision what we have taken is anyway reflecting in our financial. Going forward, we just answered Mr. Pulkit over there is for the next two to three quarters, we anticipate some kind of stress given the current situation. However, the efforts are under way, we would say, to reduce the impact of such kind of provision as we move forward, and we are hopeful that our engagement with the customers on this ground should yield the favorable results as we move forward.

And again, sorry, Abhijit. Why we are saying it's difficult to provide a quantum, because some of the events which are taking place are not in the ordinary course of business, right? Like, guarantees invocations and all are not in the ordinary course of business. So, it is difficult today to provide, if we want to take the entire my receivables, it will be too conservative. If we take part of it, maybe we give more kind of optimistic view on that. So, that's why we said very difficult to provide quantum. Otherwise, we do not have a reservation any which way for that

matter.

Abhijit Akella: And on the UCP side, just within this 15% growth that we have reported revenue growth, how much would just RAC growth have been? And given that the market share that we have reported about 19 odd percent, I believe last year it was about 22 odd percent for the corresponding period.

So, should we assume that the MBO sales are basically what have declined for RAC and that has been offset by growth from say e-commerce and EBOs and other channel outlets? Is that how we should understand it?

Management: So, if we look from the, you ask for the first question on the value growth, the value growth is also at 15% for air conditioner and the volume growth is almost equal. That's why we say since

Voltas Limited

October 20, 2023

Page 12 of 18

there is no across or uniform price action which took place over there, the volume and value growth collaborates to each other.

The second question you talk about the channel participation in terms of the MBOs and all, we would say that not much significant change took place between the channel participation. Yes, the trend reflecting the distributor's strength is going down or distributor contribution is going down, getting replaced with the organized and the modern trade channel partners including EBO as well.

Abhijit Akella: Just also to just clarify, so within UCP, RAC sales have also grown by 15%. Is that correct?

Management: Yes. And it has both volume as well as value growth.

Moderator: Thank you. Our next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi: Sir, in one of the earlier calls, you had indicated the steep increase in capitalization post PLI is going to impact the overall ROC of most of the players. So, just wanted to delve deeper on that and understand so how long do you see the impact on ROCE, whether it will be short lived, or do you see the impact on ROC sustaining beyond three years or so?

And also, what would be the quantum probably that you would have internally worked out, if you can share maybe what will be the impact on ROCE, maybe 200 bps, 300 bps or how much the impact will be? So, that is question number one.

And question number two

is, now we are going to reach up to 2 million units in case of RAC

capacity. So, is it completely backward integrated or what will be the product that we will be manufacturing component wise? So, excluding let's say motors and compressors, what are the total capacity for each of the products, like say cross flow fan or plastic molding, sheet metal, copper tubing etcetera? So, is it also 100% backward integrated or what is the extent of backward integration?

Management: So, let me answer your second question first. When you say about the fully backward integrated, yes, in terms of the heat exchangers and the crossflow fans, some of the plastic molded components, it will be a backward integration. We just wonder what you mean by 100% backward integrations to these components because we are not going to manufacture the copper or we are not going to extract copper from the mines and neither not going to manufacture plastic to have these components in place. Leaving aside these two components, all manufacturing value addition will certainly take place as a part of our backward integration.

In terms of you talk about the ROCE impact, the expenditure will go in a phased manner as we build up the capacity, and we have already clarified earlier that the overall capacity what we are planning is around 1 million. And if we want to cater the South and West Market for the same, unlike other players, we may not see an under absorption of the capacity to a high extent. Yes,

Voltas Limited

October 20, 2023

Page 13 of 18

but it is difficult right now to give any impact on the ROC assuming that if we are fulfilling this condition of the PLI, it may not have a significant impact on the ROCE definitely since our capital expenditure will be higher and the recovery payback time is going to be 7 to 8 years. To that extent, it will have some kind of impact but get partially compensated by the PLI benefits which government is going to give.

Aniruddha Joshi: So, sir, means any number you would like to put, let's say, 200 bps or you don't see that or it's too difficult to see?

Management: We would not be able to quantify the impact currently. Let construction get over and let's start a commercial production from the factory and that point of time we should be more clear in terms of what impact will be there on the ROCE side.

Aniruddha Joshi: Sir, lastly, what is the total industry capacity right now? And where do you see the industry capacity, let's say, after a period of two years when most of the announced projects get over?

That's it from my side.

Management: Aniruddha, we are not sure because people are talking about capacity addition, are they taking, doing in two phases or they are going to come up in the first phase itself? So, very difficult to find out what is the industrial or the industry capacity is for that matter. We can talk about our own capacity which we are looking for it. The question then comes with how the PLI scheme will benefit or will have the general question is any excess supply than the demand from the consumer side? Probably, we have to wait and watch because we are sure the industry is going to align the manufacturing plan based upon the demand what they see in the relevant period.

Moderator: Thank you. Our next question is from the line of Shrinidhi from HSBC. Please go ahead with the question.

Shrinidhi: Sir, on the project business, may I ask what percentage of your project business comes from the government funded projects and how much it comes from the private market, and if you can tell it for both domestic market and exports market separately?

Management: In international business, generally, we have a quasi-kind of government structure, so not like clear that we have in a domestic scenario. In a domestic business, we would say electrical and water projects what we carry normally are funded by the Central and the state governments. In MEP, it's a mix. I

f we are doing Metro, you can say is again an entity being funded jointly by Central and state. And for the private consumers, it will be a non-government entities.

Shrinidhi: And in all these projects what we do in the domestic market, how much of the contracts wherein Voltas directly have contract with the authority which is spending and in how much of the cases it is somewhere there is a large contractor, and you are a subcontractor to it?

Management: Leaving aside water and the few electrical projects, probably we will be acting mainly as a subcontractor both under the domestic as well as international market.

Voltas Limited

October 20, 2023

Page 14 of 18

Shrinidhi: So, there will be one major contractor in between you and like eventual party who is investing.

Management: Eventual party may be either investing or maybe building for its own captive use. Say, for example, data center, right? Whoever constructing data center is putting it for the use. He appoint a main contractor to whom which we associated for carrying out a specific task.

Shrinidhi: And on the provisions, sir, like over many quarters, we have seen that for the very same reason company has been providing and the reason which typically we give is that there has been a delayed collection. So, over time, but we rarely get to hear that reversing of these provisions. Maybe it's the cycle, but what I want to understand is that in last few years, have these provisions turned out to be real cash cost and rather than delayed collection, it was maybe the underestimation of cost overrun that you basically calling it as a delayed collection, but it turned out to be cost overruns?

Management: Generally, what we state is what we mean. So, when we are saying we are providing for the delayed collection, it's the provision is coming on account of that and not the cost overrun. We just want to clarify the very first thing on that.

Second thing is the provision been started taking into the account for the last, accelerated provision, we would say, for the last three, four quarters and the results attributable to maybe the onerous one in few of the quarters and the few of the quarters because of the stress what we are seeing in this market. The reason what you said is we keep talking about the delayed collection, but yes, the fact is that we are seeing those kinds of situations, and that's why we are going with the reason of delayed collection and not anything else for that matter. The question is how long it will continue? Probably, as we said to the earlier participants, we hopeful that the pain may not last for long.

Shrinidhi: And just if I can build on to this question, is there a kind of a like a cumulative provision number that set in balance sheet which can eventually come back if things improve or the cumulative number is not very different from what we actually book annually?

Management: No, no, cumulative numbers year-on-year will definitely be higher than what we are doing in here now. But the question is that the other question, the earlier question what you asked, are we having a reversal? Yes, we have reversals, but while quoting to the investors, we are more transparent and we always talk about the numbers which we are taking the provision, but otherwise, there is a reversal which is happening on quarter-on-quarter, may not be in quantum the way in which we are taking the provision, but the overall P&L talks about the net number, but being transparent to the investors, we always talk about any specific projects or the cross amount which we are taking in the provision.

Shrinidhi: And last one, if I may, sir? You talked about being more cautious in terms of international projects how you take those projects, but apart from being selective, are there any other things

Voltas Limited

October 20, 2023

Page 15 of 18

that you have changed in terms of way you do this international business so that o

ne can be

confident about in future we may not have such episodes of a significant high provision cycle?

Management: Obviously the learning came from our past mistakes and what we realize that and we keep saying that we have to change. We have already initiated the way in which we have to carry out the business. To give you one example, guarantees which have been earlier unconditional, now it will have conditions suitable to the project which we are taking over there or depending upon the customer or the project risk which we you are witnessing over there.

So, we are replacing those unconditional guarantees with a conditional one. Like this, there are various changes we have introduced in the contractual terms between the contractor and to certain extent we have secured, we would say, to the main client as well into the overall contractual terms to ensure that the risk on such kind of events gets mitigated to a great extent.

Moderator: Thank you. Our next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance. Please go ahead.

Keyur Pandya: Sir, just want to understand as far as the room AC is concerned, so what is the situation of inventory with the channel as well as with the company?

Management: Generally, if we look from the festival period time, definitely channel partners will be more optimistic in having this because he is witnessing or he is going to see a good amount of the consumer demand in the festival period. So, it won't be appropriate to talk about channel partner inventories because festival period will decide or the secondary during festival decides about the inventory which is going to have in his hand. If we look from the trend on the primary side looks like the inventory at the channel partner is much comfortable position, and we are seeing good amount of indents coming from the channel partners for the festive season.

As far as the inventory with the company is concerned, yes, it is in the range of 75 to 90 days, but it generally need to be considering the supply chain disruption which we have seen in the past and to safeguard future sales because we don't want a situation that we are losing sales on account of not having inventory with us in the opportunity time.

Keyur Pandya: And on the project side, the way the difference is there in say domestic and overseas order book, similar is the execution. I mean, how are the domestic projects doing? And will they be enough to offset all these kinds of one-offs with net any outlook on the project side net of all the provisions?

Management: So, we would say domestic provisions are doing much better and probably they are inching towards the targeted both for ROCE as well as on the EBIT margin. Hopefully, in the next year we can see reaching closer to what we kept ourselves as a target to be there in the project business as far as domestic operation is concerned.

Voltas Limited

October 20, 2023

Page 16 of 18

Moderator: Thank you. Our next question is from the line of Bhavin Vithlani from SBI Mutual Fund. Please go ahead.

Bhavin Vithlani: So, this question is on the total provisions on these projects done because when I am looking at the cash flow statement for six months it is about 180 crores and whole of last year, that number was about 360 crores. So, want to understand how much of this is the total provisions pertaining to the projects business? And what percentage of this would you believe can get reversed as these are provisions for delayed payment?

Management: Bhavin, just wonder where you are seeing 360 crores of collection last year?

Bhavin Vithlani: No, no, no, the provisions for doubtful debt were 360 crores last year, whole of last year, and for the six months in your cash flow statement, that number is 179 crores.

Management: Yes. So, what's your question, Bhavin?

Bhavin Vithlani: So, the question is of the cumulative provisions that you have done over the

last 18 months of

roughly about 540 crores, how much of this is the provisions for the delayed payments and where you believe that there is a good chance of it being written back and how much of this is actual loss which has been already incurred for?

Management: if we take out the 250 or 260 odd crores of provision which we picked up because of the onerous condition wherein the project got either cancelled by the contractor and or maybe under the DLP period, the main contractor has encashed our bank guarantees - these are the provision probably which will take slightly longer time to come back because it will go into a legal way of settlement.

However, just to inform to the investors, the last quarter or the quarter of the similar period last year, the provision what we have picked up for the project wherein the main contract, the client has terminated the main contractor, the same project has been awarded to Voltas as the subcontractor.

So, hopeful that we should be able to recover may not be the entire provision amount but should

be able to mitigate or should be able to recover some of the provision what we carried out for the said project, because when we carry out the provision, it was outstanding against the main contractor, not to the main client. But we hope that as we progress on the project, some loss may get kindly mitigated, but it will take some more time in terms of recovery because these are the litigation cases which probably take longer time than what we expected.

In terms of the other provisions, we are hopeful that the collections should start flowing into it in the near future. We would not like to give, Bhavin, any timelines to it, because the efforts are in a much accelerated way to source or to do this collection, and we are hopeful that it should be done in a near future, but definitely the way in which we are giving information about the

Voltas Limited

October 20, 2023

Page 17 of 18

provisions, we will definitely provide you the information about the reversal as well when any substantial amount gets reversed in the future period.

Bhavin Vithlani: Just one last follow-up on this is just to understand our ECL policy, when is it that we book a provision and, like, what is that outstanding number of days threshold so after that we kind of book a ECL provision?

Management: So, we would not like to narrate the policy, Bhavin, because every company has a different policy and different look or outlook on the receivable side. What we need to do in a summary way is we follow a very conservative policy, even a minor stress in the overall collection triggers the assessment on the entire outstanding on the client side and accordingly, based on the assessment, we start providing a specific provision and not the ECL provision which otherwise follow in an ordinary way.

Management: Hopefully, this is the last question because we reached to a closing time.

Moderator: Yes, sir. Our next question is a follow-up question from Keyur Pandya from ICICI Prudential Life Insurance.

Keyur Pandya: Thanks for the opportunity again. Sir, just one follow-up. I think last year all the project business, domestic project business subsidiaries were consolidated into one subsidiary, and I think similar arrangement has been done for say overseas business as well. So, what is the future plan of action, I mean, post all the, say, project businesses are into one or two subsidiaries? Do we plan to demerge it or so any thoughts on future plans on this demerger?

Management: So, Keyur, the primary objective is to consolidate the business in the subsidiary company and have the management bandwidth released for focusing upon the consumer facing business. So, that was a prime objective when we start doing this transfer of the some of the verticals to 100% subsidiary company. Domestic transfer what we carried out started giving some kind of positive results. In the last six to nine mo

nths, our orderbook has gone up. The execution is taking as targeted or as planned, and the results are also showing or affecting out of it.

International business we just announced the one quarter before. The process regarding that has already been initiated, and hopefully should get over in the near future. But the entire objective, as we said, to release the bandwidth time of the current management to focus more on the consumer side business. If the opportunity arises in the future, in order to value enhancement to the stakeholders, definitely it will get evaluated in a much deeper way and considering in the mind or keeping in mind the shareholders' overall interest into it.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Management: So, we hope we have answered to most of the questions. We do understand there is a kind of more anxiety or kind of concern on the provisions which we are taking up in the international

Voltas Limited

October 20, 2023

Page 18 of 18

business. Let me assure you that the management is taking all necessary steps to reduce or to mitigate the risk to a great extent. As we said, there are some pain area which is still continuing it. However, hopefully as we move forward, such kind of impact shall be mitigated to a larger extent. If anything, remain unanswered on the participant side, we are just a phone call away. We wish all the participants a happy weekend and a Dussehra, which is coming in the next week. Have a great evening. Bye.

Moderator: Thank you. On behalf of PhillipCapital (India) Private Limited, that concludes the conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

6th February, 2024

BSE Limited National Stock Exchange of India Limited
Department of Corporate Services Listing Department
Phiroze Jeejeebhoy Towers Exchange Plaza
Dalal Street Bandra-Kurla Complex
Mumbai 400 001 Bandra (East), Mumbai 400 051
Scrip Code: 500575 NSE Symbol: VOLTAS

Dear Sirs,

Sub: Transcript of the Earnings Conference Call pertaining to Financial Results

Further to our letter dated 25th January, 2024, we enclose herewith a copy of the transcript of the Q3 FY24 Earnings Conference Call on the Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and nine months ended 31st December, 2023 held on 31st January, 2024.

2. The same is also available on the Company's website at
https://www.voltas.in/images/Investor/schedule-announcements/download/Voltas_Q3_FY24_Earnings_Call_Transcript.pdf

Thanking you,

Yours faithfully,
VOLTAS LIMITED

V. P. Malhotra
Head – Taxation,
Legal & Company Secretary

Enc.

Page 1 of 13

"Voltas Limited
Q3 FY'24 Earnings Conference Call"
January 31, 2024

MANAGEMENT : MR. PRADEEP BAKSHI – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – VOLTAS LIMITED
M R. JITENDER PAL VERMA -- CHIEF FINANCIAL
OFFICER – VOLTAS LIMITED
M R. NIKHIL CHANDARANA -- HEAD CORPORATE
FINANCE – VOLTAS LIMITED
M R. VAIBHAV VORA -- MANAGER, CORPORATE

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '24 Earnings Conference Call of Voltas hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. Ladies and gentlemen, kindly note the duration of the call will be for 45 minutes.

I now hand the conference over to Mr. Aniruddha Joshi from -- thank you. And over to you, sir.

Aniruddha Joshi: On behalf of ICICI Securities, we welcome you all to Q3 FY '24 results conference call of Voltas Limited. We have with us senior management represented by Mr. Pradeep Bakshi, MD and CEO; Mr. Jitender Verma, Chief Financial Officer; Mr. Nikhil Chandarana, Head Corporate Finance; and Mr. Vaibhav Vora, Manager, Corporate Finance.

Now I hand over the call to the management for the initial comments on the quarterly performance. Thanks, and over to you, sir.

Jitender Pal Verma: Good evening, ladies and gentlemen. This is Jitender Verma. As you have already seen our results and press release, just wanted to take you through some salient features.

2023 unfolded in a manner that defied easy predictions. The initial outlook was overshadowed by the global geopolitical tensions and financial market volatility. In case of the developed world, inflation climbed to unprecedented levels, compelling central banks to embark on historically rigorous path of rate hikes before settling down to pause in the latter part of the year. The uncertainty of growth across the world kept the crude oil and commodity prices volatile for most of the year.

Despite multiple headwinds globally, the Indian economy demonstrated resilience and candor in 2023. The increase in tax revenues, positive PMI across manufacturing and services, coupled with the highest economic growth rate amongst world economies stands to this testimony.

Quarter 3 of the financial year comes with festivities across the country, augmenting demand for the various product categories we operate in. The execution of healthy order pad in project business at the beginning of the year has also added to the overall revenue for the quarter ended December 2023. As a result, the consolidated total income registered a growth of 32% at INR 2,684 crores as against INR 2,036 crores in quarter 3 of financial year '23. While product profitability has improved over previous year on account of stability in commodity prices and operating leverage duly supported by the improved profitability in domestic business on the execution of the healthy order pad. A provision on account of delayed collection and cost overrun in international projects, especially in Qatar, has impacted the overall result for the quarter ended December 2023. The profit before tax that is PBT was INR 24 crores against a loss of INR 80 crores in quarter 3 financial year '23. Earnings per share for the quarter ended 31st December 2023, was a negative INR 0.92 against a negative EPS of INR 3.34 reported last year.

The consolidated total income for the 9 months ended 31st December 2023, was higher by 27% at INR 8,477 crores as compared to INR 6,664 crores in the corresponding period last year.

Profit before tax was at INR312 crores as compared to INR93 crores last year. Net profit after tax was at INR137 crores as against a loss of INR7 crores owing to an exceptional loss of INR244 crores in FY '23 in the corresponding period last year. Earnings per share for 9 months ended 31 December 2023 was at INR4.10 as compared to a negative EPS of INR0.27 in the same period previous year.

During the quarter, the company has availed term

loan to finance the capacity expansion for both air conditioner and commercial refrigeration, along with investments directed towards PLI scheme. The corporate balance sheet continues to remain healthy with the cash and cash equivalents and minimal borrowings as at the period end.

A snapshot of our results, you have already seen.

Segment A's Unitary Cooling Products : Quarter 3 of current financial year witnessed key festivals and wedding season supporting consumer appliances in an otherwise lean quarter from

the seasonal perspective. The strategic tie-ups with channel partners, price calibration coupled with expanded product portfolio has resulted in volume growth outperforming the industry. The planned expansion of Exclusive brand outlets or EBOs, has also supported and contributed to sales during the period. Tactical consumer-centric subvention schemes and placement of In-shop demonstrators (ISDs) has boosted sales of higher energy efficiency products, thereby improving product portfolio towards more premium category

The collective outcome of all such initiatives has resulted in volume growth of 27% over last year in similar period. Voltas continued its leadership in window as well as split air conditioners category with YTD market share of 19% as of December 2023.

The focus on the inverter category, improved product portfolio, reduced volatility in commodity prices, higher scale and focused approach on margin enhancement resulted in year-on-year and sequential margin improvement for the product category.

On a relatively higher base of the previous year and on account of reduced investment by the OEM, more particularly in chocolate category, the growth of the commercial refrigerator category has remained tepid. Nevertheless, the outlook for this category is promising given the expansion of retail chains in conjunction with increased penetration of cold beverages, chocolates and ice creams into newer territories.

The air cooler vertical witnessed a lower territorial demand, I mean, low offtake during this non-season time. The investment in product portfolio, expansion of network channel and tactical distributor schemes supported the primary delivery to the channel partners, thereby registering a growth during the quarter. Voltas air coolers continued to lead the second position in market share with an exit market share of 8.9% as of November 2023, an increase of 170 bps over March '23. During the quarter, we witnessed good acceptance of our newly launched water heaters. Commercial air conditioning vertical performance has registered a robust growth for chillers, VRF, ducted and packaged air conditioners both from retail and health care sectors. Going forward, our mandatory quality control order compliance in few of the commercial air conditioning product category may also impact sales amid price escalation; however, increased Voltas Limited

January 31, 2024

Page 4 of 13

commercial activities across the country, coupled with focus on customer retention and after sales service should support the overall growth for the category.

To summarize, for the quarter ended December 2023, UCP segment registered revenue of INR 1,476 crores, a 21% growth in turnover from INR 1,216 crores in quarter 3 financial year '23. Segment reported an EBIT of INR123 crores in quarter 3 FY '24 as compared to INR89 crores in quarter 3 FY '23, i.e. a growth of 37%.

For 9 months ended December 2023, UCP segment registered revenue of INR5,198 crores, a 17% growth in turnover from INR4,426 crores in 9-month financial year '23. Segment result was INR423 crores in 9-month financial year '24 as against INR332 crores in 9-month financial year '23, a growth of 27%.

Segment B, Electro-Mechanical Projects and Services : Segment revenue for the quarter was INR 982 crores as compared to the previous corresponding quarter revenue of INR 648 crores, a growth of 51%. The segment result for the quarter repo

rted a loss of INR 120 crores due to

cost escalation on periodic assessment of the ongoing projects and provisions on account of delayed collection in certain overseas projects.

Domestic Projects business on the back of a healthy order book at the beginning of the year and timely execution of the projects registered a stellar growth of 83% over last year in the similar period. Focus on certification, tight control on the working capital and other project management-related initiatives have resulted in a robust growth in the financial results as well as improved ROCE that is return on capital employed, for the domestic projects. The order inflow and order pad for the domestic business stands at INR 482 crores and INR 5,275 crores, respectively.

While domestic business has registered a stellar performance within this segment, our international project business continues to face headwinds. A cautious and risk-mitigated approach is followed for securing new orders. However, a few projects, especially in Qatar, are under stress due to obstinate delays in realization of overdue receivables and prolongation of execution timelines. These delays have resulted in cost overrun, which has impacted the overall performance and resulted in a loss of INR143 crores in international projects business in the current quarter.

Having said that, the company continues to engage with all concerned stakeholders in these projects to pursue its entitled claims and recovery of new receivables.

Segment C, Engineering Products and Services : The segment revenue for the quarter was INR 155 crores and EBIT for the quarter was INR 50 crores, respectively.

Customer-focused approach increased demand of crushing and screening equipment owing to extensive infrastructure spending in the country and revival of iron ore sector supported the growth of mining vertical in the quarter.

Sustained prices of cotton on the arrival of new crop gave some respite to cotton spinners resulting in revival of demand for the textile machinery equipment. The vertical continued with
Voltas Limited
January 31, 2024

Page 5 of 13

improved performance on the disciplined execution of the strong order book and focus on accessories sales, including auxiliary and value-added service. Investment in textile sector on the back of the policy initiatives of the government, like PLI scheme, Textile Park and revival of export demand are an indication of positive outlook for the sector.

Voltas Beko : Voltas Beko, the Company's Home appliances business crossed a cumulative volume of 4.5 million units since launch of commercial sales, becoming the fastest brand to achieve this milestone. The overall volume growth was in excess of 65% compared to the corresponding quarter in the previous fiscal. And for the 9-month period, the overall growth in volume was in excess of 55%. The company's performance was aided by robust festival demand, improved consumer sentiments, growing presence in organized retail and e-commerce platform, and product management initiatives, which have led to a premiumization of the overall portfolio. The strategic tie-ups with organized trade partners and e-commerce platforms in addition to the traditional channels have contributed to achieving much higher volume growth as compared to the industry. The company's effective advertisement spends on TV and digital media and the rapid and extensive deployment of in-shop demonstrators has accelerated the growth momentum. Our market share stood at 3.3% for refrigerators and 5.5% for washing machines, representing an increase of 1% and 2.1%, respectively, over the same period in the previous year. In the semi-automatic washing machine category, the company reported market share of 12.2% for December 2023.

The favourable product mix, cost rationalization measures alongside localization of the fast-moving SKUs have resulted in significant improvement in overall gross margins. During t

he

quarter, the company also received significant export orders from the overseas subsidiaries of its shareholder partner. The loss per unit has been curtailed significantly despite much higher advertisement spends and in-shop activities. The growth in sales volumes and increase in capacity utilization will continue to drive improvement in gross margins and overall profitability.

Outlook: With the upcoming summer around the corner, we strongly believe that demand for air conditioners, commercial refrigerators, air coolers and home refrigerators will be strong and positive consumer sentiments will further support growth. The various strategic initiatives and new product launches planned for the season across categories will help us to outperform the market and shall support us in strengthening market share in a more sustainable and profitable manner.

The government make curb its spends on infrastructure in the wake of the general elections; however, profitable execution of the orders in hand will support growth momentum. The headwinds in our international business may continue for some time given the extraneous factors; however, the efforts taken by the company may be able to reduce its impact on the segment.

We remain optimistic given the various supporting factors for the businesses we operate in.

Thank you. Thank you very much. We can start the question-and-answer session.

Voltas Limited

January 31, 2024

Page 6 of 13

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.

Natasha Jain: Sir, my first question is on the commentary that you made. You said that you received significant export orders for Voltas Beko. So can you just tell us where these orders came from and what were the orders for?

Management: Normally, you know that we have a partner, which is Arçelik with the brand name of Beko. And as I've mentioned in our initial comments, these export orders are through them. So these are to meet their various -- because they operate in all regions outside India. So all the -- in terms of our agreement also, all the exports are done through them. They were for various countries in the nearby region.

Management: Mainly these orders are for frost-free refrigerators and dishwashers. These are the 2 products,

which we have exported. And since our arrangement with Arçelik is for India only and, therefore, certain products which our factory is producing here, and if they are in demand, which other factories are not producing, so there is opportunistic exports, which is happening. And for that, the partners based out of Turkey, they are procuring the orders and we are executing them. That's how the system is.

Natasha Jain: Understood, sir. All right. Sir, my next question is on the UCP segment. Now specifically for RAC, if I see your first half market share, we landed at 9.2, and then now we've again landed at 19, so pretty much flat. Now if I see the overall UCP value growth and if I compare it with the volume growth for either RAC or the entire UCP, there's definitely been some pricing pressure.

So did it come from RAC specifically and basis that we have to cut prices?

Management: See, first of all, I think, what you said is 9.1% half yearly is something you've not probably spelled out properly. It is -- it's been over 19% in half yearly results as well as in the...

Natasha Jain: 19.2%.

Management: Yes, 19.2%, you said 9.2% initially anyway. So it is over 19%. So first, we remain the market leaders, as you know, in the room air condition volume. And if you look at our primary sales growth also, which you would have seen through the balance sheet also in the air conditioning category in the quarter 3, we've grown by 27%. So I think while the industry has grown by about 22% in YTD, so we have been growing faster or larger than the industry growth. And we are

ensuring that our market shares and the leadership position remains intact. That's our endeavour.

And if you are talking about the margin pressure, if you look at our margins in room AC category as well as overall category, it's been about the same what we have been doing. In this quarter, in fact, it is slightly better only. So while the industry has been -- if you look at many brands, I don't want to name here, but several brands have been registering losses to gain market share. Whereas if you look at our -- we have remained profitable as well as we've remained a leader, and we have maintained and sustained our numbers as well in market shares.

Management: And Manish over here. Just to add what MD said, the value and the volume growth difference, what you're seeing is largely because of the product mix. The AC has been grown at a higher

Voltas Limited

January 31, 2024

Page 7 of 13

average rate whereas the commercial refrigerator and the air cooler, the growth was lower. And that's why you're finding that the volume and value growth are different.

Natasha Jain: Okay. So that means the UCP margin expansion would mostly have come through from the RAC category, right? Is that understanding correct?

Management: For this quarter, yes.

Natasha Jain: Understood, sir. And sir, lastly, on the EMP, as the projects business, sir, since the last couple of quarters and specifically in the last quarter, we've been told that the stress is going to be there. But then the level of aggressiveness would be decreasing. If I see the losses in this quarter, it has ballooned and it's greater than even quarter 1 and 2 combined.

So I would want you to tell detail out as to what's happening there, how should we model this?

Because we're not able to understand what are the losses that can crop up following -- in the following quarters in the magnitude of it. So if you can just detail out a little bit here.

Management: So Natasha, let me tell you one thing is, the understanding of quarter 1 and quarter 2 put together, loss have gone up in the quarter, see that understanding is not correct. Second thing is, yes, we are facing some kind of headwinds in the international business and its outcome of the periodic assessment and reassessment what we carry out on the ongoing projects as well as the stress situation what we are seeing in the international markets, especially in the Qatar where we have a larger exposures and the delay in the receivables being seen consistently. So these are the prime reasons of the loss attributed to it.

Now the question of yours is whether we are done with all the impacts? As we said earlier as well, it is the assessment of the project and the outstanding, which is there in the Qatar territory. Largely, we faced the headwinds over there. And the steps that we have taken should help us to contain those losses. But again, it is premature to say for the -- in the going forward how it will evolve. But this is where they stand today. MD will add a few words to it towards it.

Management: Yes. So Natasha, you see the projects by nature are a little -- it's not sudden as to how -- which direction they're going to end because till the time the project completely gets over, it remains uncertain. So while our endeavour has always been to protect our interest, as well as our shareholders' interest to protect the margins as well as executing the projects well on-time and profitable and that is why we are into this business.

And if you look at our history, for more than four decades in this business -- project business, this is the first time in last few quarters, you can say about 1.5 years, we have faced some headwinds, and that is largely on account of Qatar. Because what has happened is somebody unethically or uncalled for, they are en-cashing our bank guarantees in their anxieties to make

quick monies or recover their monies, some contractors who we deal with.
So that is what has

derailed our international project business. Otherwise, if you look at overall, all other categories, all other verticals, including engineering products or our UCP segment everywhere we have made reasonably good profit.

Voltas Limited

January 31, 2024

Page 8 of 13

Except for this particular vertical where for last few quarters, one after the other, some bank guarantees have been en-cashed or despite the fact we have carried out and executed the project and handed over the project as per the requirement of the client and the contractor, but our payments are withheld.

While we are attempting in best possible manner, also through legal way, we are trying to retrieve this situation. And hopefully, by the time the verdicts come, we -- it should be in our favor. That's what we are trying to protect our interest as well as interest of our investors. So this is how it is as of today. But this is only one region. And in international operations also, everything is coming out of Qatar, so our endeavour is to plug this.

And now going forward, also what we are doing is, as a remedial action, we are becoming very choosy while selecting the project, we are very selective. And wherever we think that it is backed up with proper funding, it is through renowned contractor and the client, those who are good paymasters, we are going to them only. Now we are not taking any chance whatsoever.

Management: And as we say that these are the provisions and it should give us an opportunity to write-back or reverse these provisions as and when we win those legal cases and get our money back. So that will be an opportunity for the future.

Moderator: Our next question is from Bhavin from SBI Mutual Funds. Please go ahead.

Bhavin: So this question, again, is on the loss in the Projects division that we have seen. So if you could just help us understand this Qatar, what was the original size of the project? What is pending to be completed? And what's the kind of cumulative losses that -- or provisions, as you highlighted, that we would have kind of provided for in this?

And when should we expect business as usual, margins on the Projects division? So backward-looking in terms of what was this 1 or 2 project, which went back to the quantum of the project and the losses? And going forward, what's the underlying margins of the projects that we are bidding and when can we expect normalcy to start?

Management: So Mr. Bhavin, Bakshi here. You see if you have seen through our reports and we have tried to elaborate in our press releases also wherein actually largely all this has been happening in the Qatar projects only. And if you ask me, there are about 2, 3 projects where we have got derailed. While if you are asking about the status of these projects, most of these projects we have finished almost and handed over to the contractors, main contractors for the client. As you know, that by virtue of we being the MEP contractors, we work with the main contractor, which is a civil contractor. And then we are in between -- in the client and us, there is a main contractor. So we deal largely with the main contractors.

And in some cases, the outstanding is there, they have not paid us our dues. In certain cases, they have en-cashed our bank guarantees. So on account of two -- and all this has been done, I would say, in crude language, they are fraudulently being done, unethical, uncalled for. While I have handed over, I have done my bit, and I've handed over the project to them, and they're using it. If you look at some malls, some buildings, which we have created, we have done our bit and

Voltas Limited

January 31, 2024

Page 9 of 13

we've finished off the project and handed over the project. In spite of that, if somebody is encashing my bank guarantee, somebody is not paying me, actually, we are not at fault. But yes, of course, we owe the answers to you, we are answering you, but unfortunately, it is be

yond our

capacity. And therefore, we are very -- we have felt hurt. We have taken the matter to the court and we are trying to retrieve the situation. Hopefully, by the time the verdict comes, it should be in our favor, and we should be able to write back these provisions, which we've provided in the last couple of months.

Bhavin: So what's the total quantum of provisions that we would have done for the Qatar these couple of projects in the Qatar?

Management: Bhavin, if I take the equivalent amount, it may go even beyond INR 300 crores to INR 400-odd crores, it will vary. In fact, if I'm talking about the current financial year and some of the last

quarter of the financial year, and that's where we stand. The quantum of the project and all the things won't matter too much to it because that's what we stuck and what our MD has rightly said, the legal remedies are being persuaded. Either contract is -- or the cancellation of the guarantees are taking place at the end of the contract.

Bhavin: And the second question is, when can we expect business as usual? And what's the underlying margins now for the Projects division that one should...

Management: For the business as usual, for other regions, we are earning usual profits. And our general guidance has always been roughly around 4% to 4.5% EBIT margins based on the turnover. And that is continuing in all the other areas. Even on this one, as we earlier said, that once the legal decisions are made, we should be able to get back a substantial amount on these losses, which have been -- or rather provisions, which have been booked until now.

And usually, these court cases get decided and the execution of the legal decisions get executed over a period of, 24 months or maybe 30 months. So that is the kind of time period we are looking at overall. But other than that, all other projects, they are running normally.

And in terms of business as usual, if you ask me, if you look at all other businesses, they are performing better than the expectation, and they are -- every other business and vertical is not on targets in terms of both, top-line, bottom-line, volume, everything except for this particular business.

And here also, as I said, you would have heard me earlier when I was answering to Natasha also, that we have been very selective, where very carefully, we are picking up projects now in the international segment. So I think probably going forward, this will all pave way in the right direction because we want to curb all this, whatever has happened.

Bhavin: Appreciate that. If I can ask one more question on the Unitary segment, in the competitive advantage for Voltas to our understanding was cost, second was brand and distribution. So cost is an advantage that the perception that we have is diluted because of the import curbs, but the margin increase that we are seeing, is it that the cost advantage that we had, we have kind of climbing back and is there -- if you can throw light on that and is there a possibility of we seeing a positive direction on the margin that we saw in this quarter continuing?

Voltas Limited

January 31, 2024

Page 10 of 13

Management: Actually, if you look at our price competitiveness has remained despite the fact overall in the industry because what has happened in last about 2 years, the commodity prices went up very steeply and unfortunately because during the lockdown and after the lockdown when the markets opened up, the industry could not pass on the price hike of the commodity to the consumers. And therefore, overall, if you look at in the industry, the margins have shrunk a bit over the previous years. But if you look at our profitability, it's been either better than many other brands or about the same. So I think you should believe that our competitiveness even whatever -- whether we were outsourcing from outside India or when we are producing in India, our prices have remained competitive and

we have remained profitable brand all along.

So I don't think it is a better sourcing because if you look at even today also, a lot of components still are being imported only. Everybody has been outsourcing quite a few products from outside, only 50% of those products comes from outside. So whether you are getting 50% or 60% earlier on, it's almost the same. Only thing is the commodity prices, which have got hike have been absorbed by the industry. And therefore, overall, if you look at on the margin front, there's a bit of a shrinkage, which has happened.

Bhavin: So just the direction that we saw in this quarter was a positive surprise. Is the direction likely to continue? Can we see a slight increase in the margin directionally?

Management: Direction for margins, if you ask about UCP segment, I think it is better only. If you were talking about overall company because of international operations, yes, that has gone a bit down.

Management: So Bhavin, if I have to just add what Mr. MD rightly said is, if you recollect in the past as well, we said we'll remain a leader in the margin trajectory as well. And sequentially, if the stability gets arrested for the commodity, the scale should give some advantage to another 50, 60 basis points to move forward that we demonstrated in quarter 3 and looks like quarter 4 also will support to us in terms of the volume. So we remain positive on this.

Moderator: Our next question is from the line of Ajit Motwani from Dymon Asia. Please go ahead.

Ajit Motwani: Just wanted to understand a bit of a thing on market share. So sequentially, your market share is about similar 19, 19.5. So can you split it between, say, window AC and inverter? And that's first question. And what would be our exit market share for December?

Management: So if you look at, yes, of course, our endeavour has been to sustain our leadership and the market shares because currently, more than 60 brands, they are in the frame and they are fighting for the bite. So sustaining this market share itself is a tedious task, which our team has been able to maintain and sustain. Coming to the window versus split roughly, windows are hovering

between 37 percent, if you look at for last few quarters. And in the split category, our market share is 19 percent. So that's how it is. And since the 90% of the business is coming in from the split ACs, therefore, our overall market share also remains about slightly above 19%. That's how it is.

Ajit Motwani: Good. And what would be our exit market share for December?

Voltas Limited

January 31, 2024

Page 11 of 13

Management: So we will try and retain this market share because, as I said, our endeavour has been to sustain our market share as well as leadership position, so we will be around this number only.

Ajit Motwani: Got it. And this number, when you give this is, if I understand correctly, this is multi-brand outlets market share. Here, you do not include your institutional business, right?

Management: Yes, that is correct.

Management: Even on overall basis also, this market share remains about the same only, including the MBO, EBOs and off-line channel, complete online channel, this market share has been about the same 0.1% here or there. So we've been hovering on 19% and so.

Management: And you recollect, we're reporting based upon the GFK. So if you talk about the institutional sales, that generally, it's a B2B kind of transaction like when we do carry out ATM installations and all, that largely won't get covered under the GFK market participant -- as a market participants over there.

Ajit Motwani: On the costing front, you alluded to the fact that like after the rating change and after the sharp inflation that we saw in last year, the price hikes that you took were not sufficient enough to sort of cover up. Now as you look forward to the next 6 months which are typically the seasonal period for us, and you would have booked your i

nventory for the season. How much price hike we need to take to cover those costs, which were higher because of rating changes and with your commodities.

Management: Yes. Normally, we do tactical price hikes. So I would not be able to give you any predicted numbers for what percentage hikes we would be taking because it is a...

Ajit Motwani: No, my question is not that. My question is that how much we'll need to take to cover up those costs? I'm not -- asking how much price have you...

Management: You see what happen is, if you're talking about the price hike due to the energy efficiency going up or down, that's one part. So every time whenever energy efficiency is going up because every 2 to 3 years, the Bureau of Energy Efficiency, Government of India, they raise the bar for energy efficiency.

At that point in time, in case what our team does is, to counter that, actually, we come up with a lot of value engineering in our system through our R&D and manufacturing streams. So that a minimal percentage hike is passed on because we want to remain competitive. And we want to offer best-in-class product and service to our consumers.

So therefore, we don't want to burden the customer; however, if something is necessary to increase because of certain thing, pressures in terms of energy labeling, etcetera, that will be passed on, but that will be minimal. But otherwise, generally, we ensure that we pass on only the requisite price hike. Otherwise, that is all covered up through our value engineering and product designing, etcetera.

Moderator: Our next question is from the line of Siddhartha Bera: from Nomura. Please go ahead.

Voltas Limited

January 31, 2024

Page 12 of 13

Siddhartha Bera: Sir, first question is then on the UCP side. You mentioned taking multiple initiatives to grow ahead of the industry. So can you just talk a bit more about these areas where do you white spaces like maybe your penetration in some of the channels like modern trade or general trade or in some regions where you are probably weaker and some of the initiatives, which you have taken, which can lead to market -- you growing ahead of the industry in the coming years?

Management: Yes. So to answer your question as well as the question earlier on some investors had asked as to how are we trying to protect our turf, how are we trying to improve our profitability, our numbers, etcetera. So you rightly pointed out, we are trying to address all channels. Earlier on, there was distribution, which is a conventional channel and distribution, which was popular. But now in the last few years, especially during the lockdown period, pandemic period and all, the other channels like e-commerce channel, also the modern trade, they have emerged out very strongly.

So now our team at Voltas, we've been focusing on doing justice and trying to rope in all the partners, including modern trade, organized trade, regional trade, e-commerce, channel partners,

Exclusive brand outlets, everywhere we are trying to make our presence stronger and trying to extract the requisite market share because unless and until we take the requisite market share and extract exception from each one of them, it is difficult to sustain the leadership and the market share.

So we are focusing on all kinds of channel partners. We are strengthening and enhancing our presence and reach everywhere across the regions and also some of the regions where these partners are stronger there, the focus and thrust is being provided additionally to ensure that we remain and sustain our leadership.

Siddhartha Bera: Got it, sir. And sir, how critical or how you are looking at pricing as a tool because you mentioned in the quarter also that you had taken some calibrated pricing actions. Now going ahead, I mean, what will be more sort of important in terms of growth or margins? I mean, will you look to sort of push a better slightly lower price, despite a weaker

margin or how you're

balancing between the pricing and the margins?

Management: See, you would have heard me. Just now I said, to protect our margin and profitability, we will continue to do whatever we need to do to ensure our numbers are there. One, if you're talking about remaining competitive because whatever -- even if the competition is coming more aggressively, so we have been remaining competitive and trying to achieve whatever numbers we have to achieve and trying to achieve profitability as well. So we'll continue to do that. Our endeavour is in that direction.

Siddhartha Bera: Okay, sir. Sir, lastly, on VoltBek, I mean you indicated a good pickup, but we have not seen that in terms of the earnings for this quarter. So can we expect a meaningful improvement in the profitability next year given the push this year? Or do you think that will take longer to sort of play out?

Management: See, if you had seen our projections in the past, for the first 4, 5 years, we have decided that we will invest into the brand because we are setting up factories, we are ramping up our production

Voltas Limited

January 31, 2024

Page 13 of 13

and trying to achieve our numbers, our objectives in terms of volume as well as market share.

That is our first endeavour. And because these factories have to run, factories have to get stabilized.

So therefore -- and we are in the initial phase of that first 4, 5 years only. So after that, going forward over next 2, 3 years, you will see that we are breaking even and start making profits. So yes, of course, we are working towards it. As the volume starts building up, we will work on these.

Management: And as we have indicated already in our answers -- in our initial introduction, that the loss per unit is coming down drastically, and which is a great news for a newly coming up company.

And the number of units which we have sold in the initial years is close to 4.5 million units. That is also unprecedented for any newcomer in the market, so -- and the acceptability of our products and the technological advancements, which we are able to give to the consumer, they all are positive factors, which really are boosting well for the brand. And therefore, we remain quite optimistic on its growth levels.

Management: So ideally, if you look at, you have seen our revenue growth this year has been about 45%. As we continue to grow in revenue, a lot of fixed costs will be better and we will try to generate profitability in this segment also faster.

Unfortunately, what has happened is because of lockdown period pandemic, 2 years, we've got derailed. Otherwise, we would have, by now, got into the profitability. But unfortunately, slightly we got derailed because of all this, but now we're catching up with the game faster, and you'll get to see turning around in this business also soon.

Siddhartha Bera: Got it, sir. Sir, this project business, what will be the total order book now you have shared domestic, but not the total. Can you share that number?

Management: Roughly above INR 8,000 crores, we are as of now.

Management: INR 5,500 crores, in domestic projects and about INR 3,500 crores in the international projects.

Management: Aniruddha, since we have reached the closing time, I believe we should -- I do agree that the participants may have more questions, we are available on a phone call and we therefore request you to proceed with the closing remarks from the MD, if any.

Management: So I think largely through the couple of questions which are being asked by some of the investors, I think they are covering length and breadth of the balance sheet and the numbers, which we have projected and presented to you guys through our balance sheet. So while the answers have been given, provided to you; however, we are available in case you want to reach out to any one of us. You can send your queries and we will be more than pleased to answer your queries further

as well. Thank you. Thank you very much.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

14th May, 2024

BSE Limited National Stock Exchange of India Limited
Department of Corporate Services Listing Department
Phiroze Jeejeebhoy Towers Exchange Plaza
Dalal Street Bandra -Kurla Complex
Mumbai 400 001 Bandra (East), Mumbai 400 051
Scrip Code: 500575 NSE Symbol: VOLTAS

Dear Sirs,

Sub: Transcript of the Conference Call relating to Financial Results

Further to our letter s dated 3rd May, 2024 and 8th May, 2024 , we enclose herewith a copy of the transcript of the Conference Call on the Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and year ended 31st March , 2024 held on 8th May, 2024. The same is also being made available on the Company's website at : <https://www.voltas.in/investors/disclosure-under-regulation-46-lodr/schedule-of-analysts-or-institutional-investors-meet> .

Thanking you,

Yours faithfully,
VOLTAS LIMITED

V. P. Malhotra
Head – Taxation,
Legal & Company Secretary

Enc.

Page 1 of 15

"Voltas Limited Quarter 4 and Financial Year 2024
Earnings Conference Call"
May 08, 2024

MANAGEMENT : MR. PRADEEP BAKSHI – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER - VOLTAS LTD
M R. JITENDER VERMA – CHIEF FINANCIAL OFFICER -

VOLTAS LTD
M R. NIKHIL R. CHANDARANA –HEAD, CORPORATE
FINANCE - VOLTAS LTD
M R. VAIBHAV VORA – MANAGER, CORPORATE FINANCE -
VOLTAS LTD
MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL ADVISORS
LIMITED

Voltas Limited
May 08, 2024

Page 2 of 15

Moderator: Ladies and gentlemen, good day and welcome to Voltas Quarter 4 and Financial Year Ending 31st March 2024 Earnings Call, hosted by DAM Capital Advisors Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch tone phone.

Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital. Thank you and over to you ma'am.

Bhoomika Nair: Thanks Sagar. Good afternoon, everyone, and a warm welcome to the Q4 and Financial Year Ending 31 March 2024 Earnings Call of Voltas Limited.

We have the Management today being represented by Mr. Pradeep Bakshi – Managing Director and CEO; Mr. Jitender Verma, CFO; Mr. Nikhil R. Chandarana – Head Corporate Finance; and Mr. Vaibhav Vora – Manager Corporate Finance.

Without any further delay, I'll hand over the call to Mr. Pradeep Bakshi for his “Opening Remarks”. Post which will open up the floor for Q&A. Over to you, sir.

Jitender Verma: Hi, this is Jitender Verma – CFO with our MD & CEO Mr. Bakshi is also here. And I will be opening the session with a quick intro on our Results. And then we will take up the question answers Mr. Bakshi and along with me.

So, good afternoon, everyone. As we know that the Financial Year '24 remained an eventful year, starting with supply chain disruptions in the aftermath of Russia-Ukraine, Israel-Hamas conflicts, and the Red Sea crisis. All of these have led to a sharp jump in shipping rates. Crude prices have also soared post Iran-Israel war, spiraling into a considerable surge in inflation. Tightening of globally synchronized monetary policy has also caused unwarranted pressures on businesses. Despite many unfavorable situations, the world avoided a recession and the banking system proved largely resilient.

At an overall level, global growth remains buoyant in spite of the aforesaid circumstances, and the growth bottomed at 2.3%. For 2024, the IMF has estimated global growth at around 3.2% in 2024, which is at the same pace as in 2023.

Back home in India, despite multiple global headwinds, India's monthly economic indicators like PMI, services index, GST and direct tax collections supported robust business activity. Uptick in India's growth would continue to be driven by the Government's “Make in India” thrust, and high infrastructure spends. Also, narrowing of trade deficit and a lower CAD would support growth.

The IMF has estimated India's growth at 6.8% in FY '25 and 6.5% in FY '26.

The Company has seen record-breaking top line growth over the last year with the sale of over 2 million ACs in FY '24, indicating a strong market demand for the Company's products, registering

Voltas Limited
May 08, 2024

Page 3 of 15

a quarterly growth of 72% and an annual growth of 35% in volumes. The volume growth was also driven by split air conditioner, sales of which doubled in Q4 and grew over 50% for the full year.

With this incredible volume growth, the Company reported consolidated total income for the year ended 31st March 2024, which was higher by 32% at Rs. 12,734 crores as compared to Rs. 9,667 crores last year. Profit before tax was higher, by 58% at Rs. 486 crores as compared to Rs. 307 crores last year. Net profit after tax was at Rs. 248 crores as compared to Rs. 136 crores last year. Earnings per share for face value per share of Rs. 1 for the year ended 31st March 2024, was at Rs. 7.62 as compared to Rs. 4.08 in the same period previous year.

For the quarter ended March 2024, the consolidated total income grew by 42% at Rs. 4,257 crores as compared to Rs. 3,003 crores in the corresponding quarter last year. Profit before tax was at Rs. 174 crores as com

pared to Rs. 214 crores in the corresponding quarter last year. Net profit after tax was at Rs. 111 crores as compared to Rs. 143 crores in the corresponding quarter last year. Earnings per share, not annualized for the quarter ended was at Rs. 3.52 as compared to Rs. 4.35 in the same period previous year.

The corporate balance sheet continues to remain healthy with the cash and cash equivalents at Rs. 2,835 crores as at 31st March 2024.

You all have seen our Results, so I am not repeating the snapshot, which is there, I go straight to the Segment:

Segment A – Unitary Cooling Products :

The year 2023-2024 set a new landmark for the Company and helped us set our dominance in the air conditioning industry. [We ended the year with a record sales of 2 million Air Conditioner, first by any brand in the India AC Market. The drivers for the growth have been – focus on Modern trade and xx] The split inverter category of air conditioners is in high demand, driven by consumers' desired to have products with advanced features and its long-term advantages of savings in energy cost. The expanded product portfolio of Voltas with newer SKUs designed in-house and competitive pricing has resulted in increased share of the inverter AC category to over 80% during the year. Based on the success of the inverter split category, the Company has expanded its inverter portfolio in the window air conditional category as well at strategic price points during the year.

Further, during the year, there were strong demand for premium category of products, that is 4 Star and 5 Star rated products. And the overall sales mix for Voltas for these products has also improved.

Strong brand positioning, distribution reach, leverage on the supply chain helped us retain our leadership position for the year with the YTD March market share of 18.7%. We continue to leverage our strength in traditional channels and increase our concentration in modern trade and organized channels, as we continue to build an extensive network of Exclusive Brand Outlets or

Voltas Limited

May 08, 2024

Page 4 of 15

EBOs. Including Experience Zones at strategic locations, all of which will help in strengthening the market share.

Voltas has maintained its leadership position in the air conditioner category for more than a decade and has maintained its lead over the competition. The brand is geared to further expand its retail and distribution network, grow product portfolio and gain an additional edge over the competition. The Company also registered a significant growth in volume in other cooling products including air cooler and commercial refrigeration products.

The commercial refrigeration industry witnessed low traction throughout the year on account of reduced investment by the brands, more particularly in chocolate category, the growth of the commercial refrigerator category has remained tepid. However, channel push and anticipated demand for cold beverages, ice creams from across the industry helped us clock positive results for the business. Nevertheless, the outlook for this category is promising and growth drivers are visible in the current financial year.

The Air Cooler vertical has emerged as a crucial extension of Voltas' product line, providing an impetus to the Company's position in the cooling products industry. The acceptance of our high end product portfolio, expansion of the channel and tactical distributor schemes supported the primary delivery to the channel partners, which helped in registering growth during the quarter.

Voltas Water Heaters continued to gain good acceptance across the distributors and customers.

The Commercial Air Conditioning vertical also contributed to the growth journey for the UCP segment. The performance of VRF, Light Commercial Air Conditioners, Packaged Air Conditioners Ducted ACs reported notable growth across sectors. However, input price escalations and inability to pass on th

e same to the customers owing to stiff competition have impacted the margins for the business. Increased commercial activity across the country coupled with focus on customer retention, and after sales service supported the overall growth for the category. However, competitive intensity has lagged the business' ability to garner margin accretive deals, especially in AMC jobs.

For the year, varied consumer centric finance schemes have also contributed significantly to increase in sales during current financial year and would eventually help grow the market share going forward.

Further, on the cost front, commodity prices have started to accelerate upwards, even USD-INR has depreciated over a period of time. Both of these have been detrimental to the profitability of the business. Nonetheless, various value engineering, and cost austerity drives have kept the profits in balance.

To summarize, for the quarter ended March 2024, UCP segment registered revenue of Rs. 2,955 crores, a 44% growth in turnover from Rs. 2,049 crores in Q4 FY '23. Segment reported an EBIT of Rs. 270 crores in Q4 FY '24 as compared to Rs. 206 crores in Q4 FY '23, a growth of 31%. For the year ended March 2024, UCP segment registered revenue of Rs 8,160 crores, which is a 29%

Voltas Limited

May 08, 2024

growth in turnover from Rs. 6,475 crores in FY '23. Segment result was Rs. 693 crores in FY '24 as against Rs. 538 crores in FY '23, which is a growth of 29%.

On Capex front, we are happy to announce that our expansion plan for both our factories in Chennai and Waghodia are in line with our targets, and we would gear up for commercial production to be ready for second summer/ festive sales. Both our upcoming plants will have strategic advantage of the location and help us cater to South and West markets. This will enable us to meet growing demand for the underpenetrated refrigeration products which would in-turn help us deliver a powerful performance to give our consumers comfort and convenience. With our story of volume growth, we are optimistic on utilization of our factories to the optimum scale and get a cost leverage on the business going forward.

Segment B – Electro-Mechanical Projects and Services:

The segment revenue for the quarter was Rs. 1,098 crores as compared to the previous corresponding quarter revenue of Rs. 746 crores, which is a growth of 47%. The segment result for the quarter reported a loss of Rs. 108 crores on account of delayed collection in certain overseas projects.

Healthy opening order book, quality PQE, more focused management after the transfer of business has translated into healthy business performance of the domestic project business. The domestic project business recorded a growth of 38% for the quarter and 73% for the year ended March 2024. The business continues to focus on governance, working capital management and high productivity to translate the orders into profits and in-turn into better cash inflow. The order pad for the domestic project business stands at Rs. 5,024 crores respectively.

For international project business, projects in Saudi continued to deliver good performance and drive the revenue growth for the business. Based on past experience, we reassessed our exposure especially in Qatar where we continued to face unreasonable delays in release of due receivables and prolongation of execution timelines. We judiciously took provisions due to slow recoverability of receivables resulting in a loss for the quarter for this segment. While the region impacted the business result and the Company has made the necessary provisions throughout the year, we are fairly optimistic to not have further set-backs from the geography and the international business should be on its way to deliver positive results in the next fiscal year.

The carry forward order book for International business as at 31 March 2024, stood at Rs. 3,030 crores largely in UAE and

and Saudi Arabia region. Total carry forward order book of the segment stood at Rs. 8,054 crores vis-a-vis Rs 7,414 crores of carry forward orders as at 31 March 2023.

Segment C – Engineering Products and Services:

Segment revenue and results continued to report improved performance for the quarter registering healthy growth over the previous year. Segment revenue for the quarter was Rs. 156 crores and

Voltas Limited

May 08, 2024

EBIT for the quarter was Rs. 48 crores, respectively. Segment revenue for the year was Rs. 588 crores and the segment result for the year was Rs. 206 crores.

Mining and Construction Equipment vertical has achieved its targeted numbers despite facing pressure for margin reductions. India's infrastructure projects and the revival of the mining sector present growth opportunities for the business. M&CE focused on enhancing its market share in its power screen business and had a healthy supply of its machines. The recent allowance for commercial mining of coal and the relaxation of FDI norms in the mining sector by the government are positive developments for the business. These initiatives are expected to boost business for this vertical in the coming years.

The Textile Industry experienced volatility characterised by fluctuations in cotton and yarn prices. The textile market remained sluggish due to highly subdued export demand for yarn. As a result, capex within the industry was decreased across the sector which led to reduced utilization levels of spinners. Despite the aforesaid factors, the business performance of our textile machinery vertical, or TMD, reached all-time high levels due to its healthy order book and through continued focus on after-sales business.

Voltas Beko:

The home appliances industry in India has witnessed a healthy growth, fuelled by a surge in demand for both large and small appliances. Voltbek, leveraging Arçelik's technical expertise and Voltas' strong brand presence, expanded its footprint in Indian households by manufacturing Made in India products in Sanand, Gujarat, and focusing on enhancing its distribution network, particularly in South and West India. In the ensuing year, Voltas Beko achieved significant milestones, becoming the fastest growing Indian consumer durable brand in just five years, selling over 5 million appliances, despite multiple headwinds of COVID.

Voltas Beko has solidified its position among the top brands in semi-automatic washing Machines

for 2023-'24. Voltbek has also seen growth in the market share of refrigerators, washing machines, and semi-automatic table-top dishwashers. Voltbek has delivered a volume growth of over 50% in revenue and quantity compared to last year, largely due to new product development and increase in billing locations. Voltbek is dedicated to expanding its market presence across various product categories by deploying customized approaches for market penetration and growth. These initiatives will involve prioritizing top retailers, adopting channel-specific tactics to enhance market reach in key regions through retail and distribution channels, and maintaining a strong focus on boosting e-commerce and omni-channel development. New product launches, including larger capacity refrigerators and enhanced features, will help us in our growth trajectory to attain targets for breakeven and 10% market share.

Outlook:

At the Board Meeting held on 7 May 2024, for adoption of accounts for the year ended 31 March, 2024, the Board declared a dividend of 550%, despite various provisions taken by the Company
Voltas Limited
May 08, 2024

Page 7 of 15

in its international projects business over last two years. The Board deliberated the importance of higher volume growth in its UCP business which delivered healthy segment results and its commitment to pass on the share of profits to its shareholders. At a consolidated results level, this distribution of divi

dends amounts to a 72% payout of its profits during the year by way of dividend.

Cooling products being a weather dependent and seasonal product, the summer period becomes critical for the industry and Company for growth. The current weather forecast and increased footfall projects towards sustainable growth. The Company is adequately prepared to secure the opportunity both on the supply and consumer demand front and will continue to pursue its aggressive strategy to strengthen market share in a profitable way. For projects business, we will continue to follow cautious and adopt risk mitigated approach while selecting new orders. The execution of the orders in hand is paramount to ensure timely completion of the project with tendered margin.

Thanks. We can open for question and answers.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Ankur Sharma from HDFC Life. Please go ahead.

Ankur Sharma: The first question was on the room AC business. If you could share your market share as of end of March '24, and also where do you think you can take this number to in the current year? We understand you have taken a lot of initiatives, especially on the modern trade side tie-ups with a lot of large national retail brands. So, if you could just help us, where do you see your market share in current year?

Management: First is about the market share. I think my colleague shared with you our market share as of financial year end on this thing is 18.7%. So, year-to-date basis, it is at 18.7% on the room AC category.

Ankur Sharma: Is it possible to share the market number, and also where do you see this number going?

Management: So, see, if you look at our market share for last about a year or so, it's been hovering around 20-odd-percent. And also if you look at, this is the syndicated research numbers which we talk about here, and there is always a lag in these numbers on account of secondary sales reported by them. But if you look at the primary sales basis, we have done about more than 2 million air conditioners and industry size has been rated as about 10 million. So, we are about 20% as per primary sales reports, as well estimates also. So, this is the market share numbers as of now.

But if you look at the strategy, as to how we will take it forward. As you would have heard us saying that we have been trying to probably capture market share extraction from each of the channel now. We have been focusing on besides the conventional channel i.e. distributors, modern trade, exclusive outlets and also the e-commerce platforms. So, everywhere we have got a strong presence, and it is going to continue as we go forward also, so that all these channels give us a
Voltas Limited

May 08, 2024

Page 8 of 15

proper market share. And our endeavor would be to continue to maintain and sustain this leadership position as well as market.

If you look at the growth which we have spelled out, in the Quarter 4 it's more than 70%, about 72% or so. And even if you look at the annualized or the total YTD financial year growth on the room AC front is more than 35%. And if you look at this another segment, which is the split category, which is dominant in the total room AC, roughly around 95% sales is coming from this split category. There have been able to double up our number in this fiscal.

And also, if you look at even in the Quarter 4, growth in split category also have been about 54%,

more than 50%. So, from this you can look at as to how we have been widening the gap with other brand. Also, whatever we have pumped, whatever material has gone into the market in the last quarter, because secondary shares as I said there is a lag. So, now in the coming months you'll get to see ideally growth in the market share, as reported by the syndicated research should also go up. So, I am expecting that to go.
But see, we are actua

Ily confident that we are doing well for ourselves and for our shareholders in terms of giving them, providing them with the growth on both revenue front, and also on the volume front. So, this is what I say. And going forward also our strategy is going to continue to strengthen in the other channels, which we have started focusing on in the last 1-1.5 half years, the -other allied channels like ecommerce and also the exclusive outlets we continue to grow. We have een present in more than 350 exclusive outlets, more than 26,000 channel partners across the length and breadth of the country. So, I think this shows the might of the brand. I am sure I have been able to answer your query, sir.

Moderator: Thank you so much. The next question is from the line of Rahul Gajare from Haitong Securities India Private limited. Please go ahead.

Rahul Gajare: I have got two questions. The first one is on the project business. Sir, in the project business, is it possible you could share with us the provision that was booked in the fourth quarter? And whether all of this was specifically from the Qatar project? And if this is the last of the provision that we have seen over the last two years in Qatar and how are the projects in the other regions? And your outlook for FY '25 as far as the project business is concerned?

Management: So, Rahul, I'd like to answer it in two-fold. If you look at the overall project business, it is twofold, one is a domestic project business and another one is international piece. So, if you look at our domestic project segment which is Universal MEP which is our wholly owned subsidiary. There you would have seen we have done pretty well. And you would have seen our growth in the revenue and also the profitability has grown by over 70% in the revenue and the profitability also it's been about more than 60% growth in this thing also.

Voltas Limited
May 08, 2024

Page 9 of 15

And also, if you look at it there are three segments into it- MEP, Water and Electrical. All three segments have done well. All these cylinders have continued to deliver in these last two years if you look at, and they have continued to outperform the industry.

So, coming back to international piece, yes, of course it has given us some headwinds in the last few quarters. And you will recollect we had met you very recently, Rahul, and there also I had projected to you that it is largely coming in from on geography which is Qatar. Some small pieces had happened, but that is almost about a year back. But off late whatever has come through is coming from the Qatar region only. And we have proactively taken whatever we thought probably in delayed payments etc. We have taken this into account, and we have already provided for. So, going forward, hopefully we are reasonably confident there will not be any further provisions. Except for one contingent liability which we have already shared with all of all along, which is one in Qatar in the one hospital case, Sidra, which I am sure all of that. So, except for that, I think we are all good to go from here.

And if you look at the two major projects which are containing, two in KSA Saudi Arabia, one water theme park and another one hospital project which is doing well. We are continuously delivering, executing it well and we are recovering our dues. Then another one in Dubai. So, everything is going on well on the current projects which are being executed, the large projects we have been doing reasonably well. So, I am confident as we go forward this will all be a path for us, international whatever issues we had. And it should be a healthy proposition in international business also as we go forward.

Management: In fact, to add to that, I would say that whatever provisions we have taken, if we are able to collect in the near future, that would give us an opportunity to write back these provisions.

Moderator: Thank you. The next question is from

the line of Pulkit Patni from Goldman Sachs. Please go ahead.

Pulkit Patni: The first one is just an observation. The first time you released a number in terms of volumes right at the end of the quarter, is it a practice that you are going to be continuing going forward as well? Every quarter we would get to know the volume number immediately thereafter?

Management: Pulkit, See, this was a very, I would say, extraordinary achievement where we achieved 2 million. And that is why immediately after the quarter end we had reported.

Yes, of course. Also, whenever we get an opportunity, whenever such milestone achievements will continue to happen which we foresee happening, as many of our businesses have been doing pretty well. So, we will continue to inform our shareholders and investors and all the stakeholders, so that they are apprised of whatever developments have been happening at our end. That will be our

endeavor.

Pulkit Patni: So, I am assuming this is not going to be every quarter, but only if there's a milestone. So, now my question is, as I look at your revenue for this year for this segment, Rs. 8,000 crores, historically
Voltas Limited
May 08, 2024

Page 10 of 15

when you were doing Rs. 4,000 crores revenue you were reporting 13%, 14%, 15% margin. This time around we are at a much lower margin number. Now while Mr. Bakshi, you spoke about how growth focused you are, how should we look at this margin going forward? Because with such strong volumes, at least we were expecting some bit of operating leverage to reflect in your margins a lot better. That would be my question number one.

Management: So, you see, if you remember when I talked to you last time also, we are looking at growing the businesses. And our primary focus is on increasing the volume and the revenue. And at the same time, last time also we said that we will continue to deliver high-single-digit margin. And I am sure you will all appreciate that we have continued to deliver. And actually, over the last time what we reported, we have done slightly better on that also.

But when you go from Rs. 4,000 crores to Rs. 8,000 crores, you please appreciate that we cannot continue to make. 12% and 13% margins. So, I think probably we have been doing reasonably well in delivering to the expectations of the shareholders and we'll continue to do so as we go forward.

Management: See the point here is that with our increased volumes the rupee profit, or the rupee EBIT is on a much higher trajectory, and that is which adds to the earning per share, which is the important thing for the shareholders. So, if we are focusing on higher volumes and delivering higher margins in rupee terms, that is the goal and the growth.

Management: And also in line with that we have also given the dividend also, 550% this time as against 425% last year. So, I think you will understand our intentions to pay more to the shareholders, that's how we are looking at.

Pulkit Patni: Sir, completely understand, I think clearly the volume focus is visible in every way. Sir my second question is on CAPEX. Now, obviously volume being such a big focus, you are doing some CAPEX. Can you just talk about where we stand in terms of capacity? And obviously, India is a growing market, how do we intend doing CAPEX to build that capacity even further?

Management: Yes. So, a very good and important question at this juncture, specially. You see, I was going through a couple of reports, news items wherein it is shown that across the Asia Pacific region, the heat wave is quite intense. And coming back to India, which is our main primary focused market, there also climate is very hot and humid at the moment, temperature is unbearable and hovering around more than 40, 45 degrees in several places. And therefore, there is a great demand of cooling products. So, much so, if you look at my growth in the last two or three months, it's been more than 70%, 75%,

which is unprecedented. And I am sure, howsoever good a planner you may be as a brand or as an organization or as a person individual also, I don't think this kind of growth would have been planned by anybody and would have expected.

So, as a result, what has happened is the stocks have started to disappear from our warehouses. Factories are augmenting their production capabilities, but that is getting outpaced by the sales demand. And therefore, ingly we are trying to invest a lot of CAPEX into augmenting our facilities
Voltas Limited
May 08, 2024

Page 11 of 15

and gearing up to cater to those rising demands. So, we are, as you would know had announced earlier, we bought out a very large land parcel of about 150 acre. In my opinion, probably, this is going to be the India's largest manufacturing plant, which I am going to set up in Chennai. Which is going to be go live by the end of this month. And this will take my manufacturing to almost another 2 million as we go forward.

So, immediately 1 million will catch up from this year itself, will start from May, June onwards of at least 1 million to our production capability. Currently our manufacturing plant at Pantnagar is giving us a capacity between 1.2 million. So, I would be able to reach about 2.2 million, which will suffice my requirement for the current year. And we can ramp-up another 1 in Chennai. So, I am trying to catch up with the game in the next two to three years when I hit about 3 million, 3.5 million would be safe in able to cater to these rising demands.

So, we are spending amount on product developments, we are spending amount on augmenting production facility. Not only in the room AC, but also in the other product categories, our commercial refrigerator products in Waghodia, our Commercial Air Conditioning in Waghodia that is near Vadodara. We have set up a plant wherein also we have invested lot of CAPEX and we are augmenting capacities in both these plants as well. And then also at Sanand in our Voltbek range of appliances also, there also if you look at our numbers, we have done almost touching 1

million each refrigerator and washing machines. So, there also we are gaining grounds, our market shares are increasing, our volumes are increasing. And therefore, we need to augment all these capacities to be able to live up to the consumer.

Moderator: Thank you so much, sir. Our next question is from the line of Nikhil Kale from Invesco. Please go ahead.

Management: Yes, RAC definitely increased. There was a slight bit of headwind on the commercial refrigeration and CAC. But as Mr. Bakshi has already mentioned, we still continue to maintain according to our guidance which we have given to the investor community of high-single-digit margins, and we are within that. Quarterly ups and downs notwithstanding.

Nikhil Kale: So, fair to say that even on a full year basis you would be northwards of, say 9% for the UCP segment?

Management: On a, I would say, yearly guidance basis, I would still maintain the same thing of a high-single-digit growth.

Nikhil Kale: No, sir, I am saying for FY '24.

Management: For the Full Year '24 the numbers would be down closer to 9%, I would say, which we have already reported.

Nikhil Kale: And just on the projects business, we have seen very strong growth in the domestic side of things. So, now what portion of our total revenues is coming from the domestic side? And again, there would it be possible to highlight what kind of margin levels are we seeing?

Voltas Limited

May 08, 2024

Page 12 of 15

Management: For the total project business, our guidance on the project business, I would say domestic as well as international has been between 4% to 5%. And we would continue to maintain that. As we have seen in the last two years, we had to take certain provisions in the international business. So, if we exclude that, as we expect that majority of the problems are behind

us and we should be looking

at a better future in international business also. So, we expect that our domestic business has continuously been doing good, especially doing much better after the business transfer agreement was complete. And that has been a very positive thing to do the same.

Management: So, if want to answer on your basic question what you said is, the domestic businesses contribution in the project business. If you have looked at my order book, domestic business is double then the international business, it is Rs. 5,000 crores plus, and there it is Rs. 3,000 crores. So, we are definitely more focused on the domestic side of our project business where we have got better handle and control. And therefore, and also this business has been doing well reasonably for last couple of years, you would have seen it is growing, it has shown reasonably good growth. Our water projects as well as electrical projects, besides the MEP which used to be our mainstay earlier on, we have been doing well in all these segments. And there the margin is also slightly better and therefore we will continue to focus more on this.

And if you look at this business, the beauty is the return on capital employed. And if you look at this business, return on capital employed on only the infrastructure piece is about over 40%. So, I think this is what we have been focusing upon. And you rightly noticed that we want to focus on domestic piece more than the international piece.

Moderator: Thank you so much. The next question is from the line of Bhavin Vithlani from SBI Mutual Funds. Please go ahead.

Bhavin Vithlani: Sir, I have a couple of questions. First is, as you mentioned, the very strong growth in industry, industry stocked out, and even then you are guiding for high-single-digit margins. So, we are not seeing margin expansion. So, if not now then when? That is the question.

Second is, if you could maybe take out, I mean, if you could just help us with what is the provision that you made in the overseas project? Because we are seeing a big quantity in it, what actually is the provision? And taking that provision out, what is the EBIT margin in the projects business for the quarter as well for the year? You gave some return on capital number; it will be helpful to understand the absolute you get in this.

Third is, in Beko you had earlier guided for breakeven in FY '25 and positive trajectory on the margins from thereon, and you get to a high-single-digit margins in Beko as well. If you could just help us where are we in that journey so that?

Management: So, I will answer some of your questions. So, first of all if you ask about the growth, see, industry growth has been as per the syndicated research is about 20-odd-percent, if you look at. And I shared with you our growth in Quarter 4 has been 72% and on an annual basis it's been more than 35% in the AC category. And if you look at all Unitary Cooling products also, it's been more than

Voltas Limited

May 08, 2024

Page 13 of 15

the 30% growth which we have registered. So, that's one piece, and we are growing faster than the

industry.

Secondly, during the peak season, when you say if not now, when will the margin expansion happen? Suddenly during the course of the season, it becomes very difficult because dealers and your customers have already placed orders on you and you have already given them pricing, etc., and suddenly you cannot go back to them that I am increasing my prices with immediate effect, and therefore start making more margins. So, that becomes a little difficult at the moment. But of course, we will keep our eyes and ears closer to the ground and see if whenever, as and when there are opportunities and there are other challenges like demand, supply gaps, etc., that time we will see as to how do we move forward in that direction

And the second question is about the margins on the project business, project business

s margins

we've already shared with you, it's been hovering around 4%, 4.5%, 5% at the EBIT level. And coming back to Voltbek and the breakeven, we answered you on that also. See, Voltbek also is continually showing growth. Our growth this year has been more than 50%, on the entire consumer durable category, refrigerator, washing machine, microwaves and dishwashers.

So, coming back to, yes, of course we did talk last time when we spoke about breakeven at EBITDA level we said it will be by the end of the financial year '25. Yes, of course we still maintain that, and our endeavor is in that direction. Secondly, we talked about, yes, after that, post that from next-to-next year onwards when we move after '25 we will start generating profit out of this category. But yes, of course we said that our journey has begun, off late we are a bit late entrants in this category. So, yes of course we will start rising profit. But for a high-single-digit, it will take a couple of years to reach. But of course, as we go forward, our endeavor would be to definitely generate profit from this business.

And market share, of course we are saying we plan to take it to 10%. If you look at some of the categories, if you look at the refrigerators as of last March report, market share is 5.3%. Washing machine, all washing machines put together is 8.3%, or 8.5% rather. And if you look at the semi automatic washing machines alone, we have already are at 15% market share. So, I am sure you will appreciate the effort which the team has put in to take us to this level. And as volumes get built up, the profitability will automatically start falling in place.

Moderator: Thank you. The next question is from the line of Girish from MS. Please go ahead.

Girish: I just had a couple of bookkeeping questions. If you could help us on Voltbek, your revenue for FY '24, and of the 26,000 touch points that you have on AC, how much is Voltbek right now selling at? And if you can give the billing points as well from the dealer perspective. And the second question was on AC, if you can just break us through the UCP on commercial refrigeration, commercial AC and air coolers for FY '24 year-ending, percentage. Thank you.

Management: So, I will give you two whole answers to this. One is when you say, how many dealers or touch points we have? We have got more than 11,400-odd channel partners who are selling refrigerators

Voltas Limited

May 08, 2024

Page 14 of 15

and washing machines for our Voltbek range of appliances. You talked about the turnover, turnover is Rs. 1,500 crores, as against Rs. 1,000 crores in the last financial year. So, this is the answer number two to your questions.

Girish: Just wanted for FY '24 UCP breakup around how much of percentage is coming from commercial refrigeration and air coolers?

Management: In terms of revenue, sir, if you are asking me, so we had done about Rs. 1,000-odd crores in commercial refrigeration. We had done about Rs. 1,300-odd crores in Commercial Air Conditioning. This is how it is. And you can calculate the rest.

Management: I just want to highlight on the Voltbek. When you asked us the revenue, we have told you the numbers. But these are not consolidated in the Voltas numbers. Voltbek being a 50:50 joint venture, we take only the profit and loss numbers, not the revenue numbers. So, these are not included within our top line, just for your information.

Girish: Sir, can you give us the guidance on CAPEX? I may have missed it for fiscal '25-'26 how much are we expecting to incur on capital expenditure?

Management: '25-'26 is little farther, sir. I would like to answer limited to this year itself, because we have not budgeted for next year the CAPEX probably. '25-'26 is a little distant, so I think I will be able to answer a couple of months later when you ask me this question.

Girish: Sir, '25 would be happened, sir?

Management: '25 CAPEX budget?

Girish: Yes, sir.

Ma

Management: See, we had already announced that we will do a CAPEX of Rs. 500 for our Chennai factory. So, you can take that, approximately half of that was capitalized, rather capital work in progress for last year and roughly about half will be within this year FY '25, including for our Waghodia plants

and other things. So, Yes, roughly about that much. But besides this, we are also augmenting our Waghodia plants, both the commercial AC, commercial refrigeration, there also we are spending monies almost to the tune of additional more than Rs. 200 crores, Rs. 250 crores during this year. And also to augment further on the Chennai plant, besides what we spent about Rs. 220 crores, Rs. 230 crores, balance part of the Rs. 550 crores will get spend during this year.

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to Ms Bhoomika Nair for closing comments.

Bhoomika Nair: Thank you for giving an opportunity to host the call and wish you all the very best for the upcoming years. Thank you very much. Any closing comments from your side, sir?

Voltas Limited

May 08, 2024

Page 15 of 15

Management: Yes. I think we have made our intentions very clear that we will focus on growth and fire on all cylinders in all our business segments where we operate we want to retain the leadership position.

And this is clearly evident from the fact that while maintaining our volume growth, we have also been maintaining our margin leadership, which is a crucial thing. And I hope that the investor community and shareholder community will be happy with our results. I would say that should continue.

Management: And we look forward to your continued support and confidence in brand Voltas and in us. And we will continue to deliver on whatever commitments we have been making to you. Thank you.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Sep 2024

22nd August , 2024

BSE Limited National Stock Exchange of India Limited
Department of Corporate Services Listing Department
Phiroze Jeejeebhoy Towers Exchange Plaza
Dalal Street Bandra -Kurla Complex
Mumbai 400 001 Bandra (East), Mumbai 400 051
Scrip Code: 500575 NSE Symbol: VOLTAS

Dear Sirs,

Sub: Transcript of the Results Conference Call pertaining to Financial Results

Further to our letter dated 12th August, 2024 , we enclose herewith a copy of the transcript of the Q1 FY25 Results Conference Call held on 16th August, 2024. The same is also available on the Company's website at: https://www.voltas.in/images/Investor/schedule-announcements/download/Voltas_Q1_FY25-Transcript_22082024.pdf

Thanking you,
Yours faithfully,

For VOLTAS LIMITED

Ratnesh Rukhariyar
Company Secretary and Compliance Officer

Enc.

Page 1 of 15

"Voltas Limited
Q1 FY '25 Earnings Conference Call "
August 16, 2024

MANAGEMENT : MR. PRADEEP BAKSHI – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – VOLTAS LIMITED
MR. JITENDER P. VERMA – CHIEF FINANCIAL
OFFICER – VOLTAS LIMITED
MR. NIKHIL R. CHANDARANA – HEAD, CORPORATE
FINANCE – VOLTAS LIMITED
MR. VAIBHAV VORA – HEAD TREASURY – VOLTAS
LIMITED

MODERATOR : MS. NATASHA JAIN – NIRMAL BANG EQUITIES
PRIVATE LIMITED

Voltas Limited
August 16, 2024

Page 2 of 15

Moderator: Ladies and gentlemen, good day and welcome to the Voltas Limited Q1 FY '25 Earnings Conference Call, hosted by Nirmal Bang Equities Private Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Natasha Jain from Nirmal Bang Equities. Thank you and over to you, ma'am.

Natasha Jain: Good morning, everyone. Nirmal Bang Institutional Equities welcomes all of you to the First Quarter Results Conference Call of Voltas Limited. I would like to thank the management of Voltas for giving us an opportunity to host the call.

Management is represented by Mr. Pradeep Bakshi, Managing Director and CEO; Mr. Jitender P. Verma, Chief Financial Officer; Mr. Nikhil R. Chandarana, Head, Corporate Finance; and Mr. Vaibhav Vora, Head, Treasury.

I would now like to hand over the call to the management for their opening remarks, post which we shall open the floor for Q&A. Thank you and over to you, sir.

Management : Hi, and good morning to all the participants. At the outset, I will give you a quick brief on our performance. And then after that, we will take up the question -and-answer session, along with our MD, Pradeep Bakshi; and myself, Jitender Verma.

So, as we all know, the global economic activities and trade around the world were improving during the first quarter, with growth on the upside in many countries. Upside risks to inflation stemming from various issues such as price pressures on account of renewed trade or geopolitical tensions in Middle East continued. Weak global sentiment continued amid rising U.S. recession concerns, leading to lower -than-anticipated macroeconomic data in the U.S., and fears of a reverse carry trade in the yen after rise -- rate hike by the Bank of Japan. Potential changes in Govt. in U.S., its trade policies, tariff hikes; slowing China economy may impact global growth. India's GDP growth continues to surpass expectations. Certain macro -economic indicators have contributed to the momentum in the economy, including growth in Agri business service sector.

The rise in manufacturing activity and moderate inflation may be a positive sign for easing monetary policies by RBI. In the recent budget, fiscal consolidation remained a big positive for the country, with the government focusing on the reduction of India's debt driven by lower revenue deficit. Capex budget also remained healthy in the interim budget of the government. All these factors paint a positive picture for the growth story of the country, leading to a positive momentum for the growth of industry and people.

The year 2024 continues to be a milestone year for the company. In the results for the year ended March 2024, we had announced a record -breaking top line with the sale of over 2 million air conditioners in FY '24, indicating a strong market demand for the company's products, registering a quarterly growth of 72% and an annual growth of 35% in volumes at that time. As Voltas Limited

August 16, 2024

Page 3 of 15

we entered FY '25, the rising demand and intense summer's helped clock an even strong growth in revenue and bottom line in this quarter for the company. We are happy to report strong growth in all the three segments. That is UCP, projects and Engineering Products and Services. The Unitary Cooling Products business continued to outperform the market and maintained its growth momentum with an overall volume growth of 67% over the corresponding previous quarter. Also, in case of bottom line as well, UCP replicated the growth in topline, indicating a

steady margin.

With this incredible growth, the company reported consolidated total income for the quarter ended 30 June 2024 higher by 46% at Rs 5,001 crores, as compared to Rs 3,430 crores in the corresponding quarter last year. We are excited and thrilled to inform you that we have recorded a lifetime high in profit before tax, PBT, in any quarter earned by the company at Rs 452 crores, a growth of 123% as compared to Rs 203 crores in the corresponding quarter last year. This quarter's profit is almost close to the PBT earned by Voltas in full year of FY 2024. Net profit after tax was at Rs 335 crores, as compared to Rs 129 crores last year. Earnings per share, for a face value per share of INR1, for the quarter ended 30 June 2024 was at Rs 10.10, as compared to Rs 3.91 in the same period previous year. The corporate balance sheet continues to remain healthy.

Segment A – Unitary Cooling Products (UCP)

As you have already seen a snapshot for our results, I think the main point here is that unitary cooling contributed almost 78% of total revenue of the company. Specifically talking about the segment in Unitary Cooling Products. The scorching heat, rising temperatures and a need for cooling and comfort helped scale the UCP vertical to a newer height. With joint efforts of our sales, planning, marketing and manufacturing teams, we recorded another milestone of selling the fastest 1 million ACs within first 88 days of a quarter, given the unprecedented demand for

cooling products . The extraordinary demand due to extreme weather conditions in most parts of the country has pressurised and disrupted supply chains across the industry. However, a mix of round -the-clock operation at factories and strong support from our OEMs ha ve largely helped in meeting the market demand.

Our quarter 4 FY '24 growth story continued in qu arter 1 FY '25 with a whopping 67% volume growth in Unitary Cooling Products, as compared to the corresponding previous quarter. All the products in the room air conditioners category witnessed high demand driven by consumers' desire to have products with advanced features and its long -term advantages of savings in energy costs. We recorded around 65% growth in split air conditioner categories, with demand coming from across the country. Strong demand for premium category of products, i.e. 5-star rated products, continued. And overall sales mix for these products has also improved for Voltas. The zest of meeting the market demand and meeting customer expectations by giving them comfort and convenience and making our products accessible through our widespread distribution reach, leveraging on the supply chain, helped us retain our leadership position for the year, with an exit market share of 21.2% in June 2024.

Since the past few quarters, we have continued to strengthen our brand proposition and product placements across all channel formats. During the season for RAC, the performance and

Voltas Limited

August 16, 202 4

Page 4 of 15

leadership position continues to remain strong. The company also registered significant growth in volume for other cooling products, including air coolers and commercial ref igeration products. Commercial refrigeration industry garnered traction leading to a high demand for cold beverages and ice creams , thus helping us clock positive results for the business.

Within the commercial refrigeration category, demand was buoyant for water coolers and water dispensers. The business recorded all -time-high sales in the quarter driven by sales across all commercial refrigeration products and led to a growth higher than the industry, helping us retain our market leadership position in freezers, water coolers and water dispenser categories. Our new products in cold room and medical refrigeration have also registered good business growth and healthy order booking, ensuring good volumes in the categor

y. However, stock liquidation

of non -QCO inventory has led to a slight drop in margin during the quarter.

Like RAC and CR, the performance of the air cooler vertical added extra flavo ur to the milestones of the company in the current quarter with a staggering 170% volume growth over correspond ing previous quarter. High sales in the first quarter have set the path for an exciting year ahead with advanced booking of coolers for the next season. Aggressive schemes supported to expand distribution network and, at the same time, quality products; an d support from the climatic conditions helped to establish a strong foothold this season. sell-out remained strong across all channels.

Our new cooler models were well accepted and further fuelled the growth story for the category. As per the latest repor t, market share has also grown to 10.50%, helping us become the number two brand in the month of June 2024 for this category, widening the gap with brands at third and fourth positions. Water heater sales had a good start for the vertical and are expected to grow bigger in the coming months despite this being a lean period for the product.

The commercial air conditioning (CAC) vertical performance also remained steady during the quarter. Sales of VRF, cassette ACs, ducted ACs drove the top line and bottom line for the quarter. Unlike product sales in the current quarter, margins from retrofit jobs were lower, which moderated the overall EBIT performance for the vertical for the quarter. This, however, will improve over the next few months.

Consumer -centric finance schemes contributed significantly to the increase in sales this season. Additionally, on the cost front, commodity prices have started to accelerate upwards, with USD - INR depreciating over the quarter. And both have been detrimental to the profita bility of the business. Considering the seasonality of business, IPL and a move towards TV advertisements and higher sales and promotion expenses kept our margins in line with the previous year. On the other hand, various value engineering initiatives and cost austerity drive s have kept the margins stable.

To summarize , for the quarter ended June 2024, the UCP segment registered a revenue of Rs 3,802 crores, a 51% growth in turnover from Rs 2,514 crores in Q1 FY '24. The segment reported an EBIT of Rs 327 crores in Q1 FY '25 as compared to Rs 207 crores in Q1 FY '2 4, growth of 58%.

Voltas Limited

August 16, 202 4

Page 5 of 15

On the capacity expansion front, we are happy to announce that we have started commercial operations in our RAC factory in Chennai, with a capacity of 1 million and water dispenser line with a capacity of around 3.5 lakhs in Waghodia. Both these plants provide us with strategic advantage of location and help us cater to the market in South and West India. This will enable us to meet growing demand for the underpenetrated air conditioning and commercial refrigeration products market. This would in turn help us deliver a powerful performance to give our consumers comfort and convenience. With our story of volume growth across channels and products, we are optimistic on utilization of our factories to the optimum scale and achieve cost efficiencies for the business going forward.

Segment B – Electro -Mechanical Projects and Services

The segment revenue for the quarter was Rs 949 crores as compared to the previous corresponding quarter revenue of Rs 679 crores, a growth of 40%. In the past, while we faced multiple headwinds in the international projects business, in the current quarter, we reported a positive EBIT of Rs 67 crores for this segment.

Healthy opening order book, quality Professional Qualifications (PQE), focused project review and governance structure and a better working capital management has translated into healthy business performance of the Domestic Projects business. The Domestic Projects business recorded a growth of 50% for the quarter ended June 2024.

Elections in the country subdued the order booking for the Domestic Project business. And the order pad stands at Rs 4,769 crores currently. We are anticipating order booking to pick up during the second half of this financial year. For International Projects business, projects in UAE and Saudi continued to deliver good performance and drive the revenue growth for the business. Strong project execution, timely assessment of cost and profitability has ensured a strong bottom -line performance for our businesses after facing challenges for a few quarters. We are further elated to inform that in both the matters of our BG encashments which pertain to financial year '22, 2023, we have received arbitration award in our favour. And whilst the collection of the proceeds may take some time, our efforts of demonstrating fulfilment of our part of the job and defying an unwarranted encashment have worked positively.

We remained cautious in order booking during the quarter. The carry forward order book for international business as of 30 June 2024 stood at Rs 2,734 crores, largely in UAE and Saudi Arabia region. The total carry forward order book of the segment stood at INR7,503 crores as of 30 June 2024. Segment profitability was higher, considering the projects achieving threshold milestones resulting in the accrual of profitability for the jobs.

Segment C - Engineering Products and Services

Segment revenue and results for segment C continued to report better performance for the quarter over previous year. Segment revenue for the quarter was Rs 161 crores and EBIT for the quarter was Rs 45 crores, respectively.

Voltas Limited

August 16, 2024

Page 6 of 15

Mining and construction vertical achieved a positive momentum on top line, ensuring continuation of business activities in terms of O&M jobs and sale of Powerscreen machines. However, margin reductions and ancillary overhead costs relating to the business did not help us to replicate the top line growth to EBIT. Going forward, robust growth abilities in both Mozambique and India will help us maintain the business momentum for the year.

The textile industry experienced headwinds owing to fluctuations in cotton and yarn exports. As a result, capex within the industry decreased across the sector, which led to reduced utilization levels of spinners and thereby a corresponding reduction in demand and margins for our agency business. Despite these headwinds, the business performance of our own after sales and post - spinning businesses has been positive.

Voltas Beko

Voltbek, our home appliances brand, continues to grow with the support of Voltas' strong brand presence and distribution and Arçelik's technical expertise, with a formidable team leading Voltbek. The home appliances industry in India witnessed a healthy growth fuelled by a surge in demand for both large and small appliances. And Voltas Beko offered an impressive array of products to meet the demands of the consumers. Voltbek has delivered a volume growth of over 50% compared to corresponding period in the previous year. With regards to the bottom line, with increased volume and gradual reduction in losses, Voltbek continues to reduce loss per units and move towards our goal of achieving EBITDA breakeven in near future.

Voltas Beko has solidified its position among the top 3 brands in semi -automatic washing machines category for YTD June 2024 at 14% market share and overall YTD June 2024 share in washing machine category to 7.8%. The refrigerator segment also achieved over 50% growth

in business, reporting a YTD June 2024 market share of 5.2%. Other segments such as dishwashers and microwaves also achieved better business performance. Voltbek is committed to meet its two objectives of enhancing its market presence across various product categories by deploying customized approach

hes for market penetration and growth and to attain profitability. These initiatives will involve expanding distribution reach, adopting channel -specific tactics to enhance market reach in key regions through retail and distribution channels and maintaining a strong focus on boosting e-commerce and omni-channel development. And on the cost front, localization of production of a larger portion of its product portfolio, product efficiencies, value engineering efforts and improving product mix have resulted in a positive outlook for the company.

Outlook

The period of July to September, that is quarter 2 FY '25, is usually a lean period for cooling products. However, the start of festival period may lead to an early spurt in demand. It will be interesting to see the impact of the interplay of multiple factors such as inflation, movement in crude oil prices, rupee behaviour and geopolitical challenges.

Voltas Limited

August 16, 2024

Page 7 of 15

I'd also like to inform that company has on June 20, 2024, as part of internal restructuring earlier announced, executed the share purchase agreements with Universal MEP Projects Pte . Limited, UMPPL, a step-down wholly owned subsidiary of the company incorporated in the Republic of Singapore, for transfer of the company's direct investments in overseas subsidiary companies, namely Weathermaker FZE in UAE (100%) , Saudi Ensas Company for Engineering Services WLL in Kingdom of Saudi Arabia (92%) and Lalbuksh Voltas Engineering Services and Trading LLC in Sultanate of Oman (20%) to UMPPL. The transactions are targeted to be completed on or before 30 September 2024, subject to satisfactory completion of the condition's precedent, including necessary approvals and procedures as may be required in the respective local jurisdictions and in accordance with the provisions of the share purchase agreement. It is pertinent to note that post transfer of these investments, the economic interest of the company and in the aforesaid overseas subsidiary companies shall continue to remain intact.

The government has remained optimistic in meeting its capex commitment for FY '24 in its budget. And while the order pickup was low in quarter 1, with a stable government now in place, we anticipate order pickup for our project business. However, we will continue to follow a cautious risk-mitigated approach while selecting new orders.

For us , currently the execution of the orders in hand is p aramount to ensure timely completion of the projects with tendered margins. In general, we will remain cautiously optimistic on pickup in the pace of overall economic activity and Voltas will seize the opportunity to continue with the growth momentum. That's all from my side.

We can open the session for question -and-answer.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Ankur from HDFC Life. Please go ahead.

Ankur : Hi sir good morning. Thanks for your time and great set of numbers. So my first question was on the room AC segment and more of your market share and how competition is behaving. And clearly you've obviously been doing a great job of taking back market share. And what I specifically also see at the GfK data is that Koreans seem to be losing out across ACs, refs, washers, a trend we've been seeing for the past few months.

So any comments on your side? What's really happening on competition maybe what the Koreans are thinking? Are they like refocusing more on margins over volumes and therefore it's obviously helping players like us take back market share? Some colour also other players in the industry a little more rationale in terms of taking price hikes? So yes, some colour there on competitive behaviour?

Management : I would like to refrain from commenting about the competition, but of course, I can talk about our numbers here. So this

year, it has been quite hot and humid summer. And Voltas, of course, being a Tata group company the faith, love, affection and trust which we got from our consumers was enormous this year and all along in our journey. So that's one part.

Voltas Limited

August 16, 2024

Page 8 of 15

Secondly, we were very strong in managing our supply chain. We had planned better. Therefore,

we could gain on that ground coupled with our wider reach and distribution compared to other players. It helped us gain momentum and continue to gain momentum in our category. And our product portfolio, and strong dealer network and along with our capability of manufacturing and providing the after-sales service to the consumer have played well. All these things have played good role in enabling us to regain some of our market share. And as of June end, our market share stands at a strong 21.2%. And we have been able to widen the gap with the number 2 player by almost 800 basis points.

Ankur : Right. And any sense on -- I understand that obviously summers were good and that's helped overall industry pricing and margins, but even otherwise do you believe or moving on to a high level of margins? Would that be a fair assumption?

Management : So it is difficult to say because we'll have to play here cautiously, because competition is very stiffer each passing days, passing months. We've got more than 65 brands available in India and quite a few of them are private labels as well. So to retain this kind of market share is itself a big challenge, but yes our endeavour is going to continue to retain this kind of market share and to remain the market leader.

More than anything else, we would like to retain our leadership. On the margin front, whatever we have always been giving guidance that we will retain - the high single-digit profitability % which we have been ensuring all along. And our endeavour going forward also will be to retain that high single-digit profitability. That's what we can suggest.

Ankur: Yes. And quickly a second question would be on the projects business where clearly margins looked very healthy this quarter at 7%. So any provisions which have been taken or is this more like the mid-single-digit margins is what you could -- or you would expect for the remaining quarters going forward?

Management : In the last few of our interactions with all of you we've shared, we have become more prudent because in the previous years and in, last couple of quarters we had some challenges. We had to make provisions on some projects. The payments were getting delayed, etc and also our bank guarantees also got encashed.

However, this quarter there was no such incident happened and therefore, we did well. And projects generally give us margin of between 4% and 5% only all along. So that's what we have been trying, that it should continue. We should continue in that way by remaining prudent in selecting the project. Actually we are doing a lot of screening from the business side, when we get the tenders, etc. So we look at it very carefully and select the projects which are prudent and which are worthy of carrying forward and execution.

Ankur: I get that. Okay sir great. Thank you so much.

Moderator: Thank you. The next question is from the line of Bhavin Vithlani from SBI Mutual Fund. Please go ahead.

Voltas Limited

August 16, 2024

Page 9 of 15

Bhavin Vithlani: So my question is on the unitary cooling, if you could just help us. What was the revenue from the commercial HVAC, commercial ref segment? You gave the breakup last quarter for the full year number, so this year what's the growth in those segment? A continuing question here is you mentioned there have been certain one-off costs in the commercial ref segment. If you could just help us with that?

And on the pure air conditioning segment you mentioned full year profit margins

were 10% last

quarter. What were they now and historically we have seen margins in the band of 12% to 14% and 1 year 15% as well. Now that you have gained scale, you have own manufacturing, could we expect double-digit margins going forward? May not be this year, but over a couple of years. Is that something which is also you believe achievable?

Management : Commercial refrigeration and commercial air conditioning put together the revenue share has been about 18% of the UCP segment. So since you know that we are a very diversified business house. So all in all our endeavor is to retain a high single-digit margin, scale up our business and retain leadership position in all the businesses. That is also of significant importance for us. And therefore, we are trying to address both retaining the high single-digit profitability and retaining the number one position, leadership position, in all the category and businesses which we deal in.

So therefore, I'm not very keen about only increasing the profitability to double digits and triple digits. That is not the endeavor. Endeavor is to more scale up the businesses in a big way and expand the industry. That is what we look forward to. As you grow there your absolute profitability goes up. Your absolute revenue goes up, so that's what we aim for. And you are -- you become a very -- number one with a wider gap with the number two, three, four players that is what we look forward to.

Management : Unitary cooling also you will see that -- last couple of quarters you would have seen we've tried

to retain 8.5%, 9%. So that is what we will be aiming for going ahead . And if there is an opportunity to improve further, we will not leave any stone unturned on that also, but that's what guidance I'll give only, the high single digit, as of now.

Bhavin Vithlani: Great. And just that what was the negative impact of the inventory write -off on -- because of the change in law? You mentioned about that in your opening remarks ?

Management: I think usually we do not quantify. We have not said any inventory write -offs in our opening remarks. We did say there was a QCO -related impact in the CR industry, where most of the industry players had to sell off their QCO -related inventory at discounted or cheaper prices, and due to which, we couldn't increase our prices. But we didn't have any write -offs or anything, just to clarify that.

Moderator: The next question is from the line of Nikhil Kale from Invesco.

Nikhil Kale: Congratulations on a very strong quarter. Sir, so I just wanted to understand, even on the CAC side, you said the margins were kind of impacted. Can you just highlight what was the issue

Voltas Limited

August 16, 2024

Page 10 of 15

here? And would it be fair to say that like if you kind of keep aside the dry box which commercial refrigeration and CAC, RAC margins would not kind of improve on a Q -o-Q basis?

Management : So as far as CAC, commercial air conditioning is concerned, you will not see much of a margin dip. It's about minor percentage point only. However, there also was the impact of the margins from retrofit jobs were lower , which moderated the overall EBIT performance for the vertical for the quarter . So that was the reason. This, however, will improve over the next few months.

Nikhil Kale: So then the RAC margins were kind of include in a Q -o-Q basis if you kind of remove this CAC?

Management : RAC quality control order has already happened quite some time back. So that is -- that impact is, I think, gone away long back. So now RAC margins have been slightly reasonable. And if we look at Segment A margins those have already improved. Only thing is CAC and CR will have to look up now after the quality control orders have been implemented and our products are compliant with this quality control order.

Nikhil Kale: Okay. So what I was saying was like Q4, we did 9.2% in UCP

and this quarter was 8.6%. So

can you attribute the decline entirely to CAC and the commercial refrigeration?

Management : So partly, yes, because of Commercial AC and Commercial refrigeration, for sure. But in this first quarter, there is a heavy advertisement cost. We have to advertise a lot. IPL etc ., is being happening around that time. Then because the sales are higher, therefore, also our subvention costs, for consumer financing , rebates are higher . So everything goes up relatively and therefore, I think that has taken a bit of an impact due to that. And therefore, as against, 9.2% margin , we are at 8.6% at the moment in this quarter.

Nikhil Kale: Understood. And my second question was on the mechanical project segment. So you said that the arbitration has gone in your favor. So any sense on what kind of amount will we kind of have to collect from the BG encashment that has happened. So just some sense on what kind of writebacks can we kind of expect over the next few quarters?

Management : See, as we have said in our opening remarks, that we have won the arbitration awards, which is a good win to prove that, the encashments done were unethical or you can even say even without any reason. So that's a kind of vindicating our stand that we were right all the time. Now as far as the process goes, there is an arbitration award then it goes through the courts. There are appeals, counter appeals.

So I wouldn't be able to confirm when and how we will be able to receive some money. But I can only confirm to you that whenever we receive in the coming quarters, it could be 4 or 8 quarters down the line or even longer, we will have to follow the court process. The only assurance we have is that the court processes in these countries are much faster, and we would see the results sooner unlike some of the results we hear or see in the Indian courts. So within a period of, I would say, 4 to 8 quarters, we should see this. If we may be able to collect the money, that would remain the key.

Moderator: The next question is from the line of Siddhartha Bera from Nomura.

Voltas Limited

August 16, 2024

Page 11 of 15

Siddhartha Bera: Sir, given the strong momentum we now see in first quarter, any outlook for the year, if you can share for the UCP industry or for you, how to look at the growth? And does the numbers in the current quarter, quarter 1 also include the production from the Chennai plant or it is yet to come?

Management : So let me answer and then probably my CFO can also add to that. Quarter 2 is generally a bit challenging one because it's a lean quarter and there are a lot of things happening because of

range, also in auspicious period, Shraadh and all happening in India. Many of us believe in that. So sentiments remain a bit down. And we are not very gung-ho about quarter 2. And even quarter 3, if you look for AC category, it is not a big quarter, actually because not very many people come forward to buy air conditioners during this quarter. But of course, for our Voltbek range of products, quarter 3 is expected to be a good season, is going to be a probably bit the stronger one. So that is what we are looking forward to. But then also, there are quite a few geographical -- geopolitical challenges, which are coming across including war situation in some of the countries, not too happy situation in some of the Middle Eastern countries sentiments are bit challenging there, U.S. because of election, etc.

So all this is going to play some part in the next 1 or 2 quarters. So we'll have to be of watchful of all these events as to how it happens. And therefore, we will keep our fingers crossed, but our dream would be to continue to keep pushing numbers as much as possible so that we remain the leaders in each of the category, which we represent.

Management : I think just to add, our strategic intent continues to be strong remain with our number one

position. And in that endeavour, we do all our activities in a very cohesive manner, thereby to give you a very quick and short answer. We maintain our guidance or indication of overall single-digit -- high single-digit profitable margins -- profit margins. And that kind of remain. Yes.

Management : I need to also give you answer to the Chennai factory. Yes, Chennai plant is fully ready to start production. Production has begun in this month. We were waiting for the commercial certificate or licensing to be approved by the government, which we've received. So production has commenced. Now they're in the phase to augment and to facilitate us to cater to the rising demands in this category.

Moderator: The next question is from the line of Sonali Salgaonkar from Jefferies.

Sonali Salgaonkar: Congratulation on the good quarter. So my question, sir, again, some extensions to your earlier question. Firstly, with the peak summer season behind us, what are the indications that you are seeing of the underlying demand trend? We understand summer was very strong. There was stock out at certain quarters and hence, the channel selling can take place. But generally, on the underlying consumer trends, what are you seeing right now? And how sustainable do you think your market share gain of Q1 will be?

Management : So you see, India is very hot and humid country. And if we see because of global warming issue, is going to continue to remain same. And I am not too sure there will be any reluctance from the weather God that India will become a cooler country. So I think we will continue to get

Voltas Limited

August 16, 2024

Page 12 of 15

opportunities. Secondly, if you look at penetration level in India, it's also very low. It's been hovering around 7-8%, not beyond if you look at. And therefore, that also shows a big opportunity.

Thirdly, if you look at our per capita income, our GDP growth, everything has been indicating for a big growth and India is poised for a big growth and India will continue to grow. Next 10 to 20 years belong to India, as I would have said earlier also. So I don't think I have got any apprehensions about India growth story.

So that is continued -- going to happen. And we will continue to augment our capabilities to be able to cater to those rising demands. Each, we have earmarked large sums of capex, almost Rs 800 crores to Rs 1,000 crores which we have earmarked for our factories. All the factories are going in the full swing. We're ramping up production. We are investing into plant and machinery. So I don't have any doubt about the growth story of India. So I am looking forward to big growth, and we will continue to keep on harping on those opportunities.

Moderator: Thank you. The next question is from the line of Rahul Gajare from Haitong Securities. Please go ahead.

Rahul Gajare: Congratulations on very strong performance during the quarter. Sir, I have one question. Sir, I think the entire industry is talking about profitability in the UCP business being in the high single digits. Do you see there are -- you have levers to increase that number, given that government has kind of eased on China visas or JV approvals, etcetera.

So I think what is your thoughts or the update on your JV on the compressor side if you could elaborate on that? And just continuing with the same question, given your Chennai factories commenced operations, you were also looking at export opportunity, given Q2, Q3 are off-season for the AC products? What are your thoughts on export? How soon can we see that area also picking up? Thank you.

Management : So there are many questions embedded in the questions but nevertheless, let me answer. Firstly, when you say on the margins that everybody has been talking about high single digits. I am not too sure whether all the brands, all the players available in India have shown high single-digit

ba

ring probably, I will say 1 or 2.

So that's one piece of answer. Secondly, if you talk about the compressor status, as you know that we were stuck up. We tried our level best. We signed up joint venture. But because of approval for want of that, we could not carry on with the compressor manufacturing earlier on. However, we have been trying and attempting if we can rope -in some technology partner, we'll be more than happy to set up a factory very soon. But we are waiting for something to come up. And as and when the good news comes up, we will share with you. So about that also. But yes, of course, our endeavour is that we should definitely look forward to manufacturing of compressors.

Not only compressor, but a couple of other important components which goes into manufacturing of air conditioner, we are looking forward to building up capabilities in that

Voltas Limited

August 16, 2024

Page 13 of 15

direction. So our R&D and manufacturing teams have been continuously working towards all this. So that is question 2.

Early, you talked about exports business. So exports, we have made some humble beginnings because of our presence in GCC countries because of our project businesses out there. We've made some in -roads but it is not worth mentioning at the moment. But yes, of course, going forward, as we are setting up more and more factories and we are augmenting our production facilities.

Going forward, we will look at something. But I think if you ask me, honestly, and all of us know that India itself is providing so much of opportunities. There are so much of potential available in India. We need to encash upon that before we look at and explore -- start exploring on the exports.

So I think firstly, I would, whatever factories I'm setting up, my endeavour would be to get that to the rising demand of India. And in case we got excess capacities then we'll start looking at developing some of the geographies where there is meaningful business position. And also, currently, you look at geopolitical situation in many of these geographies, SAARC countries, Europe had a not so good situation in whether it is called Bangladesh or Sri Lanka financially also and there are also some challenges with some of these geographies. Then GCC countries also there is some kind of war -like situation happening. So I think we'd rather like to wait and watch to get things clearer before we jump in export trade. But yes, whenever opportunities come up, we will surely look at that as well.

Moderator: Thank you. The next question is from the line of Venkatesh Balasubramaniam from Axis Capital. Please go ahead.

Venkatesh B.: Questions are related to the UCP segment. I think you -- what you have shared is the exit market share end of June? Is it possible to share what is the market share for the full quarter? That is one part of the question.

The second part of the question is can actually tell what is the -- how is the channel inventory looking at? Because we have read even throughout the first quarter that there have been stock -outs. So is the channel inventory at this point in time like normal levels or it is below normal levels?

Management : So on the market share front both on the volume as well as value, we have increased our market share and YTD has also by 0.5 %. So currently, our market share on a YTD basis for this quarter is 19.5%. And we are about 450 basis points ahead of the nearest rival. So that is about market share.

Secondly, on the inventory front with the trade, it is not high because the channel and all the brands were struggling. And so were we also to cater to the demand, it was hand -to-mouth kind of a situation in the last 1 or 2 months because nobody could have planned a growth of 60%, 70%.

Voltas Limited

August 16, 2024

Page 14 of 15

So inventory is not much in the neither with the trade nor with the brands

. But therefore, I said

is we are augmenting as we go forward. And this quarter is a bit leaner, so we'll start building up for the coming second summers for some of the geographies in India and as we go forward for the next year as well.

Moderator: Thank you. The next question is from the line of Shrinidhi Karlekar from HSBC. Please go

ahead.

Shrinidhi Karlekar: Sir, would it be possible to quantify advertisement and promotion spend that you did in the AC business in this summer season versus same period last year in terms of percentage of sales?

And sir, also a related question I would have is has there been a material change in your channel mix in the AC business, if I compare this summer season versus last year?

Management: So generally, we have earmarked about roughly around 3% of our yearly budget for the advertisement. And they will tantamount to roughly around Rs 200-odd crores approximately.

It should come up to, including the ATL and BTL activities which we're going to spend during the year.

Shrinidhi Karlekar: Has there been jump, sir, if I compare summer period to summer period like year-on-year?

Management: This year, we have earmarked more. Earlier on, we used to do about 2%. But this year, roughly it has been around 3%. We are earmarking because we want to, as I said is, we want to scale up our numbers.

Management: I'd just like to clarify, it is 3% for the quarter. But for the full year, we maintain between 1.5% to 1.75%.

Shrinidhi Karlekar: But we are incrementally looking to spend more.

Management: Yes, I mean, one month, this month here and next month here can happen.

Shrinidhi Karlekar: What I wanted to know is, has there been a material change in your channel mix in the AC business if I compare this summer versus last year?

Management: Generally speaking, there is no change in the channel mix. Of course, our efforts in certain geographies are much bigger than what they were in the previous quarter. And therefore, based on the geography, we all know like South is much more on the organized trade and all. So therefore, those impacts would have happened. But specifically, we continue to maintain and service all the channels. There is no one way or the other differentiating between the channels because all channels are poised for growth, and we are looking at that with that eye.

Moderator: The next question is from the line of Pulkit from Goldman Sachs. Please go ahead.

Pulkit: Sir, congratulations on your market share gain. My question is related to this. Sir, what we understand it, there's been pretty significant discounting that Voltas has done due to subvention scheme in order to gain the market share back, obviously, your distribution and etc., health. But do you think the brand has now sort of moved from premium economy to more like an economy Voltas Limited

August 16, 2024

Page 15 of 15

category in terms of where our placement is relative to competition, and that's really something that has helped us significant market share in terms of how we are positioned? Would like to know your view. And if there's a third-party research you've done in order to understand what the brand perception is right now?

Management: See, this perception that we have done heavy discounting to achieve the market share, I would say, it's a wrong perception. We as a corporate, we are always focused on sustainable strategies and trades, both. We never take knee-jerk reactions on any of these kind of things. The market as such has been greater adoption of consumer finance schemes, driven by consumer behaviour to opt for finance options and we have been similar increased adoption for our products.

You can call it to the consumer behavior or maybe the new families, they prefer to take the finance, so therefore, our costs also increased because of that. But it's not that we are going aggressive in any way to go out discounting

or to spend more money on subvention, no. That's

not the right way to look at it. On the other side, I think what was your last question? Could you repeat.

Pulkit: So it was the first question on have you done any study on brand perception of late?

Management: No, of late we haven't carried out, but generally, we do it once in 2, 3 years only. We haven't carried out any study ourselves. However we are pleased to note that the prestigious Brand Finance Report of 2024 has ranked Voltas among top 10 brands in India, with Voltas being only brand listed in top 10 in the consumer durable industry.

I think we seem to have been doing pretty well on our brand image. Brand equity, it goes also whenever we carry out before the season and after the season also, that we'll be able to share with you in the next probably time we are meeting up with you. And then generally, our brand equity scores are also pretty high only.

Management: You can write back to us in case any questions are left. We'll try best in ever to answer you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Ms. Natasha Jain for closing comments.

Natasha Jain: Thank you. Unfortunately, that would have been the last question due to prior commitment for the management. I now request the management to post closing comments, if any.

Management: I think our last comments remain the same. We are in a very interesting time period of growth.

And we are poised with our increase in capacities and everything to be able to be part of this growth. And that's all from my side. Yes.

Natasha Jain : Thank you, everyone. On behalf of Nirmal Bang Institutional Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Management : Thank s, everybody.

Call: Nov 2024

(no extractable text — likely a scanned image PDF)

Call: Feb 2025

(no extractable text — likely a scanned image PDF)

Call: May 2025

Page 1 of 13

"Voltas Limited
Q4 FY 2025 Earnings Conference Call "
May 08, 2025

MANAGEMENT : MR. PRADEEP BAKSHI – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – VOLTAS LIMITED
MR. K.V. SRIDHAR – CHIEF FINANCIAL OFFICER –
VOLTAS LIMITED
MR. NIKHIL R. CHANDARANA – HEAD, CORPORATE
FINANCE – VOLTAS LIMITED
MR. VAIBHAV VORA – HEAD TREASURY – VOLTAS
LIMITED

MODERATOR : MS. NATASHA JAIN – PHILLIP CAPITAL INDIA PRIVATE
LIMITED

Voltas Limited
May 08, 2025

Page 2 of 13

Moderator: Ladies and gentlemen, good day, and welcome to the Voltas Limited Q4 and FY 2025 Earnings Conference Call hosted by Phillip Capital India Private Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Natasha Jain from PhillipCapital. Thank you, and over to you, ma'am.

Natasha Jain: Thank you, and good afternoon, everyone. I, Natasha Jain, on behalf of PhillipCapital, welcome all of you to the fourth quarter FY '25 earnings conference call of Voltas Limited.

From the management today we have Mr. Pradeep Bakshi, Managing Director and Chief Executive Officer; Mr. K.V. Sridhar, the new Chief Financial Officer; Mr. Nikhil R. Chandarana, Head Corporate Finance; and Mr. Vaibhav Vora, Head Treasury. I would request the management to give their opening remarks, post which we shall open the floor for Q&A. Thank you, and over to you, sir.

Pradeep Bakshi: This is Pradeep Bakshi here. So just to give you a heads up, with me today has joined Mr. K.V. Sridhar, besides my colleagues, Nikhil and Vaibhav. K.V. Sridhar, just as an introduction, he has joined us recently as Chief Financial Officer. And he comes with a very, very rich experience, and he's dealt with Board, and he's been in the system with us for last few days. So now we will pass on the mic to Sridhar who will give you the heads up on the performance for the quarter and year -end.

K.V. Sridhar: Thank you, sir. So good afternoon, all. Glad to connect with you all as part of the call. First, I'll start with the overall global situation, what we see as we analyze it, India, and then to the results part of it. So the global economic outlook, as you can see, linked to multiple factors like U.S. tariffs and countermeasures of the trading partners. There is a high level of uncertainty. In addition to the risk of increased inflation, investment and consumer confidence are anticipated to decline during the prevailing uncertainties. While the direct impact on India is expected to be limited, the spillovers of global slowdown of especially the 2 key economies, U.S. and China, may exacerbate the scale of impact. Further, the Indo-Pak border tensions further adds to the

uncertainty of the last couple of days. This will negatively impact economic activity with global growth now projected to drop to 2.8% in 2025 and 3% in 2026, down from the earlier forecast of 3.3% in the earlier years. This is significantly below the overall average of 3.7% earlier. But in contrast, if you sort of look at India, for example, India is, I think, relatively well insulated, supported by strong economic fundamentals, declining crude prices and a proactive monetary policy. India's strategic position has the potential to provide additional benefits. It is reportedly close to becoming one of the first countries to finalize the trade deal with the U.S. IMF in its latest release expected that India is set to overtake Japan and become the fourth largest economy in the world in 2025. This growth is likely to be fueled by the nation's private consumption growth.

Voltas Limited
May 08, 2025

Page 3 of 13

Linked to the India story, the company has maintained its growth trajectory and increased its annual revenue driven by a strong summer season for the AC industry after 2 to 3 years and the growth in the Projects business. Voltas achieved several key milestones during the year, becoming the first brand to surpass 2.5 million AC units in 2024-25, the highest ever Air Cooler sales in excess of 0.5 million and Commercial Air Conditioner business

also delivered steady growth. During the year, Voltas Beko also recorded sales of over 1 million Refrigerators and Washing Machines and established itself as the fastest -growing home appliances brand in the country. The company continued profitable growth in the domestic projects business and a stable international projects business. These accomplishments were made possible through strategic planning, extensive market research, a capable sales force and expanded product range with enhanced attributes and increased participation across channels.

For the year ended 31 March 2025, the company reported a 24% increase in consolidated total income, reaching INR15,737 crores, up from INR12,734 crores in the same period last year. Profit before tax surged by 145%, amounting to INR1,191 crores compared to INR481 crores previously. Net profit also experienced a significant rise standing at INR834 crores, up from INR248 crores in the corresponding period last year. This marks the highest ever profit in the company's history. Earnings per share for the year ended 31st March 2025 was INR25.43 compared to INR7.62 in the same period last year, as you would have seen in the annual results published.

For the quarter ending 31st March 2025, the Consolidated Total Income grew by 14%, reaching INR4,847 crores compared to INR4,257 crores in the same quarter last year. Profit before tax soared by 97%, amounting to INR343 crores from INR174 crores. Net profit after tax also saw a substantial increase, climbing from INR236 crores from INR111 crores in the corresponding quarter last year. Earnings per share, not annualized, just to clarify, for the quarter ended 31st March was INR7.28 compared to INR3.52 in the same period previous year. The balance sheet also continues to be strong.

Other details, I think is already sort of -- snapshot has already been shared, so I will go into the specifics of each of the businesses just for a better understanding.

Segment A: Unitary Cooling Product business (UCP) :

For the year ended March 2025, demand for the cooling products has remained strong, elevating the growth of the UCP vertical overall. For the year, all products in the air conditioner category experienced good demand, driven by consumers' preference for advanced features and energy - efficient products. The strong demand for the premium products, particularly 5 -star rated units continued, enhancing the overall sales mix for Voltas. Voltas maintains its leadership positions with a year -on-year market share of almost 19% as of March 2025. Overall, primary volume growth for the UCP category for the year was recorded at almost 36%. Market reports indicate that Voltas achieved a growth in line with the industry.

An anticipated, strong summer demand and support from our in -stock demonstrators helped us achieve better performance for all products with the room air conditioner category experiencing good demand. Both window and split air conditioners saw reasonable growth during the quarter.

Voltas Limited
May 08, 2025

Page 4 of 13

The company's ramp -up of its manufacturing capacity is on track with commercial production from the room air conditioner facility in Chennai, Tamil Nadu is progressing as planned. This factory has helped cater to increased demand and balance the supply chain, particularly in the Southern and Western markets of India. Our overall growth was owing to a combination of 24/7 operations at our factory in Panthnagar and a steady ramp -up of our newly established Chennai

factory.

With our proposed growth plans and vision of leading industry growth in the air conditioner market, we are planning to further scale up our capacity, especially at our fully backward integrated room air conditioner factory in Chennai.

The Commercial Refrigeration (CR) segment encountered challenges during the year linked to inventory liquidation and lower customer capital expenditure

affected margins during the year.

With a slowdown during the year, production ramp-up in our new factory was not as planned, and this further added to the costs. Despite this, growth has been seen across all product categories. However, with orders in pipeline for our CR products and our commitment to provide our consumers with enhanced product experience from our new factory, we envisage favorable outcome of our factory ramp-up and overall growth from this category in the next few months. The air cooler segment experienced significant growth of over 70%, this year. Certain strategic initiatives taken during the year facilitated the successful distribution of both air coolers and water heaters. For year-to-date March, Voltas has achieved an 8.5% market share in the air cooler category, establishing itself as one of the top 3 brands. Additionally, in the water heater segment, collaboration with distributors and sub-dealers have contributed to robust performance, which has been positively received.

The commercial air conditioning vertical recorded steady performance during the year, driven by higher sales of chillers, VRF, commercial ACs, ducted and packaged ACs. The higher volume of margin-accretive product sales, value engineering initiatives, improved labor productivity, and the current mix of AMC jobs positively affected our bottom line. With the positive conversion of product sales to AMC jobs and the high order pipeline to retrofit jobs, the vertical is expected to achieve consistent growth.

Overall, for UCP, increase in commodity prices and the volatility of foreign exchange continue to remain a challenge. Our planned consistent investments in advertising continued to deliver anticipated results. Consumer-centric financing schemes significantly contributed to sales growth this season. Simultaneously, various value engineering initiatives and cost control measures have contributed to stable margins.

In conclusion, UCP segment grew by 30%, reaching INR10,614 crores, up from INR8,160 crores in the same period last year. Segment also reported an increase in 29% in results in line with revenue growth amounting to INR892 crores compared to INR693 crores in the corresponding period last year. For the quarter ending March 2025, segment revenue grew by 17%, totaling INR3,458 crores, compared to INR2,955 crores in the same quarter last year. Segment result for the quarter was INR345 crores against INR270 crores for the same quarter last year.

Voltas Limited
May 08, 2025

Page 5 of 13

Segment B, Electrical -Mechanical Projects and Services :

For the year ended March 2025, segment revenue increased by 13%, reaching INR4,157 crores compared to INR3,683 crores in the same period last year. The segment results was a positive INR169 crores, a significant turnaround from a loss of INR328 crores last year. For the quarter, segment revenue was INR1,138 crores compared to INR1,098 crores in the same quarter. Losses have reduced from INR1,08 crores to INR 2 crores mainly due to improved order booking, better project execution and working capital management.

During the current quarter and the year, project execution across verticals and geographies was sturdy. Focus on completion certificates and various management initiatives continues to boost bottom line growth. However, in domestic business, we face challenges in collections in certain projects. We are relatively optimistic of recovery in the subsequent quarters.

In the international business, performance is driven by projects in UAE and Saudi Arabia.

For the Projects business, we continue to focus on efficient execution of existing ongoing projects, including the collection of due receivables within the contractual time lines to minimize the company's exposure. As of 31st March '25, the total carry forward order book for the segment is in excess of INR6,500 crores.

Segment C : Engine

ering Products and Services :

The segment faced certain headwinds in its performance, owing to macroeconomic factors and, likewise, the challenges faced by industry. Revenue reported for current year was INR569 crores as against INR588 crores in the previous year, and the segment results were INR155 crores versus INR206 crores for the same period last year. For the quarter, the segment revenue was INR132 crores compared to INR156 crores last year, and the results were INR34 crores versus INR48 crores last year.

The Mining and Construction Equipment vertical showed positive momentum on the top line, ensuring continuity in operations and maintenance jobs as well as sales of parts in machines. However, the revenue mix and challenges in job renewals at sustained margins limited the ability to translate top line growth into bottom line growth. Going forward, the expected increase in coal production in both Mozambique and India is expected to enhance business opportunities with existing contracts.

In the Textile Machinery Division, geo-politics in Europe and China, political unrest in Bangladesh, and supply chain disruptions in textiles business caused major challenges globally for the industry. Significant yarn prices also impacted the business. These dynamics led to a lower capital expenditure across the sector during the year, resulting in underperformance and a revenue decline for the vertical. Demand and margins for our agency business remained under pressure throughout the year. However, after-sales and post-spinning business showed positive performance. With a focus on growing our presence and reach in the spinning machinery, post-spinning and after-sales division, and enhancing our service delivery, we are putting efforts into navigating the headwinds in the business.

Voltas Limited
May 08, 2025

Page 6 of 13

Voltas Beko :

Voltbek Home Appliances Private Limited (Voltas Beko), our home appliances brand, continued to excel with consistent month-on-month growth. During the financial year ended March 2025, the industry reported only single-digit growth in washing machines and negligible growth in refrigerators. However, Voltas Beko's performed remarkably well with a volume growth of 57%. This growth was further complemented by a significant increase in market share during the quarter. As of year-to-date February 2025, our market share improved to 8.7% for washing machines and 5.3% for refrigerators. We are delighted to share that our performance in semi-automatic washing machines exceeded the expectations, making us the second largest player in the product category with a year-to-date market share of 15.3%.

Leveraging our manufacturing progress, we aim to localize all refrigerator manufacturing in India and become a fully made in India brand. By elevating technology across all product categories, we plan to drive future growth. Our extensive and attractive range of appliances will help us increase our market share further.

In terms of profitability, increased volume and various value engineering measures helped us improve our margins and minimize losses. While our business continued to grow across categories, category growth per se limited the overall profitability of the business. Voltbek continues to work on bringing in efficiencies for the leverage profitability.

Outlook

To summarize, how does the season. With the ongoing season, we remain optimistic for all our product categories, and we hope that the demand will remain strong, and positive consumer sentiments will support volume despite strong comparable quarter. The various strategic initiatives and new product launches planned for the season across categories, our distribution reach will help us further improve our performance in the market and support us in strengthening market share in a more sustainable and profitable manner. Optimization of our manufacturing facilities

and cost efficiencies will remain a key driver of profitability during the period.

For Projects business, we will continue to remain diligent and cautious for tendering the jobs.

Overall, we continue to monitor the market cautiously and are optimistic in our performance across the businesses we operate in. Thank you.

Moderator: Thank you very much. The first question is from the line of Ankur from HDFC. Please go ahead.

Ankur: My first question was on the UCP margins, which are fairly strong at about 10% for the quarter and also about 80 basis points higher Y-o-Y. So just trying to understand what led to the strong margins given the fact that I believe you said you've not really taken any price hikes on the room AC side, plus given RM cost increases, and I'm assuming even compressor costs would have gone up. So just if you could help us understand what's driving that increase? Are there any one-offs that we should be aware of?

Voltas Limited
May 08, 2025

Page 7 of 13

Pradeep Bakshi: Yes. So let me answer you on this particular one. There are a couple of things which have helped us increase our margins in this category. UCP, as you know, it consists of air conditioners, commercial refrigeration, commercial air conditioning and air coolers. So in each of these verticals, except for the commercial refrigeration segment, we have done better than the previous quarters and the previous year in terms of our profitability for the several reasons.

One, of course, the better product mix has happened. Like in air coolers, there is a better demand for the larger capacity industrial kind of coolers, which is more than 100, 120 liters, etcetera, and which is a slightly better margin fetching products.

Similarly, even in the room AC category also, there is a demand for higher energy-efficient products, which is also helping us improve our profitability. And even on the commercial air conditioning front also the overall revenue and profitability has gone up in quarter 4, and this has all helped us in improving our margins.

Ankur: Okay. Sir, if you could just spell out the RAC margins like you normally do, how much was it this quarter versus last quarter, last year same quarter?

Pradeep Bakshi: Yes. RAC margin, it is in about the same range as what we had achieved in the previous quarters.

Pradeep Bakshi: And if you recollect my previous discussions with you also and the guidance which I had given you, it's been hovering around 9%, 10% all along in the UCP category.

Pradeep Bakshi: Yes. Okay. And just a second question on the Projects business where we've once again seen a loss this quarter. So I think one of the comments in your press releases of some difficulties in domestic projects. So if you could just help us understand what's driving that loss? Is it like provided for completely and hopefully doesn't come back in the coming quarters?

Pradeep Bakshi: So Ankur, Yes, there are some provisioning which we have made in the international projects business, and that is on account of our prudence because some payments have got a bit delayed.

Although the team is putting an effort to collect those monies also, and we are hopeful that in subsequent quarters, those payments will come up. But we have been able to provide them in advance to avoid any difficulties.

Moderator: The next question is from the line of Siddhartha Bera from Nomura.

Siddhartha Bera: Sir, first question on the demand outlook for this year on the RAC side, given that near term we have seen some softness given the seasonal rains, would it be possible to indicate how much are we budgeting in terms of outlook volume growth for the coming year?

And second, on the market share as well, I mean, we did maintain market share on a Y-o-Y basis, but every quarter we have seen some moderation. So do you think market share gains will be a priority now given the outlook? So that will be

the first question.

Pradeep Bakshi: Yes. So one is, of course, as you said rightly, January, February period was good. But as the season moved into the summer season, there have been some unseasonal rains and thunderstorms in some part of the country and which has brought down the sentiment -- consumer sentiments.

Voltas Limited

May 08, 2025

Page 8 of 13

So the initial few days have not been good. Summers are a bit late. But I believe that it is going to be an extended one. So hopefully, we will -- we should be able to make up for whatever we have not been able to encash upon as an opportunity during the initial few days of the summers.

We are quite buoyant that hopefully the summer will be longer and we will be able to encash..

But it will all depend on the summers. And it's very difficult to give you any kind of guidance as to what kind of percentage growth we'll be able to. Of course, we've got plans. We are -- we intend to grow, and that's our ambition also, but it will all depend on the summer season.

However, as you know, these days, actually, the ACs, air coolers and all these products, whatever verticals we are into, around the year there's been movement happening because somewhere -- and we have got larger basket and they keep complementing if per chance one particular category doesn't show up, then the second category makes up for that. So we are quite confident that we'll continue to produce good results, and we'll continue to give you good returns.

On the market share front, I remember that you asked for that also. On the year-on-year basis, you will see that our market share has been hovering around about 19%, and we have been able to maintain our leadership position.

Yes, 1 month or so here and there, probably at times for some reasons, the market share as per the syndicated research may go up and down because it is at the -- they are all indicative ones.

Moderator: The next question is from the line of Aniruddha Joshi from ICICI Securities.

Aniruddha Joshi: Yes. Sir, just on the provisioning in the international projects that you alluded earlier. So if you can share more details on that? I mean, if the team is extremely confident of receiving the money, why are we taking the provision at this stage? And in a way, is the entire provision already done or there might be some extra provision in Q1, Q2 also? And which type of project, which country that we are referring to? And what is the total quantum of that project?

Pradeep Bakshi: See, these are actually the expected credit loss as per the time lines which we provide. While team has been putting in effort and they are likely to collect money. But since the time is -- as per the time lines we are supposed to provide, we have gone ahead and proactively provided for. And there are a couple of projects, we have provided for. And the geography of course is the GCC countries.

Aniruddha Joshi: And sir, what was the quantum in this quarter?

Pradeep Bakshi: About INR40-odd crores approximately.

Moderator: The next question is from the line of Achal Lohade from Nuvama Institutional Equities.

Achal Lohade: Sir, just wanted to understand in terms of the market volume for the year FY 2025. And given what we have seen in the month of April, assuming that we see a normalcy from, let's say, second half May onwards, how do you see the market growth, especially when we are hearing that South is seeing a decline of 25%, 30% Y-o-Y. So if you could give some sense on the volume for FY
Voltas Limited
May 08, 2025

Page 9 of 13

2025 for the industry and the outlook in terms of the growth, especially taking into account the April month?

Pradeep Bakshi : So if you're talking about financial year 2025, you've seen our growth. We've grown by about 36%, in volume, and in revenue about 30% we've grown. We've shown our growth as in UCP segment. And if you're talking about industry, i

ndustry has been hovering about around 13-14 million, approximately.

And I have already informed you and in previous question also I shared about how the future is looking at this. Initial few days have been a bit challenging because summer set in a bit late in most part of the country. However, we are reasonably confident now, that in next few days summers may pick up and probably we will gain from the extended summers.

Achal Lohade: So that expectation of 15%, 20% or 20%, 25% industry growth still remain? Or is there a dent to that, sir?

Pradeep Bakshi: Yes, double-digit growth is definitely going to be there, but it's difficult to say whether it is going to be 15% or 20%. It depends on the season. But yes, overall, the industry is lesser penetrated. We have got everything positively moving in the direction of our growth. I have been informing you all along all our conversations for last several quarters, per capita income, GDP, penetration levels, hot and humid environment of our country, large consumption base and population base, everything is there positively placed for us.

Only thing is summer should support us. But otherwise, overall, by the time the year ends, actually, even if 1 quarter or a few months are lower over the previous quarters, it can -- it is made up in the subsequent quarters generally. And by the end of the year, you see our results for several years, we've been continuously growing, and we are faster growing than the industry growth.

Moderator: The next question is from the line of Aditya Bhartia from Investec. You may proceed.

Aditya Bhartia: This is Aditya from Investec. My first question is on market share, wherein earlier we used to have 23%, 24% kind of market share, which then in a couple of years had fallen to 19-odd percent, and it appears to have settled around that level. Now just wanted to understand how do you see this scenario? Is the aspiration to go back to the kind of market shares that we used to have? Or do you think the industry competitive dynamics are such that we look to kind of protect the market shares at the current level?

Pradeep Bakshi: So while we would aspire to go back to higher market share. However, I think we need to bear in our mind the number of players which are continuously been increasing in the category because as I said, India is poised for a big growth. And every geography is looking at entering into India. If you look at, we have got brands from America, Europe, Korea, China, Japan, from all geographies, people have entered into India.

This has become quite clutter, this particular segment, AC, if you look at. There are more than 60, 65 brands which are fighting for getting this share into the pie. And therefore, it becomes very, very difficult to maintain a very high-level market share. However, what we have been
Voltas Limited
May 08, 2025

Page 10 of 13

assuring you and our endeavour has been to continue to remain a market leader and with a reasonable gap between number 1 and number 2. That is what we will continue to do that.

Moderator: The next question is from the line of Rahul Agarwal from Ikigai Asset.

Rahul Agarwal: Sir, just one question on revenue growth outlook. You obviously talked about RACs. Just wanted to know your opinion about the Commercial AC, Commercial Ref and project business. How

do you see the next year panning out in terms of growth?

Pradeep Bakshi: So this looks very positive, both the segments which you talked about, B2B, Commercial ACs as well as Commercial Refrigeration if we look back 2-3 years back, there was -- most of the industries that put on hold their capex investments. During the COVID, et cetera, the business has gone down and therefore, people were holding back. But now if we look at, it has started opening up. And if you see our Commercial Air Conditioning growth, we have continued to grow both in terms of revenue and profit

stability in this segment. So it is definitely a very positive sign.

In Commercial Refrigeration also, if you look at barring last few quarters in the previous year, fiscal year '25, where we had some challenges in demand and also due to because the QCO was coming up and also there was commodity costs going up, which industry player could not pass on to the consumer. And therefore, there was a bit of a challenge in this category. However, in terms of revenue growth and all, both these segments are quite positively placed.

There is a demand for Cold Chain products and the category is continuously growing. And similarly, a lot of new offices and buildings are coming up, commercial buildings, airports, metros, and this paves a lot of opportunities for us, including our group companies where a lot of new businesses are coming up, Tata Electronics and all, where we have got -- we are beneficiary of large orders booked during the year, which are going to get executed. So hopefully, this is going to be a good year going forward.

Rahul Agarwal: Is this like a 15%, 20% growth category or maybe more?

Pradeep Bakshi: Very difficult to say on the percentage growth. But yes, we will be -- it will be more than double-digit growth, yes.

Moderator: The next question is from the line of Dhaval Somaiya from Axis Mutual Fund.

Dhaval Somaiya: Sir, just one question. Just wanted to understand for our Chennai factory, do we have any kind of state incentives that we'll be receiving?

Pradeep Bakshi: Yes. Actually, there is a state benefit definitely there, which is going to come as we produce.

But it is over a longer period, over the next 15 years, I think 15 years, we are going to get the dividends in -- from this factory. However, we are quite upbeat because this factory has been largely set up, not keeping in mind only the benefits what we want to get.

Ultimate objective was we wanted to be closer to the market. If we when earlier on, we were selling and sending products from North India to South India. One is the transit time. And

Voltas Limited

May 08, 2025

Page 11 of 13

secondly, the transportation cost was sort of eating into the profitability. However, by reaching out closer, we have cut short on the timings to reach out to the consumer faster.

And secondly, we have been able to save some costs, which we are investing into building the brand further. So both ways, I think that was the objective of setting up this factory. Of course, in the present we are going to get benefited from the state government, and we will make use of that in expanding the brand in the volume and the business.

Moderator: The next question is from the line of Natasha Jain from PhillipCapital.

Natasha Jain: Sir, my long-term questions, you've pretty much answered. My question is more near term. So there has definitely been strong primary filling in the channel in anticipation of a stock out and supply chain issues. But then especially when I see the secondary sales, the movement has been very slow. And I mean, the only legit data that we get is the GSK numbers and basis that there is a decline in terms of Voltas' market share. So how are you seeing your secondary sales at the point?

Pradeep Bakshi: So I think Natasha I have answered that there has been challenges in the secondary movement as well as tertiary movements during the last few days, about last 30-40 days because of summer onset has been delayed. There have been some rains playing the spoilsport. So that has been a little challenging for us. And yes, we get to see that some dip in the market share has also happened. But generally, we are not concerned on month-to-month basis. It is -- actually, we look at on the quarterly basis and the annualize basis as to how our market shares are moving. And also for us, this particular quarter, April, May, June is the largest. For our company, we are quite AC-focused

orientation. And therefore, you'll get to see that we will cover up all that in this quarter. From now onwards, until the second and third quarter, we will make up for all this.

Moderator: The next question is from the line of Bhoomika Nair from DAM Capital.

Bhoomika Nair: Sir, just wanted to get a sense on if you've taken any price hikes and given the muted demand that we are seeing on the late onset of summer, are we seeing any discounting by any of the peer set, etcetera? And secondly, if you can also talk about the Commercial Refrigeration business, you spoke about margins being lower. What was the margin impact both for 4Q and for FY '25?

And also, if you can talk about the revenue growth for Commercial Refrigeration, both for the quarter and for the year?

Pradeep Bakshi: So your first question is about the price hike. You see, we are evaluating continuously on as to how the demand has been moving. We are also bearing in mind the commodity price movements and also the forex movement. And accordingly, a judgmental call will be taken as and when we feel it appropriate. Immediately, I'm not looking at any price hike to be honest. But as the situation demands, we will take appropriate action, one.

On account of discounting, right now, the channel as well as the brands are settled with the inventories. So if the summer season is not setting in appropriately and if the summers are delayed and in case some brands resort to the discounting, I cannot say on that. But looks unlikely because at the end of the day, summers will be there, maybe it would be a bit delayed.

Voltas Limited

May 08, 2025

Page 12 of 13

And hopefully, it is going to be longer one. So I don't think it is appropriate to talk about discounting at this moment. And as of now, nobody has resorted to that particular discounting element.

Commercial Refrigeration, I have already talked about, I think, in detail as to profitability and the growth last year has been a little muted one, both on account of the QCO stock liquidation and on account of demand of certain categories. And therefore, while people in the industry were holding on some inventory, they wanted to liquidate that. So I think all in all, that was not a good year for the Commercial Refrigeration segment.

And going forward, if you were talking about revenue for quarter 4 and we have grown by about overall 19%, 20% in the category, Commercial Refrigeration category. And profitability, we have not done well, to be honest, in this Commercial Refrigeration category. But overall, we have done reasonably well.

Bhoomika Nair: So we would have broken even or marginal profitability?

Pradeep Bakshi: Marginal.

Moderator: The next question is from the line of Rahul Gajare from Haitong Securities India Private Limited.

Rahul Gajare: I just have one question, which is in the month of April, company reported that there was a custom duty demand of about INR25 crores. Can you talk about what products or component does this custom duty refer to? Because this can have impact not just for Voltas, but other players and industry at large. So just if you can throw some light, maybe Mr. Sridhar can talk about this, which products are these?

Pradeep Bakshi: So -- okay. Let me answer and if Sridhar needs to add to that, he can also add. The notice -- demand notice was on copper as an element, if you're talking about what particular item was it.

And since we have been buying copper as well as the industry from some of the countries where the duty exemptions are there, FTAs have been signed up. We've been buying from there.

And probably, in our opinion, it's a legitimate buy because the vendors have declared that these goods get manufactured in the respective countries and they have submitted documents also to that effect.

However, it is between them and the government, which is settling. And because we have received the notice in the

middle of the month, and we are just evaluating that notice, and we are also consulting amongst ourselves, and we'll be responding to that suitably.

K.V. Sridhar: So we just got it, I think, a couple of weeks back only. So we're just evaluating it, and we'll be responding accordingly.

Rahul Gajare: So this is copper tubes basically?

Pradeep Bakshi: Yes.

K.V. Sridhar: Yes.

Voltas Limited

May 08, 2025

Page 13 of 13

Moderator: The next question is from the line of Umang Mehta from Kotak Securities.

Umang Mehta: I just had a question on other income during the quarter. So there was a sharp jump in both other income and other operating revenue income. What was it? And did it help UCP margin? If yes, by how much was the benefit because of this particular?

Pradeep Bakshi: This is largely the interest and mark-to-market income on our investments in other income. And this year, it has paid us good dividends. And in other operating income we have accrued PLI linked incentive. So therefore, you see a jump in that. That's the only thing.

Umang Mehta: How much with respect to UCP margin because of this?

Pradeep Bakshi: No, no. While PLI linked incentive is part of divisional results, we don't take investment income

it in the divisional margins. This is unallocated -- we show it as unallocated earnings.

Moderator: Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to Ms. Natasha Jain for closing comments. Thank you, and over to you, ma'am.

Natasha Jain: Yes. I would request the management to give closing comments, if any.

Pradeep Bakshi: So thank you very much. And the company and the brand has done very well for itself during the course of fiscal year 2025. And as we go forward, our endeavor would be to continue to do well, continue to exceed the expectations of our shareholders and continue to perform. And we look forward to support from all of you.

Natasha Jain: Thank you, sir. That concludes the conference. Participants can now disconnect their lines.

Moderator: On behalf of PhillipCapital India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

14th August 2025

BSE Limited National Stock Exchange of India Limited
Department of Corporate Services Listing Department
Phiroze Jeejeebhoy Towers Exchange Plaza
Dalal Street Bandra -Kurla Complex
Mumbai 400 001 Bandra (East), Mumbai 400 051
Scrip Code: 500575 NSE Symbol: VOLTAS

Sub: Transcript of the Q1 FY26 Earnings Conference Call

Dear Sirs,

Further to our letter dated 5

th August, 2025 and 8th August, 2025, we enclose herewith a copy of

the transcript of the Q1 FY26 Earnings Conference Call held on 8th August, 2025.

The same is also being made available on the Company's website at:

https://www.voltas.in/images/Investor/schedule-announcements/download/Transcript_of_Concall_for_Q1FY26.pdf

Thanking You,

Yours faithfully,

For VOLTAS LIMITED

Ratnesh Rukhariyar

Company Secretary & Compliance Officer

Encl: as above

Page 1 of 14

"Voltas Limited

Q1 FY 26 Earnings Conference Call "

August 08, 2025

MANAGEMENT : MR. PRADEEP BAKSHI – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – VOLTAS LIMITED

MR. MUKUNDAN MENON – MANAGING DIRECTOR

DESIGNATE – VOLTAS LIMITED

MR. K.V. SRIDHAR – CHIEF FINANCIAL OFFICER –
VOLTAS LIMITED

MR. NIKHIL R. CHANDARANA – HEAD – CORPORATE
FINANCE – VOLTAS LIMITED

MR. VAIBHAV VORA – HEAD TREASURY – VOLTAS
LIMITED

MODERATOR : MS. BHOOMIKA NAIR – DAM CAPITAL

Voltas Limited

August 08, 2025

Page 2 of 14

Moderator: Ladies and gentlemen, good day and welcome to Voltas Limited Q1 FY '26 Earnings Conference Call hosted by DAM Capital Advisors. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital. Thank you, and over to you, ma'am.

Bhoomika Nair: Yes, thanks. Good evening, everyone and a warm welcome to the Q1 FY '26 Earnings Call of Voltas Limited. We have the management today being represented by Mr. Pradeep Bakshi, Managing Director and CEO; Mr. Mukundan Menon, Managing Director Designate; Mr. K.V.

Sridhar, Chief Financial Officer; Nikhil R. Chandarana, Head, Corporate Finance and Vaibhav Vora, Head Treasury.

At this point, I'll hand over the floor to Mr. Bakshi for his initial remarks, post which we'll open up the floor for Q&A. Thank you, and over to you, sir.

Pradeep Bakshi: Good evening, everybody. As Bhoomika has explained, with me, I have got in the room, Mr. Mukundan Menon, K.V. Sridhar, Vaibhav and Nikhil. And I would now request my colleague,

Mr. K.V. Sridhar, who is the CFO. He will give you the brief synopsis of the results for the quarter 1, '26. Over to K.V. Sridhar.

K.V. Sridhar: Thank you, sir. So good evening all. Glad to connect with you all for the first quarter results for

Voltas. I'll just start with the global performance, a bit category performance, and then go into the details of the specifics of the Voltas category performance. The IMF now expects global growth to reach 3% in 2025, driven by early spending ahead of expected tariff changes, lower overall tariff rates and government spending in some regions. However, persistent trade policy uncertainty, escalating geopolitical tensions and uneven inflation patterns, especially in U.S., continue to weigh in on investor confidence. The consumer durable sector is experiencing headwinds. After peaking in late 2024, growth has turned negative in May 2025. Credit flow to the segment has tightened, and a decline in electricity consumption points to a subdued demand for cooling products such as air conditioners. While the RBI's recent rate cut indicates a pro-growth policy stance, discretionary consumption remains fragile.

During the quarter, weather-related volatility had a significant bearing on temperature-sensitive categories, most notably the air conditioning category. The summer of 2025 arrived late, stayed mild, and ended abruptly, curtailing peak demand for air conditioners. These factors, coupled with a record base in the prior year, explain the short-term pressure on Voltas' topline and margins. Despite these temporary challenges, Voltas demonstrated resilience by retaining its market leadership in Room Air Conditioners and maintaining stable performance across its core business segments. In addition, while Washing Machine and Refrigerator categories also faced headwinds, Voltas Beko continued its aggressive growth trajectory, achieving year-on-year growth of 33% along with market share gains.

Voltas Limited

August 08, 2025

Page 3 of 14

For the quarter ended 30 June 2025, the Company reported a Consolidated Total Income of ₹ 4,020.65 crores, against ₹ 5,001.27 crores in the same period last year. Profit Before Tax stood at ₹ 202.72 crores compared to ₹ 451.52 crores previously. Net Profit (after tax) was ₹ 140.61 crores, compared to ₹ 335 crores in the corresponding period last year. Earnings Per Share (face value per share of ₹ 1) for the quarter ended 30 June 2025, was ₹ 4.25, compared to ₹ 10.10 in the same period the previous year.

I think it's already

been shared earlier. Now if you go to the specific performance segment-wise, Segment A – Unitary Cooling Products (UCP)

The Unitary Cooling Products segment experienced one of the most abrupt seasonal reversals in recent years. Q1 FY2025 had delivered an exceptional summer, with soaring temperatures and heatwaves driving air conditioner (AC) sales to record highs. Voltas had then registered 65% growth in AC volumes, gaining further market leadership. This strong base created a high reference point entering FY2026.

Unfortunately, Q1 FY2026 presented the opposite scenario. Summer arrived late, was markedly cooler across large parts of the country, and gave way early to monsoon conditions. As a result, the peak Air Conditioner, Commercial Refrigerator and Air Cooler selling season was shortened by several weeks, leading to a substantial drop in primary offtake.

Voltas had entered the season with robust channel stocking, anticipating a continuation of demand trends from the prior year. However, as temperatures remained subdued, consumer footfalls in stores declined noticeably. Retail sales in key metros and Tier 2 /3 cities fell below expectations, and inventory across trade channels remained elevated. Voltas undertook tactical interventions to support secondary offtake. Consequently, factory operations had to be scaled back mid-season to avoid overproduction. This under-absorption of fixed costs, combined with higher warehousing and holding expenses, put short-term pressure on profitability.

Despite these challenges, Voltas maintained its No. 1 YTD June 2025 market position in room air conditioners at 17.80%, reflecting enduring brand trust and strong channel relationships. It is

important to reiterate that the fundamentals of the Room AC business remain intact. From FY2022 to FY2026, the segment has maintained a robust volume CAGR of over 20% for Quarter 1.

The Company has initiated realignment of inventory and production to reflect actual demand conditions. The festive season and the possibility of a second summer in certain regions may further aid recovery. The Company has started preparations for upcoming revision to the energy star labeling regime later this fiscal. While recovery for the segment may take a few quarters, the company remains cautiously optimistic that its strategic investments and ongoing initiatives

will support long -term growth and reinforce its leadership in the cooling products segment. The CAC (Commercial Air Conditioning) segment also remained steady, with continued demand for VRF systems, Cassette ACs, and Ducted products. While Retrofit and Customer care margins were softer, they are expected to normalize as execution cycles stabilise.

Voltas Limited

August 08, 2025

Page 4 of 14

To summarize, for the quarter ended June 2026, the UCP segment registered a revenue of ₹ 2,867.86 crores, as compared to a significantly higher performing previous quarter of ₹ 3,802.17 crores in Q1FY25. The Segment reported an EBIT of ₹ 104.37 crores in Q 1FY26 as compared to ₹ 327.02 crores in Q1FY25.

Segment B - Electromechanical Projects.

Project execution under the EMPS segment was largely stable during the quarter. Voltas continued to deliver steady performance across geographies, supported by strong internal controls, timely certifications, and prudent receivables management. International projects in the UAE and Saudi Arabia remained a key part of the portfolio and contributed to both revenue and margin.

For the quarter ended June 2025, segment revenue was ₹ 921.83 crores, compared to ₹ 949.13 crores in the same period last year. The segment result was ₹ 49.24 crores, as compared to ₹ 67.49 crores last year. The total carried -forward order book as of 30 June 2025 stood at over ₹ 6,200 crores, ensuring visibility for future quarters. Cost discipline, project governance, and on- ground execution efficiency remain core to the Company's strateg

y in this segment .

Segment C – Engineering Products and Services

The segment faced some challenges during the quarter, influenced by broader macroeconomic trends and industry-wide pressures. For the quarter, segment revenue was ₹135.44 crores, compared to ₹160.78 crores in the same quarter last year. The Segment Result for the quarter was ₹40.11 crores, as against ₹44.84 crores in the corresponding quarter last year.

The Engineering Products and Services segment saw softer performance, driven primarily by external pressures. The Mining and Construction Equipment vertical was affected by lower sales of power screen machines, although this led to an improved margin profile due to favorable product mix. Operations and maintenance contracts remained stable and provided baseline support to revenues.

In the Textile Machinery division, capex sentiment remained subdued among customers, especially in international markets. Demand in the agency business remained limited, and spending caution impacted both revenue and margins. Voltas is focused on consolidating its presence in spinning and post -spinning segments while improving service capabilities to position for the next upcycle .

Voltbek:

Voltbek continued its robust growth trajectory in Q1 FY2026, selling close to one million units and achieving 33% year -on-year volume growth. The washing machine category drove the expansion, supported by a refreshed product lineup and an enhanced retail presence. Market share gains were recorded in both semi -automatic and overall washing machine segments, while the refrigerator category also improved its standing —particularly in direct cool models.

Voltas Limited

August 08, 2025

Page 5 of 14

Voltas Beko's growth was backed by agile manufacturing, timely availability of fast -moving products, and a steady pipeline of product innovations and new launches tailored to evolving consumer needs. Improved traction across general trade, modern retail, and e-commerce channels was complemented by enhanced retail visibility, focused marketing campaigns, and operational efficiency -- driving both volume expansion and margin improvement. Voltbek's growing scale, expanding product portfolio, and increasing consumer acceptance continue to strengthen Voltas' overall appliance business while reducing its reliance on seasonal product categories.

Voltas Beko's trajectory strengthens Voltas' overall consumer appliance portfolio, while also diversifying seasonality risk inherent in the cooling products category.

Outlook

To summarize, at an overall outlook, Voltas views the performance dip in Q1 FY2026 as temporary. Inventory normalization, tactical cost control, and a demand rebound during the upcoming festive period are expected to support sequential recovery. The Company retains its market leadership across key cooling categories and remains fundamentally strong. Further,

Voltbek continues to grow and market share gains remain encouraging.

The project business continues to progress steadily.

Across all segments, Voltas is investing for the long term —with sharp focus on innovation, execution excellence, and customer -centricity . Thank you.

Moderator: Sir, should we begin the question and answer session?

Management : Yes.

Moderator: Thank you, sir. Ladies and gentlemen, we will now begin the question and answer session. The first question is from the line of Natasha Jain from Phillip Capital.

Natasha Jain: So my first question is on the RAC side. Can you tell us how July month was for Voltas? What is the current inventory looking like for you at a brand level as well as the channel level? And did you see any pricing pressure or are you continuing to see that? That's my first question ?

Pradeep Bakshi: So we have just concluded the month of July and the numbers are getting consolidated. So I'll not be able to comment on this. And since we are mainly talking about quarter 1, I think bett

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we restrict to quarter 1 numbers at the moment because that's in my control, and I can talk about that. Coming to your question on the inventory, inventor y in the trade, you are talking about or inventory, you're talking about the brand inventory?

Natasha Jain: Sir, both. At Voltas' level and at the channel level?

Pradeep Bakshi: So we have -- having seen a wonderful '24, '25, we had planned for a big sales during this year as well. So entire industry had planned in a big way, and we had augmented our capacities. And therefore, all of us are carrying inventory. So talking specifically about brand Voltas, we are Voltas Limited

August 08, 202 5

Page 6 of 14

carrying an inventory of about 3 months or so at best. And as far as trade partners are concerned, they are carrying inventory on an average about 2 months.

Natasha Jain: And sir, are we continuing to give trade discounts or indirect discounting like free installation, does that still continue?

Pradeep Bakshi: So we have to remain competitive because you know that we are a brand leader. And we don't want to lose out our market leadership. And therefore, to retain our leadership position and support the trade , we are trying to remain competitive in whatever our offerings are, so that we continue to garner market share.

But we are not discounting per se at the moment. And we are hopeful that as we enter into the festival season now, festivities have already begun, Onam has begun and after that, Durga puja, Diwali, Navratras, Diwali, all this is going to continue. And the second summers are also likely to come in.

So hopefully, since the summer season was milder , I'm hoping that the festival season and the second summer should be looking up, and we will be able to make up for these losses. So hopefully, these inventories will get liquidated -- I'm not looking at discounting in a big way, to be honest.

Natasha Jain: Got it, sir. And my second and last question is on the numbers itself. Now if I see South India was a worse -off season than North India and Voltas is more indexed to North India. In fact, you are the leader in terms of North India market, where summer was still good until the first week of May. So relatively, still the numbers have been worse -off than our peers who were more indexed to the South part of India.

And then even on the margin side, I mean, now our capacity is at the same level versus everybody else's. So there also, the decline has been sharper than what we probably expected. So could you tell us, is it just completely reverse leverage or there are any serious one - offs that we may have accounted for in the UCP segment? That's it ?

Pradeep Bakshi: Yes. So if you look at the summers never got set in into North India, unfortunately. As you rightly said, our North India is our big stay and the largest number comes in from there. Of course, we are brand leaders across regions, but in a bigger way in the Northern region, yes. But unfortunately, since the North India did not get to see summer this year, we have not been able to gain big way. However, you will see that our market leadership has remained intact. And if you look at the market share numbers, in the entire quarter, right from April to May to June, we have continued to increase our market share. In April, our market share was 16.9%. May, our market share was 17.9%. And now currently, it is 19.3% market share as of June end.

So you'll see that while we may not have been able to get full summer season, still we have continued to gain more extraction from the market. Whatever may be happening, even if the Voltas Limited

August 08, 202 5

Page 7 of 14

sales are low, we want to extract more and try retain our leadership position in that, and that's what we have been doing.

Natasha Jain: And for the UCP margin, any one -offs there?

Moderator: Ms. Natasha, I'm sorry to interrupt. May I request you to please r

ejoin the queue as there are several participants waiting in the queue? The next question is from the line of Siddhartha Bera from Nomura.

Siddhartha Bera: Sir, first question is, given this weak first quarter, would you have some guidance about the year? How much growth are you expecting given the outlook you have for the remaining months? And second is on the market share, if I look at last year, we had about 19% market share and close to 19.5% in the first quarter.

So have market shares sort of slipped sometime in between and now we have gained it back? And going ahead, do you think you will probably prioritize market share and try and gain more market share from where we are?

Pradeep Bakshi: So firstly, you are talking about having seen the dip in the quarter 1, how am I looking at the balance of the year, right? That's one question. Question number one.

So let me answer on that. Yes, quarter 1 was significantly low. And as I answered to the previous speaker as well, we are expecting the festival season onwards, right, from October, November onwards. And as we enter into the second summer and then finally, we'll get into the next year summer, we are expecting these will look better because in the past years also whenever summers were milder in the quarter 1, the quarter 3, 4 make up for the loss of that.

I'm expecting and hopeful that quarter 3 onwards, festival season onwards, we will again regain the sales and the business will be as usual and normal. So hopefully, the year -end should be somewhere either flattish or at best between 5% and 10% degrowth sort of number, I'm expecting for the industry. So this is the question one. Then what is the other question? If you can repeat please?

K.V. Sridhar: He asked about the market share of 19.5% to 17.8%, and we have gained now.

Pradeep Bakshi: Yes. Market share, yes, of course, I explained to the previous speaker. Again, we have gained in April, May, June, 16.9% to 17.9% to 19.3%. So we have, of course, definitely, we are -- our continuous endeavor has been to gain more share and to retain our leadership position.

Whether the market share was at 17.8% or 19.3%, you will appreciate that we have retained our leadership position in the category. And also other product categories also if you look at, in each of the categories, our market share has continuously been increasing across the other appliances as well.

Siddhartha Bera: Yes, sir. Sir, coming to that in Voltb ek, we have seen a very strong...

Voltas Limited

August 08, 2025

Page 8 of 14

Moderator: Mr. Siddhartha, I'm sorry to interrupt. May you please rejoin the queue, as there are several participants waiting in the queue. The next question is from the line of Naushad Chaudhary from Aditya Birla Mutual Fund.

Naushad Chaudhary: Two clarifications, sir. Firstly, on inventory. Can you share the absolute number because three, four months making it average and thinking, which month should I take becomes very difficult.

So three, four months of the peak summer or the soft season, very difficult to understand the actual number. So it would be better if you can share the absolute number of inventory at Voltas level.

Pradeep Bakshi: I will -- actually, I am not carrying, to be honest, the full number because as you know, the -- as I said, July numbers are still getting consolidated. So after those numbers are getting consolidated after that only, I'll get to know the 3- year number. Probably you can come back to my team, Vaibhav, and we will try to answer you later on, on that.

Naushad Chaudhary: Should it be around 1 million, if I...

Pradeep Bakshi: It's not that. It's much lesser than that. But let me get the exact numbers.

Naushad Chaudhary: Last, on the project business side, last quarter, we had indicated we are seeing some green shoot of recovery. But if I look at the order book, it is consistently sliding. How should we look at this

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usiness? And what should we expect from the project business going forward?

Pradeep Bakshi: We have got a reasonably good order book in our hands, both international, we've got around INR1,600-odd crores and in the domestic project business INR4,500-odd crores. And the order books is at a quite reasonable levels.

In the project business, we are trading a bit carefully. Wherever meaningful projects are coming our way, which are having assured margins and the funding is properly available, there only we are participating. So we don't want to unnecessarily burn our fingers.

As you know that in the past few years, we had some issue in our international operations in the projects. So after that, we have taken a cautious call that we will book orders wherever it is

meaningful. But however, we've got reasonable good order book in hand. And we've got a lot of inquiries in hand. Our teams are filling up tenders. And hopefully, in quarter 2, 3, 4, we'll have more quality projects in hand, and we'll be able to share good news with you later on.

Naushad Chaudhary: With this size of order book, should we expect any growth in the project business next year or should it be flat?

Pradeep Bakshi: Yes, definitely. Project business has been doing well. Domestic projects, especially even international also, we are faring reasonably okay. So you will get to see better traction from both these project businesses. Unfortunately, while we have seen a bit of a dip in the product business, consumer durable business, only the AC part.

However, if you would have gone through, project businesses, even textile machinery, mining and construction, all of them are on target, and they have performed well.

Voltas Limited

August 08, 2025

Page 9 of 14

Moderator: The next question is from the line of Umang Mehta from Kotak Securities.

Umang Mehta: Sorry, sir, to again harp on the market share. But if we look at June exit, you are still down 200 bps Y-o-Y. So any assessment you've done as to what could be the key reason behind it? Have you changed anything on pricing, channel margins or anything you can kind of share?

Pradeep Bakshi: I think, I answered you on that. The reason for market share year-on-year dip is actually -- there are so many players entering into the fray at the moment. And if you look at, more than 65 players are available. And therefore, to some extent, it is likely to become a bit fragmented. It cannot continue to be 25%, 26% market share anymore.

However, our focus is to retain the leadership position as I've been continuously telling you. And if you look at our June numbers, we are at 19.3% market share, and we are keeping -- we're maintaining a fairly reasonable difference with the number two player, almost 400 basis points.

Umang Mehta: Okay, sir. Sir, the second one was on UCP margin. Now your cost structure is fairly variable in other expenses, logistics, service. So this other expenses in stand-alone is up INR35 crores Y-o-Y. You did allude to higher promotion. Possible to quantify how much was the higher promotion, which you gave this quarter? I mean 3.5% margin was a bit of a surprise, that's the reason behind the question?

Pradeep Bakshi: See, actually, of course, the promotional expenses, including advertising and also the sales costs, we had to spend a bit higher since summers were lower. And to retain our leadership position, we wanted to keep the trade and the consumers intact with our brand. And therefore, we have spent. However, as I said is, it will get made up in the subsequent quarters by gaining more traction from the market.

Moderator: The next question is from the line of Aditya Bhartia from Investec.

Aditya Bhartia: You mentioned that the margin hit that we saw was on account of under-absorption of costs as well as some of the other expenses on marketing side that we discussed. Now given that there is so much inventory in the

channel and even companies are also carrying high inventory, it's very likely that factories will continue working at lower utilization level. And to that extent, it seems that under-absorption of cost will remain a trend in the next couple of quarters as well. Is my understanding correct?

Pradeep Bakshi: Yes, your understanding is correct because the inventory is there, so we have to be a little prudent and the factories cost may also remain unabsorbed to an extent. However, we are carrying out a lot of cost improvement initiatives across our business verticals. We want to save on the cost. So I think hopefully, we'll be able to make it up through cost improvement projects, and we'll be able to demonstrate in upcoming quarters.

Aditya Bhartia: Understood, sir. And are you also fearing intense competition on the pricing side or on -- in terms of extending support to the channel or to customers given that there's high inventory as well as, as you pointed out, so many players in the market?

Voltas Limited

August 08, 2025

Page 10 of 14

Pradeep Bakshi: See, of course, there is a bit of a desperation in -- amongst certain brands. They are trying to discount; however, we have retained our position as of now. And since the sales is not as much high, it remains whatever trends are being made by them, they remain unaffected, and we are not getting affected by those price drops by anybody as of now.

Aditya Bhartia: And just one last bit. On the project side, sir, you mentioned that the project business has been steady. When we look at margins, margins have been slightly on the kind of lower side versus what we have done in the past. So how should we think about the margins in this segment from a slightly longer-term perspective? I know there are no losses, and we've kind of turned around to that extent. But is 5% kind of an EBIT margin looks like a sustainable number or can it be

higher?

Pradeep Bakshi: So 5% is definitely sustainable percentage on the project side. If you look at our past year numbers also, and we said we will -- our guidance also when I've given you, I always said, the projects will hover around 5% or so all through. So 5% is definitely sustainable.

There could be a small blip or time affect here and there. Otherwise, overall, in the project business, we've reasonably done well. And hopefully, you will get to see this year with more than 5% on the project side at least.

Moderator: The next question is from the line of Sucrut Patil from Eyesight Fintrade Private Limited.

Sucrut Patil : Yes. Sir, this is Sucrut Patil. I had a forward -looking question. As Voltas continues to lead in the room air conditioner and tries to expand its footprint in the commercial cooling and home appliances space, how are you thinking about integrating energy analytics smart maintenance platforms or AI -led demand forecasting into your product and service ecosystem in the next 1 to 2 years? And if you are planning to implement this, how do you think this will help Voltas build a differentiated tech -enabled moat in the climate solutions coming ahead?

Pradeep Bakshi: Okay. So many questions again. So let me try and answer. Firstly, when you are saying, are we the brand leader, are we getting the more market share, all this, I have replied earlier also. Yes, we are the brand leader for more than a decade now, right from '12, '13 onwards, we are retaining our -- sustaining our leadership position.

And continuously, we are trying to extract more and more market share. For this quarter also, I've already shared how we have improved our market share on a month-on -month basis between April, May and June period. So that's answer number one. Secondly, when you're talking about the artificial intelligence and IoT- enabled products and services.

Yes, we have already have products which are IoT -enabled and they can work with Alexa and otherwise also if you've got

-- if you want to operate your AC thousands of miles away through the Internet, you can get connected with our ACs.

Coming back to service, I have shared earlier also all on the commercial air conditioners, our -- all our chillers are connected through Internet with our office in the headquarter in my office, where a team of engineers are continuously monitoring all the installations across the country.

Voltas Limited

August 08, 2025

Page 11 of 14

And they have already been able to move from the predictive maintenance to preventive maintenance because they get to see as to how air conditioner, how chillers are behaving in a particular site. And in case that needs any service, it gives a warning to them and they are able to connect with the client and they are able to address that. Similar kind of thing, we will try and implement in our other product categories also as we move ahead.

Moderator: The next question is from the line of Mr. Achal Lohade from Nuvama Institutional Equities.

Achal Lohade: Sir, pardon me if I'm asking a repetitive question. If you could help us understand what is the industry decline for the quarter and for the first half? As in you said year -to-date market share, does that mean Jan to June or it is April to June?

Pradeep Bakshi: Yes. So firstly, let me answer you on your question how the market has degrown, how the industry has degrown in the quarter 1. So firstly, I'm talking about fiscal year quarter only.

Whenever we are addressing, we try to address the fiscal year. So my answer will be limited to the quarter 1 fiscal year, which is April to June period. The industry on a primary sales basis would have degrown by about 35% to 40- odd % approximately, depending on a brand-to -brand level basis. Yes, so this is it.

Achal Lohade: And for us, on a year -on-year, if I look at the market share, what you've mentioned, it was 21.2% in 1Q '25 as in June '25 -- in June '24 quarter. Do I have the number right?

Pradeep Bakshi: Yes, that's correct.

Achal Lohade: And that has declined to 17.8%. Have I got that also right, sir?

Pradeep Bakshi: For the full quarter, if you're asking our market share, yes, it is 17.8%. But the June end number is 19.3%. That's what I shared with you. And as compared to 21 % what last year number June number was saying, as against that, we are at 19.3% currently.

Achal Lohade: Okay. So that 21.3% is basically...

Pradeep Bakshi: Yes, yes. No, not -- it is June end number, sir. Quarter number is 17.8%, as I told you, and June end number is 19.3%.

Achal Lohade: Right. No, against the 17.8%, what was the average number for full quarter last year, sir, 1Q 2025?

Pradeep Bakshi: Last year, it was 19.5% quarter number, sir.

Achal Lohade: 19.5%. Got it, sir. And the second question I had, just in terms of the margins, what is the extent of reduction in the gross margins in the UCP business? Is there any way to know that, sir? Is there any fall in the gross margins, material margins?

Pradeep Bakshi: So I think we are addressing the EBIT, which we have shared with you. In the balance sheet also you would have seen the margins have in the -- so yes, of course, the EBIT level, we have shrunk

quite a bit. And as the reason is roughly around 4%-odd -- 400 basis points, we would have shrunk our profitability at an EBIT level.

And the reasons I have shared with you, it is under - absorption. See, firstly, there was a major dip in the quarter volume numbers, so unless and until you have got scale, the profitability doesn't come that much. So that is one piece. Secondly, having seen the last good year, we had augmented and we have made a lot of investments.

And those capacities at plant s, especially has remained under absorbed. So probably because of under -absorption, the profits have shrunk in this quarter. However, as I told you, as we are

going

forward, we are making certain corrections. One, I have told you that cost improvement projects are being carried out by each of the businesses to see as to where all we can save from.

Secondly, as I told you, we are looking at festival season and quarter 3, 4 as a big number coming up from there, which should -- all these points should make up for this loss, which we have gained in the quarter 1. So hopefully, by the year -end, we will be able to protect and will be slightly better than what we are today.

Moderator: The next question is from the line of Harshita Surana from UBS.

Harshita Surana: So my question was given last year's strong summer season, we now have several new brands entering the cooling products market. And with this current year being relatively subdued and weak, the established players like Voltas could leverage their experience and navigate through it. But any colour on how these new entrants are finding the current environment? And any consolidation that you could see in the market happening currently?

Pradeep Bakshi: See, all the new entrants are facing the headwinds at the moment. When the new players enter, it becomes very difficult for them to compete with the established players. And therefore, they have to face the onslaught of the bigger players who can afford, they come with the deeper pockets to sustain losses.

And therefore, the newer players are not able to establish themselves so much. However, some of the old players, yes, of course, they are resorting to discounts to gain more share in the pie, but it is not a sustainable practice. It is a short-term approach by these players.

Moderator: The next question is from the line of Nirranish Jain from BNP Paribas.

Nirranish Jain: Sir, just wanted to check firstly on the -- you have mentioned that you have already started preparations for the upcoming energy star labeling. So if I'm not wrong, so the industry is expecting around 4% to 5% price hike on the input cost. So when you're saying preparations, so does it mean that you're looking at a cost engineering and would try to absorb this kind of cost or are you looking for some kind of price hike for this? So just wanted some emphasis on what kind of preparations you are referring to there?

Pradeep Bakshi: So you are dot on. See, all of us understand whenever the energy regime changes, there is going to be a cost impact. However, how much cost impact is going to come, it is difficult to assess at the moment because as you rightly answered yourself only that we will try to navigate these

changes through the value engineering also in a way. So probably we'll see as to how much can we reduce on that impact by the next table coming up.

So that actually, I'll be able to answer to you somewhere in November, December. By then, this value engineering project would get over. And also, we will be closer to the actual numbers coming up. So -- but yes, surely -- and whatever little impact has to be passed on, we will pass on also. And whatever through value engineering we can absorb, we will try and do that. Both ways, it will go.

Nirranish Jain: Sure, sir. And sir, secondly, I wanted to check on Voltas Beko profitability. Any guidance there or any thoughts on how we are looking at achieving the profitability like both either at the EBITDA level or at the PAT level right now?

Pradeep Bakshi: I thought you were going to compliment us on the -- what wonderful job Voltbek team has done.

We have been able to gain a lot of market share. Last time when we had met and interacted, I told you that we are planning -- our first endeavor is to take the market share to 10%.

And I'm delighted to share with you in washing machine category, we are 8.6% already. And in refrigerators also, we've reached to 7.2%. We have gained quite a bit during this quarter and last year also, in last 1 year, a

lot of work has been done in this direction and which has yielded good results.

So our first endeavor is to gain market share in this category. And once we've crossed 10%,

automatically, you'll see that profitability also will come up with the higher numbers. So right now, yes, we are not profitable in this category and we are -- what ever we had budgeted -- budgeted losses, which is -- actually I don't count it as loss, I count it as an investment into the brand, so that continues to happen.

And there also, we are carrying out cost engineering, cost value engineering projects in that also, both ways we are. And I believe rather we should continue to work on the value engineering projects and try to reduce cost, so that we are able to offer better products and services to our consumers. That's our endeavor.

Nirransh Jain: But sir, are we seeing an increase in gross margins at Voltas Beko level?

Pradeep Bakshi: Yes, slightly, they have improved over the last 1 year

Nirransh Jain: Got it, sir. Thank you so much and all the best.

Moderator: Thank you. That was the last question for the day. I now hand the conference over to Mr. Bakshi for closing comments.

Pradeep Bakshi: So thank you very much, listeners and the investors. So I would like to share that having seen the performance of quarter 1, which was sort of a temporary blip; currently we are looking at tactical cost controls. We are also looking at as to how can we normalize our inventories by looking at prudently as to how much production is required, which all models, whatever models are in shortages, that only are being produced at the moment in the factories.

Voltas Limited

August 08, 2025

Page 14 of 14

And we are also expecting a demand rebound in the upcoming festival season and the second summers in West and South India. Hopefully, with all this setting up, we will get to see our by quarter 3 and quarter 4, we have substantially improved on what we have projected so far.

The company's focus is to retain its market leadership position across categories, may it be cooling products or washing products. All these products, we want to remain fundamentally strong and retain and sustain our leadership position. Voltbek, I have already cited you that we continue to grow and continue to garner better market share in the category, which is very encouraging for us, and we want to replicate similar kind of thing across our product categories. The project businesses, we are continuously being prudent and trying to progress steadily in them. We are not showing any anxiety of picking up projects, which are not meaningful and not profitable. And across all segments, Voltas is investing, we are investing for the long-term gain, looking at keeping sharp focus on innovation, execution, excellence and customer centricity. That is the focus. And with that approach, we want to return to your -- to shareholders on their investments. That's what we look forward to. Thank you.

Moderator: On behalf of DAM Capital Advisors, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

20th November, 2025

BSE Limited National Stock Exchange of India Limited Department of Corporate Services Listing Department Phiroze Jeejeebhoy Towers Exchange Plaza Dalal Street Bandra-Kurla Complex
Mumbai 400 001 Bandra (East), Mumbai 400 051
Scrip Code: 500575 NSE Symbol: VOLTAS

Sub: Transcript of the Q2 FY26 Earnings Conference Call

Dear Sirs,

Further to our letters dated 11

th November, 2025 and 14th November, 2025, we enclose herewith

a copy of the transcript of the Q2FY26 Earnings Conference call held on 14th November, 2025.

The same is also being made available on the Company's website at:

<https://www.voltas.in/storage/schedule-of-analy-sts-iim/Transcript-Q2-Earnings-Call-14112025.pdf>

Thanking You,

Yours faithfully,

For VOLTAS LIMITED

Ratnesh Rukhariyar Company Secretary & Compliance Officer Encl: as above

Page 1 of 15

"Voltas Limited Q2 FY '26 Earnings Conference Call"

November 14, 2025

MANAGEMENT : MR. MUKUNDAN MENON – MANAGING DIRECTOR,
VOLTAS LIMITED

MR. K.V. SRIDHAR – CHIEF FINANCIAL OFFICER,
VOLTAS LIMITED

MR. NIKHIL R. CHANDARANA – HEAD (CORPORATE
FINANCE), VOLTAS LIMITED

MR. VAIBHV VORA – HEAD (TREASURY), VOLTAS
LIMITED

MODERATOR : MS. NATASHA JAIN – PHILLIPCAPITAL (INDIA)
PRIVATE LIMITED

Voltas Limited

November 14, 2025

Page 2 of 15

Moderator: Ladies and gentlemen, good day, and welcome to Voltas Limited Q2 FY '26 Earning Conference Call.

As a reminder, all participants' lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance

during this conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Natasha. Thank you, and over to you.

Natasha Jain: Thank you. I, Natasha Jain, on behalf of PhillipCapital, welcome all of you to the Second Quarter FY '26 Earnings Conference Call of Voltas India Limited.

From the Management today, we have Mr. Mukundan Menon – Managing Director, Mr. K.V. Sridhar – Chief Financial Officer, Mr. Nikhil R. Chandarana – Head (Corporate Finance), and Mr. Vaibhav Vora – Head (Treasury).

I request the management to give their opening commentary, post which we shall open the floor for Q&A. Thank you, and over to you, sir.

K.V. Sridhar: This is Sridhar here, CFO of Voltas Group.

To start off, I think Voltas is positioned for future growth with strong fundamentals and strategic clarity.

Just to give a view on the overall global outlook:

Global economic growth has remained steady though uneven across regions, with many advanced economies still facing inflationary pressures. India continues to stand out as one of the fastest growing major economies, supported by public investment, strong domestic demand, and a resilient services sector. While global trade remains affected by geopolitical tensions, India's consumer and infrastructure momentum continues to create opportunities across industries. For the cooling and appliances sector, stable energy costs and improved consumer sentiment are expected to drive demand recovery in the coming quarters.

The IMF has maintained its global growth outlook at around 3 percent for 2025, citing gradual stabilization in key economies. Emerging markets continue to anchor this growth, led by India and Southeast Asia. In contrast, developed markets are adjusting to slower consumption and policy tightening. Voltas, through its diversified business presence, continues to manage these dynamics prudently, balancing exposure across markets and maintaining financial discipline.

Voltas Limited, a Tata enterprise and India's leading air conditioning and engineering services company, announced its financial results for the quarter and six months ended 30 September 2025. The quarter reflected a period of transition marked by external challenges such as the

Voltas Limited
November 14, 2025

Page 3 of 15

extended monsoon and GST related demand deferment. However, amidst these short-term headwinds, Voltas continues to demonstrate strategic focus and operational discipline. The Company remains firmly anchored to its long term growth agenda, underpinned by robust investments in manufacturing, steady performance across Projects and Engineering, and the growing strength of its consumer brands. Voltas' diversified portfolio and strong governance foundation continue to reinforce its reputation as one of India's most trusted enterprises.

Financial Performance Overview

For the quarter ended 30 September 2025, Voltas recorded:

- Consolidated Total Income of ₹2,411.93 crores, compared to ₹2,724.58 crores in the same period last year.
- Profit Before Tax of ₹54.12 crores versus ₹205.43 crores in Q1 FY25.
- Net Profit of ₹31.50 crores compared to ₹132.83 crores last year.

For the six months ended 30 September 2025, Voltas recorded:

- Consolidated Total Income of ₹6,432.58 crores, compared to ₹7,725.85 crores in the same period last year.
- Profit Before Tax of ₹256.84 crores versus ₹656.95 crores in the corresponding period last year.
- Net Profit for the period stood at ₹172.11 crores compared

to ₹467.83 crores last year.

While results were impacted by cyclical factors in the cooling segment, the Company's diversified structure, balance sheet prudence, and operational positions it well for a rebound in H2 and sustained long term value creation.

Segment A – Unitary Cooling Products (UCP)

The UCP business experienced an atypical quarter with muted retail offtake caused by the lean season, and delayed consumer purchases during the period mid-August to last week of September owing to the GST rate reduction, leading to a higher channel inventory. Despite these temporary challenges, Voltas sustained its market leadership and continued to reinforce its presence across India's cooling and comfort solutions spectrum.

Residential Air Conditioners remain the core of this segment. The quarter required higher marketing support to sustain retail momentum and to manage channel inventory, which impacted

Voltas Limited
November 14, 2025

the margins. However, market share improved sequentially from 16.0% in Q4FY25 to 17.8% in Q1 and further to 18.5% in Q2 and maintained our market leadership with a widened gap over the next brand.

The reduction of GST from 28% to 18% will see a major traction in the coming quarters as channels start stocking-up for the upcoming season and the impending BEE energy efficiency transition effective January 2026. The Company is fully ready with the new table products for the upcoming transition. This change is expected to drive consumer upgrades in the second half, providing a positive fillip to demand and product mix improvement.

Strategically, Voltas has intensified its focus on refreshing and upgrading its product portfolio with enhanced features for a better consumer experience. Further, it is focusing on distribution network expansion, cost optimization, automation, and process efficiency across its manufacturing network. Production planning has been recalibrated to reflect real time market demand and inventory dynamics. While margins were temporarily impacted by under absorption at the new Chennai and Waghodia facilities, these are strategic investments that will deliver economies of scale and long-term competitiveness as utilization improves.

Complementary categories such as Air Coolers, Water Heaters, and Fans continue to show promise, supported by ongoing product upgrades, channel expansion, and digital reach.

Together, these initiatives strengthen Voltas' position as the preferred choice in cooling and comfort products.

Within the broader UCP portfolio, Commercial Air Conditioning (CAC) continues to act as a strong growth lever, supported by rising demand from institutional, retail, and light commercial segments. Commercial Refrigeration (CR) is expanding across food service, retail, and healthcare applications, further diversifying the portfolio and providing steady year-round business.

Together, these developments reinforce Voltas' strategy of evolving from a seasonal cooling brand into a year-round consumer durables enterprise with a comprehensive product portfolio combining scale, innovation, and operational excellence.

Voltbek Home Appliances

Voltbek continues to be one of India's fastest growing appliance brands, demonstrating sustained momentum across key product categories. The business delivered growth across H1 gaining market share, driven by consumer preference for high quality, energy efficient, and locally manufactured products. This performance was accompanied by a gain in market share across key categories, underscoring Voltbek's growing competitiveness and brand acceptance. Performance was broad based across Washing Machines, Refrigerators, and Small Domestic Appliances.

Voltas Limited

November 14, 2025

Voltbek's advanced manufacturing footprint, coupled with an expanding product roadmap and deep retail network, has enabled it to combine scale with innovation agility. The brand's market

ing investments and growing digital presence have further enhanced consumer engagement and visibility. Voltbek remains an integral part of Voltas' long term strategy for diversification, premiumisation, and transition to a full-scale home appliances company, enabling Voltas to provide end-to-end cooling and home solutions to Indian consumers.

Segment B – Electro Mechanical Projects and Services (EMPS)

Segment B continues to be a strategic stabilizer for Voltas, mitigating the effects of seasonality in the cooling business. The domestic Infra Solutions business its advanced project execution across MEP, water, electrical and solar verticals, underscoring its engineering leadership. The business focused on timely completion of multiple projects, enhancing cash flows and optimizing execution timelines to drive efficiency and profitability.

The International Operations Business Group (IOBG) continued its disciplined approach to project management, achieving progressive execution and delivering high quality projects. With a robust consolidated order book exceeding ₹6,200 crores and a healthy bid pipeline, the segment is well positioned to drive steady, counter cyclical growth and deliver consistent performance over the medium term.

Segment C – Engineering Products and Services

The Engineering Products and Services segment maintained operational resilience despite macroeconomic uncertainty. The Mining and Construction Equipment division saw stable performance across African and Indian markets, supported by sustained aftersales growth and innovation in hybrid machinery. The Textile Machinery Division (TMD) delivered on revenue and collection targets, with after-sales service emerging as a strong contributor to profitability. We are also focusing on adjacencies in Post-Spinning order to drive the newer growth

opportunities.

With continued localization initiatives, and policy support from GST rationalization, the segment is strategically positioned to capitalize on industrial demand recovery and strengthen its technology led product portfolio.

Balance Sheet and Working Capital

Voltas managed its working capital judiciously in a quarter marked by delayed secondary movement. With retail momentum expected to pick up during the upcoming quarter and production normalization across facilities, inventory levels and cash cycles are anticipated to revert to healthier levels in H2 FY26.

Voltas Limited

November 14, 2025

Page 6 of 15

Outlook and Strategic Direction

Voltas enters the second half of FY26 with renewed optimism and strong strategic alignment. The GST reduction and the BEE efficiency transition are expected to unlock pent-up consumer demand. The Company's integrated strategy combining product innovation, manufacturing excellence, channel revitalisation, and operational efficiency positions it to capitalise on emerging opportunities across markets. Thank you.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Balasubramanian from Arihant Capital Markets Limited. Please go ahead.

Balasubramanian: Sir, elevated inventory is a sector-wide issue, and what is our current inventory levels on the channel side? And what specific support you are providing to channel partners to prevent distress selling and maintain brand equities? Specific support in terms of extended credit, higher margins. Could you share some light on that?

Mukundan Menon: So, as all of you know, this has been a very difficult H1 in the cooling products category. This has come on the back of a very strong summer last year. Everybody had planned a larger inventory for the brand as well as the channel partners. So, the season, when it did not go well, obviously, there was a little higher stock.

The way we see it is currently, between us and the channel partners, there is roughly two months of inventory. And the season is going to pick up now. So, I think t

hings will start easing out over a period of time now.

And in terms of support, we strongly believe that our channel partners are very critical to our success. And we have done everything possible to ensure this by giving better sellout schemes, subsidized installation, better consumer finance schemes to help them sell out so that in no way they get stuck with the stock. So, everything that is possible from our side, we have been supporting our channel partners to make this happen.

Moderator: The next question comes from the line of Mr. Achal from Nuvama Institutional Equities. Please go ahead.

Achal Lohade: Sir, first question is with respect to market share. You mentioned about 18.6% in 2Q FY '26. Could you help us with 2Q FY '25 market share on the similar line, sir, please?

Mukundan Menon: So, if you see that the sequential market share numbers have been moving up very strongly. In Quarter 4 of the last financial year, 16%. In Quarter 1 of this year, we hit 17.8%. And in Quarter 2, it further improved to 18.5%. So, I think quarter, yes, it's gone up from 16% to 18.5%. That is a delta of roughly 2.5% has happened over these two quarters, between these three quarters.

Voltas Limited

November 14, 2025

Page 7 of 15

Another important thing to note is that we are the market leader, and the number one brand.

The lead between us and the number two brand has also widened significantly. The gap is now closer to 3%, 2.9% to be precise. And that is a very strong indicator of the direction this is taking.

Moderator: The next question comes from the line of Siddhartha from Nomura Holdings. Please go ahead.

Siddhartha Bera: Sir, first question on the quarter near term, how have you seen in terms of the pickup? Have you sort of started seeing some growth coming back, given that we are sort of close to halfway through the quarter now? And some of these schemes which you have talked about in Quarter 2, are they still sort of in some way there, or have they been fully withdrawn? Second is, sir, on the commercial refrigeration and CAC segment, if you can just highlight how that performance has been also in the quarter?

Mukundan Menon: Siddhartha, essentially, the GST announcement which happened on 22nd of September. So, we had a play of a month and a half now, I would say. So, we are seeing there is certainly a secondary sale improvement, uptick in the sales of air conditioners, where the GST rate is reduced from 28% to 18%.

However, we must remember that this is a category which is highly like a summer-driven product. And the amount of sales, even though the seasonality of this category has evened out

over the last many years, it still remains a seasonal product.

So, I strongly believe that the real spurt in demand will happen during the season. That means from the Quarter 4, you will see some seriously big number happening because of the GST reduction.

Both the brands as well as the channel partners are eagerly looking forward to the coming summer season. Of course, keeping our fingers crossed that the summer season is not interrupted with pre-monsoon rains like it was last year. But from a GST reduction perspective, it is a very positive trend.

On the second thing, on your other two businesses, our Commercial Air Conditioning business is doing very well. We are adding our channel partners very aggressively across the country. We are also adding new product portfolios, including centrifugal chillers and VRF systems into our product portfolio. So, this is probably going to be the next growth engine for Voltas.

Moderator: The next question comes from the line of Naushad Choudhary from Aditya Birla. Please go ahead.

Naushad Choudhary: Two, three clarification. Firstly, on the project business order book, which is Rs. 6,200 crore, within this, how much is from the international market?

Voltas Limited

November 14, 2025

Page 8 of 15

Mukundan Menon: So, essentially,

ally, the Rs. 6,200 crores is divided as domestic projects is Rs. 4,800 crores, and around Rs. 1,400 crores is from the international business group, actually.

Naushad Choudhary: Can we be more specific in terms of what exactly is now started to drive this order book? Which specific area is helping us here?

Mukundan Menon: Yes. We will talk about the domestic project book, which is the larger order book, Rs. 4,800 crores. So, it is sort of evenly divided between the three verticals which we have within the domestic projects group, which is essentially, we have sort of diversified this portfolio. Earlier, it was largely MEP business. Now in addition to MEP, (Mechanical, Electrical, and Plumbing Business), we got an Electrical and Solar Business. And the third one is Water Business. So, the order book is almost evenly distributed between these three. Some quarters, it goes up a little by 5% here and there, but a very diversified portfolio of project business now. While the MEP primarily comes from the private sector the other two is driven largely by the government infrastructure spending.

Moderator: Mr. Naushad, please return to the question queue for follow-up questions as there are several participants waiting for their turn. The next question comes from the line of Renu from IIFL Capital. Please go ahead.

Renu: Just wanting to understand while this quarter, we had the double value impact of inventory under overhead recoveries as well as margin pressures in UCP. How do we look at the margins going forward? And for the RAC and UCP portfolio, do you think we could end up the year with flattish numbers? Or given the first-half decline, there could be a double-digit drop in revenues for Fiscal 2026 as we are heading into the second half?

Mukundan Menon: Renu, the second half is actually promising. There are a couple of positive signals here. One is as people start buying air conditioners for the summer season, further sort of aided with the reduction in prices because of the GST reduction, the channel will start stocking up for the season. That is point number one.

Point number two, there is a table change which is happening from 1st January, , most of the dealers tend to do some stocking up of the old table SKUs because the government, the Bureau of Energy Efficiency, which governs this, allows the channel partners and the trade to sell this for a period of three to six months. They do not sort of have a hard stop.

So, there will be some reasonably good buying in the last month of this quarter. And of course, for the next Quarter i.e Quarter 4 of this year, there will be a good stocking up by the channel to ensure that they do not miss this large opportunity that they see because of this cost reduction, the GST reduction for the AC category.

Voltas Limited

November 14, 2025

Page 9 of 15

So, I think things will only sort of ease up now. It will improve as we progress and will play out over the next five months. So, we really don't have a number against Quarter 3. It is more like a 5-month play going forward.

Renu: Just the second part of the question was, while volume growth may bounce back in second half, we saw under recoveries on fixed overheads in 2Q. That should be broadly addressed. As we go in second half, probably 3Q may continue to see a lingering impact of lower under fixed overhead absorption.

Mukundan Menon: So, generally, as the overall numbers start going up, again, a milestone of Q3 may be difficult to

sort of figure out. But between now and H2, I would say, that is the entire H2, this absorption will certainly ease up. That is our feeling, actually.

Moderator: The next question comes from the line of Umang Mehta from Kotak Securities. Please go ahead.

Umang Mehta: My question was on MEP work for data centers. How big is it currently in your MEP revenues? And how are you looking at the opportunity considering one of the group companies has

announced a large plan over there?

Mukundan Menon: Among these two large opportunities in the MEP segment is data centers and district cooling. These are large capacity, large opportunities for us. And in any requirement like data cooling, district cooling, there are two parts to the thing. There is a chiller which goes into the data centers, which gives the cooling water for the data center. And there is another piece which is to do with the entire MEP work, which is your piping, your ducting, all those things which go into the, we call it the low side of the thing.

So, we have two parts of our business: the Commercial Air Conditioning business, which currently resides in our UCP i.e. Segment A, and we have got the domestic project business, which comes in the Segment B. Now, both of them will have great opportunities because in the first category, centrifugal chillers, we have started manufacturing them and some of the best sort of energy-efficient centrifugal chillers are coming out from our factories. We see this as a very good opportunity over the next few years. Even on the MEP side, we see this as a very positive development.

It is worthwhile to mention here that this entire project business of ours, including the Commercial Air Conditioning play, helps us to diversify our overall product portfolio and not limit it to only the Room Air Conditioner and the Unitary Products group. So, this is a very positive development, Umang.

Umang Mehta: What's the mix today?

Mukundan Menon: The mix between the chiller versus the low side is what you are saying, Umang?

Volta Limited

November 14, 2025

Page 10 of 15

Umang Mehta: Contribution of data centers in your MEP and...

Mukundan Menon: The current mix is very small. Like, it is less than 5% of our MEP play. It is just one or two projects at a time. But the way going forward, these data centers can constitute as high as 30%, actually.

Moderator: The next question comes from the line of Sonali Salgaokar from Jefferies India. Please go ahead.

Sonali Salgaokar: Sir, two parts to one question. What is the demand scenario right now with the near-term triggers? And just if I may ask, is there any quantification of the outlook in terms of margins or revenue, especially in the UCP you are giving for this year?

Mukundan Menon: Yes, Sonali, so the demand thing I mentioned, that certainly there will be an uptick in demand. Whenever we see that the first half of the year, the purchases have not been made, we see that the demand is not destroyed or destructed. We believe that the demand is deferred.

Now, when that is coupled with the fact that there is a lower GST coming in going forward, I think this only will add, it will only benefit demand. So, demand trajectory certainly very, very positive backed with the GST reduction and also probably the pent-up demand of what could have been a sale during the period, during the summer months of April, May, and June.

In terms of quantification on revenue/profitability, a little too early to take a guess on this. It will play out as the demand picks up and we see attraction in that. A little early to give a fix on that, Sonali.

Sonali Salgaokar: In terms of demand, I meant October and probably the prolonged monsoons. So, if you could share how has been the number in October, if that is something you can disclose in here.

Mukundan Menon: On the number front, no. But the point is that it is certainly a positive. There is certainly a positive uptick and there is a growth over a similar period last year. That certainly can be confirmed.

Moderator: The next question comes from the line of Natasha Jain from PhillipCapital. Please go ahead.

Natasha Jain: My question is more from the channel perspective. So, what we understand is there is a huge inventory carrying cost right now borne, especially by the general trade channel. And then given that winters have also onset early and it is expected

to be longer, and that coupled with the GST

sizzling out post-Diwali. So, just want to understand, could there be a possibility that the channel might not actually stock aggressively in 3Q, and would that result in a sticker downgrade and further discount in 4Q? That's it.

Mukundan Menon: Yes, Natasha, so whatever necessary things are being done in terms of helping sell out, we are spending towards that. And I think that is progressing very well, and that is giving us the confidence that there are two things which will happen. They will be ready for more buying, and there is also commitment of theirs to us in terms of our support that we are giving.

Volta Limited

November 14, 2025

Page 11 of 15

So, going forward, as the season picks up, the amount of support or the schemes that we need to give for this will start petering down. And then the natural demand for products will start picking up. So, it is just a three, four-month play before things will sort of settle back into a very steady thing in terms of the margin stuff.

Moderator: The next question comes from the line of Aniruddha Joshi from ICICI Prudential Life Insurance Limited. Please go ahead.

Aniruddha Joshi: I am from ICICI Securities. Just one question. Sir, FY '26 is a weak year now that is done and dusted. So, how do you look at FY '27? Because now exactly reverse situation will pan out in FY '27. We will see material growth. Almost 50-odd percent revenue growth is also technically possible on a very low base of FY '26.

And exactly reverse situation will play out because operating leverage will kick in, the support that you are giving to the trade, excess support to the trade, that will also shrink. So, one, is Voltas also internally looking at 50-odd percent revenue growth in UCP segment and can even the margins touch around 9%-10% plus levels? Just your thoughts on internal views on the same.

Mukundan Menon: Understood, Aniruddha. So, what you said about the thing playing out in a harmonic form like last year, the previous year, then seeing a huge growth and then a sharp dip this time, and the next year again a similar kind of rebound and that. And we are not sure that over the last decade or so, I don't remember something happening like this up and down uniform harmonic moment of the demand. It has been erratic. There have been some times when the year after that, of course, is a growth, but whether it has to be such a large number, we really don't know.

So, this is a pure function of the intensity of the summer. So, there will certainly be an uptick, as you mentioned, Aniruddha, because the base has dropped significantly. I completely agree with you. Whether it will be to the tune of such a large number, I think we should sort of not guess that.

The only other positive driver or trigger towards this much higher growth would be the GST reduction, whether the affordability part will make things much better. But in a very broad sense, a bullish and positive kind of sort of positive indication, I think, will do.

So, I think other than the air conditioner category, you would have noticed, we have diversified our entire product portfolio. There are different parts of our business which are doing exceedingly well. So, we are doing the commercial air conditioning, as I mentioned, being a growth engine. We are also diversifying into new areas in project business.

We are also looking at different areas in post-spinning, in the textile machinery business that we have very less talked about in the investor calls, but these are all areas of huge potential. And over the next few years, all this will start playing out.

Voltas Limited

November 14, 2025

Page 12 of 15

You would have also noticed that we have become a large player in the, we have become the fastest-growing appliances company with our Voltbek appliances range. And we have started hitting some nice numbers in terms of market share, we h

ave become the number two brand in

the semi-automatic washing machines category. We are doing extremely well in the DC refrigerator category.

All this will start playing out because the sales organization is common, and the other costs will start getting sort of absorbed over a larger scale of high-growth products, actually. Again, the air conditioner thing, being the main play in this, will really add to the growth and the cost absorption story.

Aniruddha Joshi: Part B, in case of any massive upsurge in growth, will Voltas be ready in its, I mean to say, in terms of, let's say, manufacturing capabilities, compressors, etc., or in a way distribution also? That's it.

Mukundan Menon: Aniruddha, the good part about it is that what has happened is the supply chain that feeds into the overall product has become closer to India, and within India now. A majority of the product, some three, four years ago, 70% of the products used to be imported. Currently, that product import content has come down to less than 30%.

So, the supply chain length has become significantly lower, which helps us to sort of quick, we have consciously built it that way so that we are able to sort of react quickly in case there is that upsurge which, Aniruddha, you were mentioning. If something like that happens, we should be able to quickly take advantage of it and then meet the market requirements.

Moderator: The next question comes from the line of Akshay from UBS Financial Services. Please go ahead.

Akshay: Akshay this side from UBS. So, my question is regarding medium-term margin guidance. Like earlier, you used to guide between a high single-digit margin guidance. So, do you stick to that? And part to that, how do you see Voltbek reaching to EBITDA break-even?

Mukundan Menon: Akshay, as I mentioned, the direction is very clear that it will improve certainly because the pressures of the stock reduces, the cost initiatives that we have worked on for the new table products start kicking in, and the demand picks up. So, revenue growth, cost reduction initiatives, and the absorption of some of these fixed costs get up. So, directionally, it is very positive. Putting a number on that becomes extremely difficult.

In terms of the Voltbek appliances business, we are seeing a steady march towards a break-even. Like, there are months in certain quarters where we sort of get closer to that or near that. But on a cumulative basis, to break even on an annualized basis, a little difficult for us to put a number on that. But that is again going very much in the right direction. And as we start scaling up, you will see a positive trend on that.

Voltas Limited

November 14, 2025

Page 13 of 15

Our focus currently is heavily driven towards gaining market share, being present and visible across all the 19,000-odd counters which stock up these appliances. The modern trade, regional retailers are the areas which are revenues for growth for the appliances business. We have started making a mark in the online channel both on Amazon and Flipkart.

So, the sales story is strong. The market share story is extremely strong. The margin EBIT break-even is a journey which will play out over the next few quarters of the year.

Moderator: Thank you, Akshay. Please return to the question queue for follow-up questions. The next question comes from the line of Praveen Sahay from PL Capital. Please go ahead.

Praveen Sahay: I have one question related to the project business. If you can give some color on how is the all three vertical, MEP, Electrical, and Solar and Water as a business margin, and also on the sustainability of a very high margin which we had reported for the second quarter?

Mukundan Menon: So, we have been very selective in the choice of our projects in the infra segment. We call it the infra segment. And there are three parts to that, as I mentioned: MEP, Electrical and Solar, and the third one being Water.

So, all of them play out in a very decent sort of a margin range.

And it also depends on when some of these better margin jobs come up for billing. Sometimes across the quarters, it keeps moving. But the very selection of these jobs has ensured that, and the speed at which we are executing most of these jobs is also helping us to maintain a very steady kind of margin profile and not have a very erratic kind of profile on the domestic projects business.

So, a very high amount of confidence in terms of the sustainability of the margins, as well as the sort of not like a yo-yo thing where margins go up and down. This is a very steady margin business. Even in terms of the revenue, this is being very predictable and positive, actually.

Moderator: The next question comes from the line of Manoj Gori from Equirus Capital. Please go ahead.

Manoj Gori: Sir, in your opening comments, you highlighted about two months of inventory, including channel as well as brand. In an ideal scenario, what would be the number of days or months that brand plus channel would be carrying? Should it be around 45-50 days or more or less?

Mukundan Menon: So, we have seen typically in years where the summer has been like this, this is between two to three months has always been the kind of at this time of the season because this is like the summer season yet to pick up. So, a two to three-month inventory in terms of the quantum is not very large. So, this is very much all right now. I think things are easing out, and we will see it is not a worrisome thing at all, actually.

Manoj Gori: So, somewhere we believe the worst is behind us, and inventory levels have largely normalized at the current juncture for Voltas and for the industry to some extent. And based on the

Voltas Limited

November 14, 2025

Page 14 of 15

discussions for the December billings, what is the sense that you are getting from the channel level, especially the organized players? Because they would be the ones who would be predominantly filling up the inventories in December. So, that is my question, sir.

Mukundan Menon: Manoj, what you mentioned is right. So, over the next few months, by December, things will start evening out in terms of inventory. And I also see that, as you rightly mentioned, these big players with a little more capital, they are the ones who will start investing before the summer to ensure that they have the stocks and also some leverage on the cost front.

So, I suppose this year there will be the third trigger, which I had mentioned during one of the earlier questions, which is the energy label change. So, many of these partners would like to stock up on the products of the old table because they are allowed to sell for the next many months without any issue. So, they will start doing some buying of that product portfolio also because where the price increase for the new table is a little significant. We will see selective channel partners taking selective calls on that. So, December is quite likely to be good on the revenue front.

Manoj Gori: So, December can be a growth month for us?

Mukundan Menon: I will just answer that, actually. So, the answer is indeed yes, Manoj.

Moderator: Ladies and gentlemen, in the interest of time, we will take that as the last question for today. I would now like to hand the conference over to Ms. Natasha Jain for closing comments.

Natasha Jain: I would request the management to give their closing remarks, if any.

K.V. Sridhar: Yes. This is Sridhar again, CFO. I think, thanks for all the questions. I hope it sort of clarified some of many of the doubts that you had. In addition to the room air conditioning, which obviously had a lot of sort of in terms of the importance, we just wanted to clarify the diversification piece that the team is working on. The presence of Commercial Air Conditioning (CAC) and Commercial Refrigeration (CR) is broadening Voltas' cooling and comfort offerings.

The expanded portfolio (incl. Refrigerators, Washing Machines, Air Coolers, Water Heaters, Fans and others) not only deepen market penetration but also enhance year-round relevance, reinforcing the Company's evolution into a comprehensive consumer durables enterprise. In terms of margins, the quarter's profitability, I think, was influenced by higher market support, softer inventory pick-up, and temporary under absorption at new facilities. These effects are transitional and expected to normalize as capacity utilization improves and product mix strengthens. Voltas continues to drive cost optimization initiatives, which will facilitate build leveraged financials, especially with the new sort of BEE tables coming in, which will facilitate leveraged financials.

Voltas Limited

November 14, 2025

Page 15 of 15

In terms of market share, I think Voltas intends to strengthen its market further in a strong market leadership position as elaborated; 16% in Q4, 17.8% in Q1, and 18.5% in Q2, in cooling products category. The accelerating growth of Voltbek marks a decisive strategic shift toward a complete, integrated home solutions brand covering cooling, comfort, and appliances, establishing Voltas as one of India's most diversified consumer durables players. We feel that These initiatives collectively reaffirm Voltas' commitment to sustainable growth, value creation, and enduring leadership under the Tata ethos. Thank you very much.

Moderator: Thank you. On behalf of PhillipCapital (India) Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

3rd February, 2026

BSE Limited National Stock Exchange of India Limited
Department of Corporate Services Listing Department
Phiroze Jeejeebhoy Towers Exchange Plaza
Dalal Street Bandra-Kurla Complex
Mumbai 400 001 Bandra (East), Mumbai 400 051
Scrip Code: 500575 NSE Symbol: VOLTAS

Sub: Transcript of the Q3 FY26 Earnings Conference Call

Dear Sirs,

Further to our letters dated 23rd January, 2026 and 29th January, 2026, we enclose herewith a copy of the transcript of the Q3 FY26 Earnings Conference Call held on 29th January, 2026.

The same is also being made available on the Company's website at:
<https://www.voltas.in/investors/disclosure-under-regulation-46-lodr/schedule-of-analysts-or-institutional-investors-meet>

Thanking You,

Yours faithfully,
For VOLTAS LIMITED

Ratnesh Rukhariyar
Company Secretary & Compliance Officer

Encl: as above

Page 1 of 17

"Voltas Limited Q3 FY'26 Earnings Conference Call"

January 29, 2026

MANAGEMENT : MR. MUKUNDAN MENON - MANAGING DIRECTOR,
VOLTAS LIMITED
MR. K. V. SRIDHAR - CHIEF FINANCIAL OFFICER,
VOLTAS LIMITED
MR. NIKHIL R. CHANDARANA - HEAD (CORPORATE
FINANCE), VOLTAS LIMITED
MS. SUMANA TRIPATHY - HEAD (FP&A), VOLTAS
LIMITED
MR. VAIBHV VORA - HEAD (COMMERCIAL), VOLTAS
LIMITED
MODERATORS : MS. NATASHA JAIN - PHILLIPCAPITAL (INDIA)
PRIVATE LIMITED

Voltas Limited
January 29, 2026

Moderator: Ladies and gentlemen, good day and welcome to Voltas Limited Q3 FY'26 Earnings Conference Call hosted by PhillipCapital.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Natasha Jain from PhillipCapital. Thank you and over to you, ma'am.

Natasha Jain: Thank you, Sagar and good evening, everyone. On behalf of PhillipCapital, I welcome all of you to the 3rd Quarter FY'26 Earnings Conference Call of Voltas India Limited.

From the Management today, we have Mr. Mukundan Menon – Managing Director; K. V. Sridhar – Chief Financial Officer; Nikhil R. Chandarana – Head (Corporate Finance); Sumana Tripathy – Head (FP&A) and Vaibhav Vora – Head (Commercial).

I would request the management to give their opening remarks post which we shall open the floor for Q&A. Thank you and over to you, sir.

K.V. Sridhar: Thank you, Natasha. Good evening, all. Glad to connect again for the quarter call. Just to give you a brief:

Voltas strengthens its leadership in Q3, backed by Room Air Conditioners (RAC) recovery and sustained performance from other verticals. Global conditions in 2025 remained unsettled with geopolitical tensions, new tariff actions and periodic supply chain detours creating volatility across input categories such as energy, base metals and select electrical components. At the same time, uneven global growth, currency and commodity fluctuation and persistent policy uncertainty tempered sentiment across several markets even as emerging economies, most notably India, continued to demonstrate relative resilience driven by steady consumption and sustained public investment. This environment shaped a mixed demand backdrop for consumer facing categories and infrastructure linked sectors, forming the macro context in which Voltas consumer and projects business operated during the quarter. Voltas Limited announced its financial results for the quarter and 9-months ending 31st December 2025.

Through this quarter, the Company's performance was anchored by the Room Air Conditioning business, driven by healthier channel activity following the GST rate cut and buying ahead of the BEE star label transition as customers anticipated price hikes on the new table.

Voltas Limited

January 29, 2026

The Project business continued to lend stability through consistent execution and strong order pipeline, reinforcing to continue to length stability through consistent execution and a strong order pipeline reinforcing the strength of Voltas diversified portfolio.

Management remained focused on market leadership in the Cooling Segment, regulatory preparedness and discipline performance across businesses. At an overall level for the quarter, Total income was Rs. 3,130 crores against Rs 3,164 crores last year. Profit before tax was Rs. 116 crores after factoring in the labor code impact versus Rs. 191 crores in Q3 2025. Net profit was at Rs. 84 crores against Rs 131 crores last year.

For the 9-months ending December 2025, the Total Income was Rs. 9,552 crores compared to Rs. 10,890 crores last year same period. Profit before tax was Rs. 373 crores versus Rs. 848 crores in the corresponding period last year. Net profit was Rs. 257 crores compared to Rs. 599 crores last year same period.

In terms of the segment performance a bit in depth, in terms of,

Segment-A – Unitary Cooling Products (UCP)

The Segment delivered a relatively steady performance in both volume and revenue despite inherent seasonality and the impact of a shortened second summer. The Room Air Conditioner (RAC) business continued to an

chor Segment-A, maintaining Voltas' leadership position with

17.9% Year-To-Date market share and benefiting from strong channel activity following the GST reduction and buying ahead of the upcoming BEE star label transition. Growth during the quarter was driven by structured network expansion with micro-level targeting, improved channel readiness and sharper retail and digital activation across priority markets. These changes are expected to drive consumer upgrades in the coming quarter, providing a positive fillip to demand and product mix improvement. Complementary categories such as Air Coolers, Water Heaters and Fans, though facing some headwinds due to inventory overhang, continued to build relevance through refreshed lineups, wider retail reach and sharper digital activation, reinforcing Voltas' comfort solution positioning and broadening the non-seasonal share of cooling products. Together, these initiatives support brand preference and strengthen category resilience into the upcoming season.

Within Segment-A, Commercial Air Conditioners (CAC) continued to act as a growth contributor, supported by corporate, commercial and industrial demand with healthy traction across product categories and AMC business. Commercial Refrigeration (CR) delivered a softer quarter amid slower product offtake and competitive intensity. The focus remained on sharpening the offer in priority segments and stabilizing the mix to support sequential improvement. Together, CAC and CR reinforced diversification within UCP and helped balance seasonal volatility in room cooling.

Voltas Limited

January 29, 2026

Page 4 of 17

Segment-A margins in Q3 reflected the seasonal profile of the quarter and the competitive environment with profitability shaped by higher channel and customer support. In the coming quarter, management remains focused on mix improvement, cost optimization and structured network expansion to support sequential recovery. The Company is fully ready and realigned for the new BEE efficiency table with refreshed lineups and calibrated pricing architecture in place and is geared to meet seasonal demand with aligned production plans across Panthnagar and the new Chennai factory. Production capacity utilization, operational efficiency improvements and supply chain actions have been tuned to support faster ramp up into the season and improve availability of priority SKUs.

Voltbek Home Appliances

Voltbek delivered a solid Q3, sustaining broad-based momentum across Washing Machines and Refrigerators, led by dominant Semi-Automatic Washing Machine Segment and a clear step-up in Fully Automatic Top load alongside a stronger showing in the Frost-Free segment in an expanded energy-efficient locally manufactured lineup. In Refrigerators, Voltbek's overall market share stands at 6.2% year-to-date and in Washing Machines at 8.2% year-to-date, reflecting improved portfolio relevance and tighter in-store execution.

Voltbek will sustain momentum through a focused brand-led premiumization strategy combining high-impact consumer engagement and an expanded energy-efficient portfolio across categories to deepen preference and conversion across priority channels while steadily broadening the franchise towards a full-scale home appliance platform that complements Voltas' end-to-end home solutions. In parallel, ongoing pricing and cost optimization initiatives across the portfolio are intended to support margin resilience as scale builds through the season. Together, these developments reinforce Voltas' progression from a predominantly seasonal cooling business to a year-round, full-stacked consumer durable enterprise supported by a broader innovation-led portfolio and disciplined operational execution.

Segment B – Electro Mechanical Projects and Services (EMPS)

The Domestic Projects business continues to book and execute orders across all verticals, underscoring engineering depth and multi-vertical presence

. Prudent selection of projects

backed by on-time handovers, tighter project governance, and cash conversion facilitated the margin expansion. The international environment remains competitive for fresh wins, but delivery momentum supported by a mix of ongoing projects and disciplined project engagement. During the CY'25 year-to-date, Voltas secured new orders and lifted the order pack, and the International Project business reported sequential exposure reduction, reflecting tighter commercial controls and collection.

Voltas Limited

January 29, 2026

Page 5 of 17

With a robust, consolidated order book of around Rs. 6,100 crores and a healthy order pipeline, the segment is well-positioned to drive steady growth and deliver consistent performance over the medium term.

Segment C – Engineering Products and Services

The Mining and Construction Equipment Division delivered steady topline growth, supported by continuity in operations and maintenance contracts, and sustained demand for powerscreen crushing and screening machinery. Going ahead, the Mining and Construction Equipment Service annuities and a healthy inquiry funnel provide performance feasibility.

The Textile Machinery Division (TMD) business was adversely impacted by macro backdrop, notably the 50% U.S. tariff imposition on certain textile products, which weighed on MSMEs and led to production cuts and softer domestic demand for yarns and fabrics. Execution of pending orders, strong after-sales, run rate, and post-spinning momentum helped cushion the effect. Looking ahead, TMD remains focused on after-sales, post-spinning mix, and disciplined delivery while looking forward for a recovery in the core spinning category.

Balance Sheet and Working Capital

Working capital was tightly managed in Q3, with improved inventory and receivables ahead of

upcoming season, supported by availability of priority SKUs and steady project buildings and collections. Commercial controls, selective order intake, and exposure reduction further supported a stable position despite uneven demand pockets and a competitive environment. Overall, the company exited the quarter with a balanced working capital profile. As Voltas enters Q4, focused on execution and seasonal readiness, the Company is fully aligned to the new BEE efficiency table with a refreshed RAC lineup and calibrated pricing, and is geared to meet peak season demand with aligned production plans across factories, including the new capacity ramp-up at Pantnagar and at Chennai. The priority is to boost all demand sources, core retail, organized trade, and institutional, while optimizing resources across manufacturing, supply chain, and channel. The Project business will continue to selectively book and execute across all verticals in which we are present, supported by a healthy bid pipeline and stronger project governance. Overall, the strategy remains simple and focused. Be regulatory ready, scale efficient into the season using the expanded manufacturing footprint and convert demand with sharper in-market activation and disciplined delivery across businesses.

In terms of margin, we are committed to further optimize costs through value engineering, better inventory planning, while being cautious about the impact of commodity and currency fluctuations.

Thank you.

Voltas Limited

January 29, 2026

Page 6 of 17

Moderator: Thank you very much. We will now begin with the question-and-answer session. Our first question comes from the line of Aditya Bhartia from Investec. Please go ahead.

Aditya Bhartia: Hi, good evening, sir. So, my question is on, you kind of referred about raw material inflation and rupee depreciation impact. So, my question is, what kind of price increases do you think are warranted? And given that we are coming from a fairly weak season, do you think that the industry would be in a position to pass on these price hikes or part of that may need to be absorbed by

the Company? And you also mentioned about cost optimization. So, what are the measures that you can undertake to kind of partly offset this impact? Thank you.

K.V. Sridhar: Thanks. Thanks for the question. I think it's a valid one given the environment that we are in.

So, you see, this quarter will be a slightly mixed one in terms of navigating the old table sales and also the new table sales. So, we would sort of be having a very balanced approach in terms of trying to navigate the pricing. Will the commodity and the currency fluctuation have an impact on the pricing? Definitely, yes. There will be an impact of the pricing. But how much and when to sort of pass on is something it's a very dynamic decision that we will have to sort of look at it fairly almost on a daily basis. And I think the pricing decisions will have to be fairly dynamic. So, to put a number would be difficult. But is there an impact on the pricing? There is an impact on the pricing. We are looking at it ongoing basis and we will take a call accordingly. The new table also, I think, will take some time for the pricing to stabilize on that front. And that, I think, will also take a few months, given that this quarter is likely to be a mix between old table and the new table sales.

Aditya Bhartia: Understood, sir. Thank you so much.

K.V. Sridhar: Thank you.

Moderator: Thank you. Our next question comes from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi: This is Aniruddha Joshi here. So, my question is, what was the exit market share at the end of either November or December, if you can share? You have shared YTD market share. And secondly, was there any excess trade discount given to clear the inventory at the end of December? And last point, there is a very strong market share across both categories, Refs and washers. But despite that, the profitability still remains, in a way, still in red. So, how do you see the profitability? Earlier, there was an indication by end of FY'26, it should be profitable. So, how should we read about Voltas Beko? That's it from my side.

Mukundan Menon: Thanks, Aniruddha. So, this is Mukundan Menon here. So, on the market share, our exit market share for the month of December is also at 17.9%, which coincidentally coincides with our YTD market share also, which is at 17.9%. So, if you recall, when we began this calendar year, that is the Jan to March quarter, we had a market share of 15.8%. And that has grown to 17.9%. So,

Voltas Limited

January 29, 2026

Page 7 of 17

over the last 12 months, we gained market share of roughly 2.1%, which is a good, I think, it holds us in good stead. In terms of schemes, yes, most of the channel partners had a lot of inventory with them, and it is imperative for us to help them to clear the stocks. So, the schemes were progressively being given to them during the Quarter 3. But as we approach summer, these

schemes will start becoming a little more market demand related. So, indeed, to facilitate the secondary sales schemes and discounts were offered in Quarter 3, which is reflecting in our margin profile also, if you see. Going back to Voltas Beko, the story is a little different. Here the primary focus is to gain market share, which we are doing consistently. Refrigerators, we are at a market share of 6.2%. And this is a gain of roughly 1.1% over 6.2% for the YTD number. However, the exit November number, the December number we haven't seen as yet, is a better number at 6.8%. And the Washing Machine market share, YTD is 8.2%. But the exit November number is again a very healthy 10.2%. So, here the focus is about gaining market share, about making our presence felt. And the profitability in a way, the scale is slowly getting us to a place where in the very near future, we will see this get into at least a break-even kind of situation. Aniruddha Joshi: Okay, sure, sir. This is very helpful. Many thanks

Mukundan Menon: Thank you, Aniruddha.

Moderator: Thank you. Our next question comes from the line of Natasha Jain. Please go ahead.

Natasha Jain: Thank you. Sir, just one question. Given that we have one of the highest assembly capabilities and the season for calendar '25 was bad, so I assume that we were also left with higher number of inventory. And given that sequential growth for Voltas in UCP has been quite high, is it fair to assume that channel is sitting with larger inventory of Voltas? And by that logic, is it again fair to assume that if and when summer picks up, market share growth for Voltas in 4Q will be sharper than peers? That's it. Thank you, sir.

Mukundan Menon: So, Natasha, very well said. On the second point, the market share will see a very positive trend because of the volume sales and the primary billing that we have done is significant. So, the market share gains will be visible in 4Q for sure. Inventory of Voltas, my sense is that we are talking about a few weeks, 5 to 6 weeks of inventory is there in the channel. And it's just a matter of time. By March middle, I suppose, the entire inventory will get finished. So, that's the way we see it. So, it's not a very high number because the summer season is going to pick up. So, between February when the summer begins from Kerala and then moves on towards Tamil Nadu, Karnataka and comes into Maharashtra, I think we are talking about a clear 45 days, less than 45 days for the inventory of our channel partners to sort of deplete completely.

Natasha Jain: Thank you, sir. That's helpful.

Mukundan Menon: Thanks, Natasha.

Voltas Limited

January 29, 2026

Page 8 of 17

Moderator: Thank you. Our next question comes from the line of Girish Achhipalia from Morgan Stanley. Please go ahead.

Girish Achhipalia: Hi, sir. Mr. Mukundan, I had one question on the price hike that the system and you would need because of the copper being where it is, aluminum being where it is and the rupee being where it is. My estimate says that it could be between 12% to 14%, basis the commodity move as well as the new norms that have kicked in and also some e-waste rules, etc. So, if you can comment, I know this is going to be a mixed quarter, some old inventory, some new inventory. But once the new inventory comes through, is that a fair assessment of price increases needed and how much has already been taken, if at all, in the month of January? Thank you.

Mukundan Menon: Thanks, Girish. Actually, Mr. Sridhar will address this.

K.V. Sridhar: Thank you, Girish, for the question. I think it's sort of comparable to the first question that sort of came up. So, this quarter will be a mixed one between old table and new table. So, obviously, the costs will be different, as you know. And by the time the prices stabilize as part of the new table, I think it will take maybe a couple of months. I think that's likely to be the case. And that's what our sense is also. So, we will have to sort of do a wait and watch. But to your primary question, is there an impact of commodity and currency? There is.. But the exact quantum and how the price transition will happen, that I think we will have to do a bit of wait and watch. We are sort of monitoring it almost regularly. And any dispatching decisions, we are linking it to the market requirements. But there is an impact of currency and commodity hedging.

Girish Achhipalia: But directionally, am I right in the ballpark for the new rules that have been applicable and the commodity, if they were to remain for the new inventory that you place in the system?

Mukundan Menon: So, essentially, the thing is that the table change impact on the pricing is a little different for the 3-Star and a little different for the 5-Star. 3-Star is a little lesser, but 5-Star is a very, very significant increase. So, the increase will impact the 5-Star more. Now, the impact of the commodity, the copper and the dollar

, these are the moving pieces in this entire thing. So, the overall numbers will be a summation of these three things. The table change increase for 3-Star plus the commodity and copper for the same. The table change impact for the 5-Star and the copper and the currency impact for the same. So, typically, 5-Star will be a much higher number. As Sridhar said, it's still too many moving parts in the overall thing. We are unable to really

quantify the number to whatever you mentioned. But the fact of the matter is these all will impact the pricing certainly because these are not small numbers by any stretch of imagination.

Girish Achhipalia: Best wishes, sir. Thank you.

Mukundan Menon: Thank you, Girish.

Voltas Limited

January 29, 2026

Page 9 of 17

Moderator: Thank you. The next question comes from the line of Naushad Chaudhary from Aditya Birla Mutual Funds. Please go ahead.

Naushad Chaudhary: Hi, thanks. One question on the Project business. This business is consistently declining though we are adjusting the Domestic and International portfolio. But on an overall basis, this business seems struggling. So, just wanted to understand by when the order book slide should stop and from when we should start experiencing growth in the order book? And if this business has a potential to be a Rs. 10,000 crore of business and if yes, how much time will it take to reach those scale?

K.V. Sridhar: So, Naushad, this Project business has got two parts, as you rightly pointed out. There is a Domestic and there is an International business. So, the general thing is that across both these businesses, the Domestic and the International, we have been very careful in terms of picking up projects over the last 12 months, I would say. So, we have been very prudent in selection of the clients. There are proper guidelines and frameworks for that in terms of nature of client, the credentials of the client, the payment terms, the margin profile and the exposure of bank guarantees, the liquidity damages. We work around multiple things. So, if you ask the size of the order book might have diminished, but the health of the order book is very, very healthy compared to what it was a year ago. So, we have been very prudent and we have been extremely prudent, especially in the International business, where we have been very careful in selection of the clients. And essentially, we are going after projects where we get a sort of a preferred sort of vendor thing compared to others. So, we are not really bothered about the overall size of the order book, because these are generally order books which sort of get built over a period of 2-2.5 years or so. In terms of the Domestic Projects, again, if you see, there are three different verticals. The first one is the Mechanical, Electrical and Plumbing - MEP vertical. The second one is the Water vertical and the third one is the Electrical and Solar vertical. The Electrical and Solar as well as the Water vertical predominantly operates in the government space, and these are long gestation projects with a fair amount of sort of a working capital locked up for a larger period of time. We have been very prudent in picking up jobs in this category and we have been very selective about it. However, in the MEP vertical, we have been picking up fairly good, healthy jobs. In the manufacturing segment, we are also focusing on the data center segment. And these are the general industrial Segment-And data center are the segments which are very fast track, have a quick completion, very low risk and in terms of profitability also the quick turnaround. So, we have been prudent in this. So, the size of the order book is less important compared to the health of the order book. That's the way we see it, Naushad.

Moderator: Thank you. Our next question comes from the line of Akshen from Fidelity. Please go ahead.

Akshen: Hi, sir. Congratulations on a good show on the market share

. I just wanted one clarity from you

on how should we be thinking about margins in the Unitary business? It's been a tough year right now. You've been used to making 8% to 10% margins here. Given what you know in terms of cost pressures, in terms of channel inventory, not in like Q4, but just generally over the next year

Voltas Limited

January 29, 2026

Page 10 of 17

or two, what's the kind of margin should we be thinking about? Do margins go back to 8% to 10% or do you think we should first focus on getting topline right and then focus on getting the margins right? That's the only question. Thank you.

K.V. Sridhar: So, Sridhar here again. So, I think a fair question. I think in terms of where we see whether it's market share or margins, I think it's never quite possible to sort of give either or answer to be fair. I think it's both has to be sort of balanced while we don't want to lose out on the market leadership that we have, we want to sort of focus on. At the same time, we have to continue to focus on the margins also. So, in terms of if you see the intent is to sort of focus on the cost reduction initiatives very very prudently, in a very institutionalized manner. Look at any pricing opportunities that we have. We are also looking at mixed opportunities in terms of from a product portfolio point of view. So, we are looking at all multiple aspects in terms of trying to see how we can sort of focus on the margin improvements also. So, it's not either or none in all fairness. It is an and, and the focus has to be there on both. The top line has to happen and also in terms of market share growth, at the same time, focus continues on margins also.

Akshen: Sorry, just continuing that question. There is no doubt that incremental margins will sort of

improve. Just sort of want to de-lever on that point a little more. Just to, when we think about margins, so you're saying incremental margins will move up with all the initiatives that you outlined, which is a fair summation and a good strategy. I am just trying to understand the trajectory of that, because from where we are to let's say where normative margins is a decent gap. So, I am just trying to understand, should our expectations be towards 8%-10% right away or should it be over a period of time? That's the only clarification.

K.V. Sridhar: So, the recovery would be sequential as we sort of discussed. Right? And also there are too many moving parts, unfortunately, in this piece. I think the commodity inflation, the currency depreciation. So, there are multiple moving parts and also the table change impact also. So, there are multiple moving parts in this. Intent is to sort of get better. Will it be a sequential improvement? There will be a sequential improvement where and when we will reach, unfortunately, it will be maybe too soon to sort of quantify. That's the only point where we are. But intent is to sort of definitely get better and come closer to the expectations that we have. Akshen sir, does that answer your question?

Akshen Yes, it does. Thank you. Thank you so much.

Moderator: Thank you so much, sir. Our next question comes from the line of Renu from IIFL Capital. Please go ahead.

Renu: Hi. I have only one question. So, what would be your strategy for the Domestic MEP portfolio? How is our market share stacked up and what is the strategy of getting Voltas back on the mainstream with market leading share and margins from a medium term perspective?

Voltas Limited

January 29, 2026

Page 11 of 17

Mukundan Menon: So, Renu, you're referring to the domestic MEP project segment or overall domestic?

Renu: No, the domestic MEP or the HVAC portfolio that we are looking within the projects part of the business. Not Water, not Electrical, Solar, core MEP?

Mukundan Menon: Understood. So, as I said, we have decided that we will focus big time on the MEP part of the infra project. That is less of Water, less of Electric

al the way you have found it. And essentially within MEP also there are 2 or 3 different customer categories. One is the industrial and data center category, which we call it manufacturing and data centers. And the second one is the commercial buildings, which is to do with shopping malls and so on and so forth. And there's a third category, which is metros, airports and so on and so forth. So, the focus currently is that we want to have a larger pie of the manufacturing and the data center market. We are also looking at the steady flow. These are generally fast track projects which will quickly give, are turned around within less than 9 months to 12 months. And we are also looking at the metro and such infrastructure projects, which are generally spread over a longer period of time, but come with a lot of comfort with respect to the price variation clauses and the risks are very limited in this. So, a mix of these two and a little lesser focus on the commercial is what we are looking at. And of course, the Electrical and the Water segments are areas which we have been very careful now. And we are just cherry picking the project that we wish to do in this category.

Renu: And sir, what is the current market share?

Mukundan Menon: Just in this area, there is generally this market shares don't get tracked because, for example, MEP, the overall size of the market and the overall sort of we don't capture that data from an external. There are no external data things. It is all depending on the orders that you quote and the orders that you win versus the orders that you lose. We have some internal, I think which we...

Renu: Assessment of the market share.

Mukundan Menon: Yes, very difficult to say because it could be even wrong because there are many projects which we would not even know that have been bid. It's possible.

Renu: Understand. Thank you so much, sir.

Mukundan Menon: Thank you, Renu. Appreciate it.

Moderator: Thank you. Your next question comes from the line of Pulkit Patni from Goldman Sachs. Please go ahead.

Pulkit Patni: Sir, thank you for taking my question. Sir, some of your peers have interpreted the BEE norm change slightly differently, i.e. that they can continue to sell those ACs for a slightly longer

Voltas Limited

January 29, 2026

Page 12 of 17

period of time. And in which case they have actually not liquidated that inventory. Now, my question is, assuming all that's true, in the 4th Quarter, which is the current quarter, is it fair to assume that whatever you sell in the primary market will be higher cost inventory and compared to companies which have old inventory basically benefiting? So, I am just trying to understand in the 4th Quarter, is there a possibility that in the primary side we may have slightly softer

revenue? And as you rightly highlighted, that by the time we get to summer, it will all normalize. Is that a fair assumption?

Mukundan Menon: So, there is, I think the BEE norms, there was a Gazette which came in a year ago, which none of us had even noticed. When we got closer to the end of the year, all the industry woke up to that and realized that it prohibits you from manufacturing the new products from 1st of January 2026. But both the manufacturing brands as well as the channel partners can sell this till June end. Most of us had a sense of this by November end, we got to know that this is the rule. So, most of the brands have stocks of the old table products and so do we have stocks of the old products. And depending on when these stocks, like for example, there's a bunch of product SKUs in the 3-Star bucket, there's a bunch of SKUs in the 5-Star bucket. Depending on when these stock levels deplete to zero, the new table products will be introduced into the market. And so each brand, all the brands are almost on an equal level playing field with respect to availability of the old stock versus the new stock. All of them have started m

anufacturing new products right

from November, but obviously the focus would be to liquidate the old table stocks before you start selling the new table stocks. Does that answer your question, Pulkit?

Pulkit Patni: Absolutely, that's very clear. So, effectively, you are at even level with others when it comes to the 4th Quarter channel inventory.

Mukundan Menon: Very much.

Pulkit Patni: Thank you for that answer.

Moderator: Thank you. The next question comes from the line of Umang Mehta from Kotak Securities. Please go ahead.

Umang Mehta: Hi, thanks for the opportunity. Just building on to the last question. You mentioned about micro-targeting markets, also greater focus on modern trade GT. In this performance that you've shown in 3Q, have you added any new accounts on MT, institutional? You mentioned about some gaps you had in the past with your first interaction with us. Could you share any insights on this?

Mukundan Menon: Umang, actually what we embarked on is we started tracking almost 29,000 counters across the country which sell these products spread over 19,000 pin codes. We have a very structured network acquisition plan which we have put in place. We have added a decent number of channel partners either directly through as a direct billing point. We have also added a fair amount of counters through our distribution network. That's as far as the General Trade is concerned. In

Voltas Limited

January 29, 2026

Page 13 of 17

terms of modern trade, we have a fair presence across all the three Modern Trade. We call the "Three Bigs" – the Reliance, the Croma and the Vijay Sales as Modern Trade in our terminology. We have got a presence across all of this. The focus now is to have a higher share of their wallet. That is the focus now. There is a bunch of roughly 85 or so Regional Retailers where we see that our presence can be improved. So, there is a major focus in entering many of the Regional Retailers especially in the South and the West markets which are heavy on the regional retailer space. We are making good progress on that as well actually. That's as far as the channel partner is concerned. Institutional sales is essentially we do a decent number in institutions. This comes from things like banks. It comes from builders. We are making very good progress there as well.

Umang Mehta: Thank you so much.

Moderator: Thank you. Your next question comes from the line of Tavishi Mehta from ICICI Prudential Mutual Funds. Please go ahead.

Tavishi Mehta: Hi, sir. Sir, as per my calculation, due to commodity price rise, the cost as a percentage of BOM is actually increasing by 8%-9%. As a percentage of selling price, if we see, it will be somewhere around 6%. Correct me if I am wrong. But basically, how does Voltas think to pass this on? Additionally, even BEE norm will also have around 5% cost increase. So, overall, how do we think on pricing going forward?

Mukundan Menon: So, Tavishi, what you said is like the BEE norm that I just explained a little while earlier to a question regarding the price increase which Girish had asked. So, essentially, the price increase is also like the 3-Star has a different impact. The 5-Star has a far more sharper increase impact. So, that obviously will get passed through. The commodity and dollar, actually both of them are on an upward trend as you can imagine, essentially copper. The impact of aluminum is not like on the overall BOM is not that heavy. But copper is the big sort of item on the BOM. So, again, model-wise, this changes because there is some amount of copper which goes into a 3-star. There is another amount of copper which goes into a 5-Star. So, we are assessing the impact of all this along with the third dimension which is the dollar impact. And as our CFO – Mr. Sridhar mentioned, we are monitoring it very closely. And then closer to the time when the new table products start getting introduced into the market, we will

take a call on this. But the direction is

that actually there is going to be a price increase. And many of these will have to be passed

through to the channel partners through consumers.

K.V. Sridhar: Just to add to what Mr. Menon said, as you mentioned, we also are working on a clear cost optimization program also. So, that is also a set-off that we will have to sort of factor in. It is a fairly dynamic situation, a mix of products being sold. So, we are monitoring that and will take the pricing decision appropriately, factoring all these variables.

Tavishi Mehta: But can we expect some price increase in coming quarters?

Voltas Limited

January 29, 2026

Page 14 of 17

K.V. Sridhar: Just to add, there would be an element of price increase. There would be. I mean, that much I think we have clarified. There would be. How much is something we will have to sort of see depending on all the variables.

Mukundan Menon: So, price increase is the reality. The quantum amount and when the exact time when the new products will come into the market are the moving pieces in this entire thing. We also have some cost-down projects which we are doing. The overall price will increase. Obviously, it will increase, actually. The numbers are a little early to say as of now.

Tavishi Mehta: Sure. Okay. Thank you.

Mukundan Menon: Thank you, Tavishi.

Moderator: Thank you. The next question comes from the line of Balasubramanian from Arihant Capital.

Please go ahead.

Balasubramanian: Good evening, sir. Thank you so much for the opportunity. In MEP, our data center share is less than 5% and we are aiming to 30% in the medium term. What specific orders or tenders you are bidding in this space? And how does District Cooling fit into your MEP strategy? And you are partnering with international players for technology side? Thank you.

Mukundan Menon: So, MEP, the data center thing is just opening up. We are doing a couple of projects now, actually. And the same funnel for the data centers is also very healthy. So, we are bidding for quite a few projects. As I mentioned earlier, the focus is to win data center projects using a combination of 2-3 levers. One is essentially, as you know, a data center needs the cooling equipment, which is Chillers and mostly it is Screw Chillers or Centrifugal Chillers, where we have made significant progress with a new technology partner alliance, which I mentioned in the last meeting. So, we probably offer the best energy efficient products in the Screw category. And we also offer the best energy efficient products in the Centrifugal category. Centrifugal has two variants. One is the regular Centrifugal Chillers and the second Oil-free Chillers. Across these three segments, we have probably the most energy efficient products. And energy is a big portion of the OpEx of our data center. So, we are very confident of getting these chiller orders from the data center and we are bidding this together with our MEP division, which is mechanical, electrical, and contracting, that entire group. So, that makes us a single source vendor to the data center. So, this cross-functional, the cross-divisional approach to this entire data center, we will move towards the overall share, whether it will go to 30% so soon, I am not sure. But the direction is very clear and we are seeing some fairly early, good sort of tailwinds for us in that thing. District Cooling also, because of our presence in the Centrifugal chillers, District Cooling essentially comes with a Centrifugal kind of scope, mostly, at the Scroll and Screw. There again, because of the most energy efficient Chillers in both the categories, we have a fair chance of getting a higher share from this. This is normally dominated by the three American brands, which is York, Trane, and Johnson Controls. And we have a fair chance to

Voltas Limited

January 29, 2026

Page 15 of 17

compete with them in this space as well. So, I

think over the next 12 months, this entire story will pan out Bala.

Balasubramanian: I got it, sir. Thank you so much for the detailed answer.

Mukundan Menon: Thank you.

Moderator: Your next question comes on the line of Akshay Gattani from UBS. Please go ahead.

Akshay Gattani: Hi, sir. Thank you for the opportunity. So, given Voltas now have decent in-house capacity, so what will be your strategy for this upcoming season between insourcing and outsourcing for manufacturing? And do you expect the higher backward integration, which is there in the Chennai plant, will start to flow into better margins if the demands for upcoming season turn out the way you're forecasting?

Mukundan Menon: So, Akshay, the backward integration of Chennai has already started playing out. As I had mentioned in the last, I think, meeting that we had, there are many things which we were not backward integrated in Pantanagar, which we are backward integrated in Chennai. One is the entire Sheet Metal work, which is the outdoor body. Second is the Powder Coating and the Painting of that outdoor unit, which is, again, a high-value addition sort of process. The third is

the entire Indoor Unit Plastic Injection, Moulding of that internal plastic part and a fully backward integrated Oil and Fin Shop. We used to have partly the Coil and Fin Shop in-house and we used to do some sort of buying of the Coils and Fin Assembly also in Pantnagar plant. So, the entire play of the Chennai backward integration will play out fully. In terms of the outsourcing versus insourcing, Akshay, the thing is that our Window Air Conditioners, as we have been doing all along, has always been outsourced from the local OEM manufacturers. And we continue with that sort of the same thing. We are not making any change. However, the Split Air Conditioners, which is essentially now predominantly the inverter splits, we are doing it in a way that there are two things. One is there's a steady sort of visibility about what will be certainly required that is in-house. And some of the spikes and the ups and downs which come during a very good summer, those are generally being catered by the OEM. So, it's a blend of both. And we are taking a very judicious call in terms of picking up how much of these from the OEMs. And we have also been very judicious about picking up from the right OEMs in terms of geography. There are some products which are closer to the West market, some products which could sell more in the South market. So, we have been very selective in picking those OEMs which cater to the products in that market. So, very carefully planned out this season, Akshay.

Akshay Gattani: Got it, sir. This is very helpful. Thank you.

Voltas Limited
January 29, 2026

Page 16 of 17

Moderator: Thank you. Your next question comes from the line of Dhruv Jain from Ambit Capital. Please go ahead.

Dhruv Jain: Hi, sir. Just one data point. All my other questions have been answered. If you could just spell out the capacity utilization of the current Chennai plant and in the upcoming season, what is the level at which you expect it to run?

Mukundan Menon: Capacity utilization? Actually, it is almost 90%. So, we have two plants, one in Pantnagar, which is operating at, I think, 100%. And the Chennai plant, we have built a capacity of 1 million units, which we are in the process of expanding to 1.5 million capacity in another 1-2 months. Our sense is that this summer season, we would have maximized the capacity utilization to almost between 85% to 90% or so, Mr. Jain.

Dhruv Jain: And, sir, if you could just talk about the CAPEX plan.

Mukundan Menon: CAPEX plan. Essentially, Mr. Jain, you're saying as an organization or it is mainly for room air conditioners?

Dhruv Jain: If you could break it into both, that would be great.

K.V. Sridhar: So, can we take this offline, Mr. Jain, if you don't mind? You can reach out to the team.

Dhruv Jain:

Sure, sir.

K.V. Sridhar: Thank you for understanding, Mr. Jain.

Moderator: Thank you. We will take the last question from the line of Sunny Gupta, an Individual Investor. Please go ahead.

Sunny Gupta: Sir, you told that there was a pre-buying in December quarter, so will this effect be seen in January month, vis-à-vis January 2025?

Mukundan Menon: Actually the pre-buying in December actually was in a way a very positive thing for us. We were very pleasantly happy with the result that we have done. And a little bit of this might be the January thing, but as of now, we are not seeing any decline in our numbers. So, it's probably laying a runway for a good January and hopefully for a good February and March, Mr. Gupta.

Moderator: Thank you. Ladies and gentlemen, I now hand the conference over to Ms. Natasha Jain for closing remarks.

Mukundan Menon: Thank you. Actually, we have our CFO – Mr. K.V. Sridhar, making his closing remarks now.

Voltas Limited

January 29, 2026

Page 17 of 17

K.V. Sridhar: Thanks all for the participation. Just maybe a few comments towards the end. So, I think all these priorities, I think, position Voltas to enter the season with sharper readiness, stronger execution muscle, and a more efficient operating base. As cost optimization efforts take effect, the Company expects to strengthen margin resilience and create a more leveraged financial profile. With this foundation, Voltas remains well-placed to enhance its leadership in the cooling segment while steadily expanding its portfolio as a comprehensive diversified cooling home appliances and engineering project solutions provider. Thank you.

Natasha Jain: Thank you. That ends the conference. Participants can disconnect their call.

Moderator: Thank you so much, everyone. On behalf of PhillipCapital, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: May 2026

20th May, 2026

BSE Limited National Stock Exchange of India Limited
Department of Corporate Services Listing Department
Phiroze Jeejeebhoy Towers Exchange Plaza
Dalal Street Bandra -Kurla Complex
Mumbai 400 001 Bandra (East), Mumbai 400 051
Scrip Code: 500575 NSE Symbol: VOLTAS

Sub: Transcript of the Q4 FY26 Earnings Conference Call

Dear Sirs,

Further to our letter s dated 11th May, 2026 and 14th May, 2026 , we enclose herewith a copy of the transcript of the Q4 FY26 Earnings Conference Call held on 14th May, 2026 .

The same is also being made available on the Company's website at:
<https://www.voltas.in/investors/disclosure-under-regulation-46-lodr/schedule-of-analysts-or-institutional-investors-meet>

Thanking You,

Yours faithfully,
For VOLTAS LIMITED

Ratnesh Rukhariyar
Company Secretary & Compliance Officer

Encl: as above

Page 1 of 18

"Voltas Limited
Q4 FY26 Earnings Conference Call "
May 14, 2026

MANAGEMENT : MR. MUKUNDAN MENON – MANAGING DIRECTOR –
VOLTAS LIMITED
MR. K.V. SRIDHAR – CHIEF FINANCIAL OFFICER –
VOLTAS LIMITED
MR. NIKHIL CHANDARANA – HEAD OF CORPORATE
FINANCE – VOLTAS LIMITED
MR. MANISH SOMANI – HEAD OF FINANCE
CONTROLLER – VOLTAS LIMITED
MS. SUMANA TRIPATHY – HEAD (FP&A) – VOLTAS
LIMITED

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

Voltas Limited
May 14, 2026

Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to Voltas Limited Q4 FY26 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation

concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. At the time of the question -and-answer session, we would request participants to please limit their question to one per participant. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you, and over to you, sir.

Aniruddha Joshi: Yes. Thanks, Rituja. On behalf of ICICI Securities, we welcome you all to Q4 FY26 and FY26 Results Conference Call of Voltas Limited. We have with us today senior management represented by Mr. Mukundan Menon, Managing Director; Mr. K.V. Sridhar, Chief Financial Officer; Mr. Nikhil Chandarana, Head of Corporate Finance; Mr. Manish Somani, Head of Finance Controller; and Ms. Sumana Tripathy, Head FP&A.

Now I hand over the call to the management for initial comments on the quarterly performance, and then we will open the floor for question -and-answer session. Thanks, and over to you, sir.

K. V. Sridhar: Good evening, all. This is Sridhar here, CFO, Voltas. Glad to connect with you all this evening. This is the quarter and year ended 31st March '26 results for Voltas. So, Voltas delivers progressive recovery in Q4, supported by cooling segment and robust performance from the other diversified businesses.

To give a background on the global economy, the global economy entered 2026 amid a backdrop of cautious recovery and rising uncertainty. Moderating inflation, improved financial conditions and sustained investment momentum supported economic activity during the early part of the year, while global trade flows and consumption trends remained relatively resilient despite uneven recovery across regions.

However, as the quarter progressed, escalating geopolitical tensions, particularly across energy -sensitive markets triggered significant volatility in commodity prices, currencies and logistics networks, further elevating input cost pressures and downside risks to global growth.

Against this challenging backdrop, Voltas continued to demonstrate resilient and progressive financial improvements supported by strong domestic demand fundamentals, structural reforms and the company's ability to proactively navigate supply chain and operational disruptions. Despite headwinds including delayed summer onset in select markets, global supply chain constraints and currency volatility during Q4 FY26, the company delivered a progressive recovery and continued to maintain its leadership in the cooling segment through a combination of resilient -led strategy, customer -centric innovation and disciplined execution.

Over the last year, Voltas has undertaken transformative initiatives across the B2C segment, including a refreshed product portfolio, stronger manufacturing capabilities, enhanced brand

Voltas Limited

May 14, 2026

Page 3 of 18

investments, sharper consumer communication and deeper channel engagement. These initiatives are now beginning to deliver tangible outcomes across operational efficiency and brand momentum.

The projects business also demonstrated resilience with stable execution and healthy operational performance, further strengthening Voltas' position as a diversified and future -ready enterprise. The agency business delivered stable performance in Q4 FY26. While the external environment continues to remain dynamic, management remains firmly focused on sustainable growth, margin resilience, disciplined execution and long -term value creation for shareholders.

A brief on the financial performance. For the quarter ended, consolidated total income was INR 4,930 crores against INR 4,847 crores last year same period. PBT was INR 181 crores against INR 343 crores same year last period and net profit was INR 113 crores versus INR 236 crores last year.

For the year ended 31 March '26, consolidated total income was INR 14,483 crores against INR 15,737 crores last year. PBT was INR 557 crores versus INR 1,191 crores last year, and net profit was INR 377 crores versus INR 834 crores last year.

A bit of detail on the segments. About Segment A, which is the UCP segment, Segment A was primarily driven by the RAC business where Voltas further strengthened its market leadership position. Voltas continues to lead over the No. 2 player, reinforcing the company's strong brand equity, extensive distribution reach and consistent execution strength across markets.

FY26 marked a significant transformation phase for the Voltas cooling business. The company undertook a comprehensive refresh of its RAC portfolio with sharper focus on feature -led, energy -efficient, intelligent cooling technologies and differentiated consumer experiences.

Anchored in customer -centric innovation, Voltas launched its Summer 2026 portfolio led by AI -powered Vertis Split AC Series with features like AI adaptive cooling, AI geofencing, AI energy manager designed for the discerning Indian consumer. This was complemented by the repositioned Har Ghar Voltas campaign, which strengthened the brand's emotional connect with

Indian consumers while modernizing its appeal for younger and aspirational households. Alongside product innovation, Voltas accelerated investments across branding, marketing, consumer communication, retail visibility, channel engagement and financial accessibility to enhance conversion and strengthen market presence across geographies. The se transformation initiatives helped Voltas deliver one of the highest -ever sales months in its history during March 2026.

Within Segment A, Commercial Air Conditioning delivered strong performance supported by healthy mix of product and AMC business, sustained urbanization, infrastructure investments and rapid growth in digital infrastructure continued to drive a strong pipe line for the CAC business, positioning it for robust long -term growth.

Voltas Limited

May 14, 2026

Page 4 of 18

Commercial Refrigeration also delivered a steady quarter while continuing to focus on institutional sales expansion, channel development, customer diversification and introduction of new product lineups. CAC, CR and AR continue to play an important role in deepening UCP's diversification and reducing dependence on seasonal room cooling demand.

However, margins during the quarter were impacted by commodity inflation and currency depreciation. These pressures were partially mitigated through comprehensive cost reduction and value engineering program encompassing improved sourcing, deeper localiza tion, targeted design innovations and manufacturing efficiencies.

Recent geopolitical conflicts and war -related disruptions created volatility in raw material availability, logistics, energy costs and currency markets. Voltas successfully navigated these challenges through a combination of structural preparedness and ta ctical agility, ensuring uninterrupted production and market servicing.

The company now enters the current season with a more clear ly defined segmentation strategy, refreshed product mix, sharper premium positioning and refreshed marketing campaign, with new celebrity brand ambassadors tailored for diverse customer segments across geographies. At the same time, manufacturing investments undertaken over the last 2 years are now beginning to deliver tangible operational benefits.

The Chennai and Pantnagar manufacturing facilities are currently operating at better utilization levels as compare

d to the previous year. Voltas continues to accelerate investments in factory automation, manufacturing optimization, warehouse rationalization and integrated inventory planning to further improve responsiveness, supply chain resilience and cost competitiveness. Together, these initiatives are expected to deliver improved margin realization and reinforce Voltas' leadership across Indian cooling space.

Voltbek continues to play a strategic role in Voltas' long -term vision of building a scaled and diversified consumer durables platform, with 8.6% year-to-date market share in washing machine segment and 6.2% in refrigerators in a sluggish market.

Over the last year, Voltbek has accelerated its transformation journey through sharper portfolio premiumization, deeper localization, expanded channel reach and stronger consumer engagement initiatives aimed at strengthening its position in the highly comp etitive home appliance market.

Continuing with this philosophy of delivering smart technology, superior cooling performance and long -lasting durability, Voltbek introduced enhanced product features in the frost -free refrigerator segment with improved energy efficiency, design aesthetic s, storage innovation and consumer convenience features.

In the fully automatic machine category, the company launched innovation -led product ranges featuring advanced hygiene wash technologies, energy smart solutions and differentiated consumer -centric features tailored for evolving Indian consumers.

Voltas Limited

May 14, 2026

Page 5 of 18

Alongside product innovation, Voltbek continued to strengthen its brand mix strategy supported by expanded retail presence, deeper channel penetration, enhanced in -store visibility and stronger consumer engagement across key markets. These initiatives are steadily strengthening brand preference and improving conversion across channels while positioning Voltbek as an increasingly relevant player in an Indian home appliances segment.

A key strategic focus during the year has been localization and manufacturing scale -up at the Sanand manufacturing facility. The company continues to deepen localization levels across key product categories, improving sourcing efficiencies and enhanc ing manufacturing integration to

strengthen cost competitiveness and supply chain resilience.

Supported by design innovations, calibrated pricing actions, improved sales mix and ongoing cost optimization initiatives, these efforts are expected to support sustainable margin expansion while building a strong foundation for long-term growth.

Going forward, Voltas remains focused on expanding its energy-efficient and innovation-led product portfolio while steadily scaling its distribution network and strengthening its position as an integral part of Voltas' broader home solutions ecosystem.

Segment B, Electro-Mechanical Projects. Segment B continues to play a critical role in strengthening Voltas' portfolio diversification strategy, helping mitigate earnings volatility associated with seasonal nature of core cooling businesses by enforcing the company's positioning as a diversified engineering and product solution enterprise.

During FY26, the business maintained strong momentum through a sharper focus on execution discipline, selective order booking, working capital management and profitable growth across both domestic and international operations.

The domestic projects business continued to secure strategic orders while increased focus on fast track and margin-accretive opportunities across high-growth sectors, including electronics manufacturing, industrial infrastructure, data centres, Metro and tunnel projects. These sectors continue to benefit from accelerated investments driven by urbanization, digital infrastructure expansion, localization initiatives and government-led infrastructure development.

The businesses also prioritized timely execution

and project delivery across multiple sites,

resulting in stronger cash flows, improved execution efficiency and enhanced profitability.

Greater emphasis on project selection, milestone-based monitoring, disciplined receivables management and tighter operational controls continue to strengthen the quality of the order book and improve overall business resilience.

Within the international project business, geopolitical tensions and Middle East conflict created operational disruptions across travel, logistics, site execution and commercial settlements.

Despite these challenges, Voltas responded with agility and discipline by activating dedicated crisis response teams, implemented employee safety protocols, strengthened travel controls and evacuation readiness and establishing a rigorous daily monitoring framework covering critical

Voltas Limited

May 14, 2026

Page 6 of 18

operations, liquidity and collection management and project execution. These measures enabled the company to effectively mitigate risks while ensuring continuity across key projects and customer engagements.

During FY26, the international business also witnessed healthy new order inflows, further strengthening the order pipeline, while improved collections, tighter controls and disciplined risk management helped reduce overall risk and improve operational stability within the business.

As of 31st March 2026, the total carry forward order book in Segment B stood at close to INR 6,200 crores, providing strong revenue visibility and reinforcing confidence in the long-term growth opportunities across domestic and international projects business.

Segment C. Segment C continues to strengthen the Voltas engineering portfolio through a balanced mix of industrial equipment aftermarket services and long-standing customer partnerships while providing stable and relatively non-seasonal revenue streams for the company.

The Mining & Construction Equipment Division delivered steady top line growth during the year, supported by sustained demand for crushing and screening machinery, continuity in operations and maintenance contracts and stable performance from the Mozambique operations.

The business continued to benefit from infrastructure development activities, mining sector demand and increased focus on productivity enhancement across construction and material handling applications.

Alongside equipment sales, the division continued to strengthen its aftermarket and service annuity business through deeper customer connect, improved life cycle support and enhanced service capabilities. A healthy inquiry pipeline, expanding service opportunities and stable operations across key markets provided improved visibility for future growth while reinforcing the resilience of the business model.

Within the Textile Machinery Division, the business operated in a challenging environment marked by geopolitical uncertainty, supply chain disruptions, rising raw material costs and cautious capital expenditure sentiment across the sector.

Despite near-term market uncertainties, the business demonstrated resilience through steady execution of pending orders, strong after-sales performance and continued traction in the post-spinning segment. The division also continued to focus on customer retention, service

responsiveness and strengthening its solutions portfolio to enhance engagement in the textile manufacturers across markets.

Looking ahead, policy support measures announced under Union Budget 2026, coupled with expansion of the PLI scheme and increased focus on domestic manufacturing are expected to support gradual recovery of the core spinning category. At the same time, the business remains

Voltas Limited

May 14, 2026

Page 7 of 18

focused on accelerating growth in post-spinning solutions, strengthening aftermarket service revenues and improving operational efficiencies to drive sustainable

long-term growth.

In terms of balance sheet and working capital, Voltas continues to maintain a strong and resilient balance sheet, providing the financial flexibility required to navigate a dynamic operating environment while simultaneously supporting strategic growth investments across businesses.

The company's disciplined financial management approach, combined with prudent capital allocation and tighter operational controls has enabled it to maintain a healthy liquidity position despite ongoing macroeconomic and geopolitical uncertainties.

During Q4 FY26, focused efforts on working capital optimization led to a reduction in working capital borrowings. Net working capital remained tightly managed, supported by disciplined receivable collections, payment optimization and prudent inventory management.

Inventory levels during the quarter remained moderately elevated, primarily driven by proactive readiness for the peak summer season, strategic stocking for new product launches, and precautionary planning in response to supply chain volatility and geopolitical disruptions.

However, the inventory buildup was calibrated and aligned with anticipated demand trends with gradual normalization expected as seasonal demand momentum strengthens.

Overall, the company exited the quarter with a balanced and well-managed working capital profile, reinforcing its ability to support future growth opportunities while maintaining financial resilience and operational agility.

Outlook and strategic direction. In an environment marked by continued geopolitical uncertainties, supply chain volatility and evolving consumer dynamics, Voltas remains firmly anchored in its strategy of disciplined growth, operational agility and long-term value creation.

Over the last year, the company has undertaken transformative initiatives across its business, including a comprehensive refresh of its product portfolio, expanded manufacturing and localization capability, sharper brand positioning and fresh marketing campaign, deeper channel engagement and strong execution discipline. These strategic initiatives are now beginning to translate into cost optimizations, operational efficiency and business resilience.

With the ongoing season, the company remains optimistic about demand trends across product categories, supported by improved consumer sentiment, increasing premiumization, rising urbanization and continued infrastructure investments.

Across the cooling business, Voltas' refreshed RAC portfolio differentiated product positioning, intelligent cooling technologies and expanded distribution reach are expected to further strengthen market leadership while driving a more favourable product mix and improved profitability.

Voltas continues to strengthen Voltas' long-term vision of building a scaled home appliances platform through premiumization, product innovation, deeper localization at the Sanand manufacturing facility, and expanding retail and channel presence across markets. These

Voltas Limited

May 14, 2026

Page 8 of 18

initiatives are expected to steadily improve brand preference, market penetration and operating leverage over the medium term.

Within the projects business, the company remains focused on selective order booking, execution excellence, cash flow discipline and strengthening project profitability across both domestic and international operations. Across businesses, cost optimization continues to remain a strategic priority with sustained focus on sourcing efficiencies, design innovation, localization, manufacturing productivity and operating leverage aimed at protecting margins and improving profitability. Thank you.

Moderator: The first question is from the line of Sukrit Patil from Eyesight Fintrade Private Limited.

Sukrit Patil: I have two questions. My first question to Mr. Menon is, in your point of view, how is Voltas preparing to capture future

e opportunities in cooling appliances and consumer durables while thoughtfully addressing challenges such as rising competition, input cost pressures and evolving customer choices? What strategic levers do you see as most important for sustaining growth and being a market leader in the coming quarters? That's my first question. I'll ask my second question after this. Thank you very much.

Mukundan Menon: Yes. Good evening, everyone and thank you for joining our call. I look forward to the discussion.

And to answer your first question, on the appliances business, as all of you know, we have a joint venture with a company called Arcelik, and the product is called Voltas Beko.

So, what this partnership sort of -- the strength of this partnership is that Beko is a world leader in terms of the appliances business. So, the technology, the product portfolio, the engineering, the supply chain and the manufacturing is what they bring to the table.

And so yes, so the Voltas Beko appliances, that joint venture, which we have, has all the ingredients of a successful marriage between, I would say 2 large organizations, one on a global scale and one, the largest in India. We use their technology and their manufacturing progress, and our very strong moat, which is our distribution and understanding the Indian market. That is as far as the durable space is concerned.

As far as the air conditioning business is concerned, as you know, we've been a leader in this space for quite some time. And the strength of Voltas brand, coupled with the kind of moat we have with respect to our distribution reach is phenomenal. I think that is what we continue to leverage.

You would have noticed that this year, we have launched a series of new products, which is more feature-rich, there is a lot of new features in that, like we have introduced a lineup with AI, which essentially has features as Sridhar had mentioned in his initial address, like Geo Fencing, like Adaptive Cooling and also Energy Manager.

With these features we are always one up as far as competition is concerned, and we will continue to introduce products, which will keep us ahead of the curve. So, I think this
Voltas Limited

May 14, 2026

Page 9 of 18

combination of having the right channel with a product which is always ahead of the curve, will ensure we are ahead of the competition, which is severe.

This is an area which has a lot of participants, almost 60 brands operate in this space. But I think what we bring to the table is the Tata trust plus the fact that our distribution reach is phenomenal.

You would have also noticed that we have refreshed our entire marketing campaign this time.

Earlier, Voltas has a different style of marketing.

This year, we had onboarded 2 brand ambassadors, celebrity brand ambassadors, Ranbir Kapoor and Neetu Kapoor, and this is helping us in a big way in terms of the journey towards becoming an aspirational brand. I think we have all the right ingredients to take it forward. The competition play is always there, and that will continue. We do not see it receding.

Sukrit Patil: Thank you. My second question to Mr. Sridhar is, as Voltas continues to benefit from demand in cooling appliances and home solutions, how are you prioritizing capital allocation between capacity expansion, R&D and shareholder returns? And what long-term cost efficiencies are being put into place to safeguard margins amid rising input and financial costs?

K. V. Sridhar: Okay. So, I think -- as I highlighted in the spiel, Voltas is a fairly diversified business, as you would have seen. And I think it was more relevant this year, if you see the segregation between the 3 segments in terms of the profitability. So, the capital allocation is done sort of diligently across the segments.

While we also constantly look at any capacity enhancements which predominantly come in the Segment A, as you can ma

ke out. But purely from any capital allocation or any investments

required, we are sort of looking at all the 3 segments together because it's a fairly diversified business.

But from a pure capex point of view, it's Segment A, which sort of needs periodic investments, and we are sort of doing investments from a capacity point of view, from an R&D point of view.

If you see the last 2 years, 3 years and also in this year, we plan to continue doing that.

In terms of the profitability angle that you're referring to, our focus is obviously to drive top line because what we feel is the headroom for growth within the larger cooling segment and appliances is very high for us. We want to drive top line very, very actively.

And in the process, we hope, and I'm sure we will have the efficiencies of scale where the margin profile will absolutely sort of keep growing and continuing to grow on an ongoing basis and give back shareholder value. So that's the broad strategy that we are sort of trying to work on.

And obviously, you would have seen some geopolitical tensions over the last quarter or so. But Voltas as a company had started working on an active cost reduction program almost 9 months back. And as you see, some of these programs obviously take some time for some efficiencies to come in.

But we are sort of seeing some of the benefits that we had already actioned sometime back; we've started seeing the benefit. It's also true that some of the benefits got offset by the inflationary measures and the currency impact. But the continual program for cost efficiencies is something we are trying to institutionalize and make sure that we have a continuous program of cost improvements running.

Moderator: The next question is from the line of Manoj Gori from Equirus Capital.

Manoj Gori: So my question is on the margins. If we look at the reasons that we highlighted about commodity inflation and INR depreciation. But when I look at the company level, our gross margins have declined by only 85 basis points. But when I look at the segmental margins, there has been a bigger deterioration.

When I look at the Unitary product margins, which are close to around 3.2% for FY26 versus 8.4% in FY25, probably how should we look at the margins during FY27 and '28, given that you have highlighted about a lot of measures undertaken for cost rationalizations and in fact, better utilization at both the facilities. If you can give some outlook on the margins and probably, how should we model margins for FY27 and '28. That's my first question, sir.

K. V. Sridhar: Okay. So, thanks. I think a very relevant point raised. I think the margin dilution that you see in the segment, as you know, we have had the discussions during the quarterly discussions also were predominantly sort of from the quarter 1 and quarter 2, where, obviously, there was a significant overhang with regard to the summer, which was a bit erratic, early monsoons because of which there was a stock overhang also in the channel and also across all the manufacturers. So that was a significant impact.

So, from there, in terms of thought process that we have had, what we have communicated is a progressive improvement in the absolute margins and also a gradual improvement in the profile.

So, I think that is what we are actively trying to sort of work on in terms of improvement.

Should it get better from the number that we sort of highlighted in FY26? It should get better.

But as you can make out, some of the challenges are fairly, in a way, structural in the sense because of the continued issues that we are having from a supply chain angle or the currency.

So, we are monitoring it extremely actively and sort of taking corrections in terms of pricing opportunities wherever we can take, we are working on all those options. We want to gradually improve the top line and

and the margin profile and sort of reach to a level which is closer to what it was in FY25. It's a gradual improvement that we see at this point of time.

Manoj Gori: Sure, sir. One question on the current environment. If we look at it, we are already into mid-summer, how things have progressed during the month of April and May, also the outlook on the current season and probably how things are panning out at both secondary as well at primary level? And how should we look at FY27 as a year?

Mukundan Menon: Yes. So, Manoj, the last year, this quarter was a rather weak quarter, as you know, because of the weak summer and the unseasonal rains. So, in comparison to that, we are seeing a very

positive traction in terms of the first month, April, and that going into May. There's a serious heat wave in many parts of the country, though there are intermittent rains and such events happening in some parts of the country. So very positive kind of growth we are seeing.

And the secondaries are also moving fast actually. So, while as all of you know, there was a table change which happened from January onwards and most of the brands, including us, started delivering the new table products into the channel network from the month of March, which had taken a price increase also. There was a 5% to 10% price increase in 3-star and 5-star. And there is a further price increase, which is going on because of the commodity thing.

But I think the saving grace in all this was compared to last summer, this summer, the GST rate has come down from 28% to 18%. So, there is some cushioning of the impact. There is still an impact, but the enormity of that impact has been softened a little bit because of the GST reduction, which couldn't have come at a better time than now. So, we are seeing very positive growth this quarter, Manoj.

Manoj Gori: Sir, any indication on the blended price hikes that we would have taken so far on the new models?

Mukundan Menon: Actually, each model as far as the first round of increases was concerned, it was a blended 6%-7% because it was 5% for the 3-star which is a larger portion, 75% mix, and 10% for 5-Star is around 25%,

In addition, there was some other impacts because of the copper and commodities going up even before the war started. So that also played a role. So, there has been another 1% or 2%, which we have further increased. And as of now, last month, we had again taken an increase because of all the rupee devaluation and so on and so forth.

So, the trend is certainly on an upward trajectory, but the only saving grace was that, that reduction in GST, which was tantamount to a 7.8% on selling price, 10% reduction is equal to 7.8% on MOP. That was a welcome thing. Otherwise, the entire affordability thing would have really led to a contraction of demand. We are not seeing that at all now.

Moderator: Sorry to interrupt, may we request Mr. Manoj to please rejoin the queue. We have participants waiting for their turn. The next question is from the line of Natasha Jain from Phillip Capital .

Natasha Jain: You mentioned in your press release that March has been the strongest month for you. We understand that there was a lot of inventory pushing in March brought up by the industry itself.

April , at least till mid -April, it wasn't the best of season in terms of rains.

And now you mentioned that secondaries have picked up very well. But against that, what at least we are seeing is that primaries are still soft. And in terms of the price hike also, what I've understood is the newer price -hiked inventory is probably still not passed on to the trades.

Volta Limited

May 14, 2026

Page 12 of 18

So, on that backdrop, how do you see margins in this quarter, given this is the most important quarter? And any cost escalation from here, do you think that may dent the demand itself for thi

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season? Thank you, sir.

Mukundan Menon: So, Natasha, you said it right. What happened , if you recall, in the month of December, the channel had stocked up heavily on the old table and that had taken the December -- the January and the February sales were a little mellowed.

March was a superb month. It was a record high in our entire history. So , we hit a very high number. And April also, we have almost done very close to that number. So , April has also been extremely buoyant. May is also looking good. In any kind of a price increase with the channel, the first tendency of the channel is to hold back on the purchase, assuming that things will come down.

But when the secondaries start picking up and then they feel that there is a likely shortage, the secondaries start picking up. So , we are seeing a similar trend in the month of May also. The higher -priced products have now started getting absorbed by the channel. And we feel that this quarter will be a very good quarter, Natasha.

Moderator: Sorry to interrupt. May we request Ms. Natasha Jain to please rejoin the queue. Thank you. The next question is from the line of Umang Mehta from Kotak Securities.

Umang Mehta: My question was again on margins. So , from what we understand, fourth quarter would have seen some old cost inventory, right? The bulk of the cost inflation, which we've seen will likely hit you in Q1. So, in that context, I would like to know what was the impact of these FX losses, which is around INR 55 crores in the second half, how much of it hit you in fourth quarter?

How much was the incremental spend on marketing or brand ambassadors that you called out?

And the price hikes that you've taken, what conviction do we have of seeing margins improve from here going forward? Thank you.

K. V. Sridhar: On the spend part , sorry first on the old inventory, new inventory for Q4, as you know, we had opportunities to continue sort of selling the old inventory during the first half. So, we sort of consumed pretty much the entire older inventory by around the first 4 to 6 weeks of the quarter.

And after that is when we started selling the new inventory. You are right in terms of cost.

Obviously, the mix was there between the old and new during the quarter. So, it was not entirely new table only during the quarter. So, you're right from that angle.

As far as the impact I think I've elaborated, the fact that we have had a few rounds of corrections that has happened in terms of some of the inflationary pressures that took place even before the crisis that we had in the Middle East, even then some of the commodity price increases were there, and it got sort of compounded because of subsequent increases and the currency devaluation during March.

Volta Limited

May 14, 2026

Page 13 of 18

So, there were multiple things that have sort of happened, which impacted the margins for the quarter. This we are progressively passing on, as Mr. Menon mentioned, in terms of the price increases and it is sort of settling down . I think that is where we are at this point of time.

In terms of the marketing, it was sort of managed within the overall marketing pool . It was sort

of comparable to what we have been spending from a marketing side. Obviously, we spent on the brand ambassadors, but nothing sort of out of the ordinary.

Moderator: The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance.

Keyur Pandya: Just one question on the profitability side. So, you mentioned blended 5%, 6% kind of price hike, I believe inflation is much higher. So, I just want to reconcile your statement that you will try to achieve FY25 profitability, is more of aspiration? So how should we see profitability journey for FY27?

Mukundan Menon: So essentially, the blended one of 5% and 10% increase was purely on account of the table change, the new table products. In addition, we

had taken another increase for the commodity prices, which had gone up pre-war also. And now, as our stock of those old materials are getting over, going forward, we are watching the pricing.

The price increase that we are seeing is quite significant, as you have rightly mentioned. And when we as well as all other brands who are in this space have to start using those new commodity prices for the products, I think this will be a pass-through for most of the brands. I do not see a challenge there.

That number can be significantly higher. We don't want to guess that number now because many of the things like the dollar, the plastics, the aluminium, for example, the copper, the gas, all those are moving. Multiple movements are happening. And I completely agree that these numbers are not by any stretch of imagination, a small number. We are seriously talking about double-digit inflation. And it will get passed through as and when the costs start hitting us.

Keyur Pandya: Understood. Just one clarification on that. So, you think that you can go back to FY25 margin in FY27 itself?

Mukundan Menon: This is a progressive movement that we are doing. So compared to those years, which was FY25, I think it will be a gradual step-up. As Sridhar was mentioning, we are very, very clear about the overall quantum of gross margin that we generate and being in a leadership position, we just want to sort of keep that as a goal rather than look at percentage gross margin is probably not driving us. So that is the way it is. The quantum of gross margin is where we are looking at. And from whatever we saw in the last financial year, while the secondary market share is showing a little different picture. We have primary market share data, which shows that between us and the next cluster of 4 brands. After us, there is a gap of 5.1% between us and the next cluster of 4 brands.

Voltas Limited

May 14, 2026

Page 14 of 18

So that's the kind of lead that we have established this year, and that will hold us in good stead in terms of overall margin, profitability and margin quantum maximization. That's the way we see it, yes.

Moderator: Sorry to interrupt. May we request Mr. Keyur to please rejoin the queue. We have participants waiting for their turn. Thank you. The next question is from the line of Aditya Bhartia from Investec.

Aditya Bhartia: Just one part again, harping on this cost inflation point. Has the increased costs related to war started hitting us? Or do you think that they'll start impacting us in some time? And have we taken any further price increase in response to that? Or do you think that first quarter margins can dip significantly before we start taking those price increases? And just a related question. In this quarter, we have seen unallocated costs going up very sharply, so what could be the reason for that?

K. V. Sridhar: Aditya, so the first part of the question. So, this quarter, I think it will be a mix of the costs, some of the costs, the pre-war vis-a-vis the post, again, for a different reason, it will also be a mix. So, it will be sort of progressive. As Mr. Menon mentioned, we have passed on certain price increases, and we are monitoring the price situation also very actively, and we will be open to sort of pass on any further price increases that need to be done.

As mentioned, our intent is to progressively work on the top line and the margin profile. It will be a progressive improvement. We are not expecting any sharp downturn in terms of the margin profile for the quarter. Yes. Sorry, the second question was on the unallocated. Okay, one of the reasons is the forex impact and the mark-to-market from the treasury angle.

Moderator: The next question is from the line of Renu Baid Pugalía from IIFL Capital.

Renu Baid Pugalía: Just a couple of clarifications. Will it be possible for you to quantify the exact price action that

you have taken? That 7%, 8% plus a couple of price hike, 1% to 2% in the second round? And what is the gap in terms of -- you mentioned double-digit price hike could be expected to fill up this gap.

So, a, if you can quantify these numbers? Second, can you share what was the volume for RAC

for us for fiscal '26? And lastly, can you share with us what is the broad mix of the MEP order book between domestic and international?

Mukundan Menon: Yes. Thank you, Renu. So, the first one about the price actions that we have taken. I mentioned about the new table we have taken, 5% for the 3 -star, 10% for the 5 -star. And then we have topped it up with a 2% to 3% increase on account of the copper pricing . Overall, this has been the increase.

The next round of increase will depend on how the overall prices stabilize . So, it depends on how the war situation goes and how the rupee -dollar movement evolves . So, we are watching it almost on a weekly basis. So , at this point in time, it looks, as I said, double -digit numbers, but for us, it will all depend on how the situation goes.

Voltas Limited

May 14, 2026

Page 15 of 18

And it also depends on how soon the current stocks of our commodities and material is that we have runs out. So based on that, we will have to take price action. So difficult to say a number at this point in time. We'll have to purely go by how the material costs start hitting us and progressively it will get passed through.

On the second thing, on the volume, we have done 2.25 million units last year, this is what I said, there's a gap of roughly 5.1% between us and the nearest bunch of 4 competitors. All of them are within 10,000 machines of each other, but the lead is becoming increasingly large between us and the number 2 group. So that is on the volume.

Order book between international and domestic is INR 6,200 crores. And it's a very healthy order book that we have. And with a very prudently selected order mix, which will deliver very robust profitability to us going forward.

Moderator: The next question is from the line of Akshen Thakkar from Fidelity.

Akshen Thakkar: I have a couple of questions on the....

Moderator: I'm sorry to interrupt you, Mr. Thakkar, we are unable to hear you clearly, sir.

Akshen Thakkar: Is this better?

Moderator: Yes, please go ahead.

Mukundan Menon: Yes, much better.

Akshen Thakkar: Sorry. On the Electro -Mechanical Projects business, could you just help us understand in the international or domestic businesses, have you had any clients call out force majeure? That was question one.

And question 2 was, historically, we've seen some margin volatility when material prices go up. Any read-through from the past cycles where you saw metal prices move up as sharply as that did. Two questions on that, and I had one more on UCP, which I'll follow up after.

Mukundan Menon: Mr. Thakkar, first one was Electro -Mechanical projects, I understood what your question is. The second one is on what? I didn't get it.

Akshen Thakkar: So first one was on force majeure . And the second one was what happens to margins in that segment because you have bid -level margins and then commodities have been volatile. So do you expect volatility in the margins in the project business as well?

Mukundan Menon: Yes. So essentially, we have not had any client even internationally or domestic have any force majeure applied. So, there is nothing of that sort. For a short period in Qatar, the contractors were given the opportunity for using force majeure , which got revoked. So, nobody has used it. And we have not been affected in any way. As far as domestic, of course, nothing of that sort has happened.

Voltas Limited

May 14, 2026

Page 16 of 18

And we do not see any impact on the margins for the MEP segment because one is almost like 40% to 50% of our project MEP order book in India, and some of them even in

international has

got a proper price variation clause. So, any variation in terms of commodities, materials as well as for labour , is a pass -through thing. So, we do not see that impacting in any which way. So that's in a very safe zone. There's nothing to worry on that.

Akshen Thakkar: Excellent. One last question from my side. On the Unitary Product business, you've been kind to share the kind of price hikes that have been taken. And you did mention that you don't see impact on margins. But the problem for us as investors right now is to gauge what is the level of margins from which you are making that commentary? Because normative margins have been maybe 8%, 8.5%. This year's margins have been 3.5%. So, when you say you don't expect margin pressure, what is the level from which you are making that commentary?

Mukundan Menon: Yes. So Mr. Thakkar, the thing, as I had said, the overall margin percentage profile will gradually

inch up towards what we said is that number of FY25 . How many quarters it takes, it depends on the overall market demand .

If you step back a year for a minute and then see what got us to that high margin profile, was the demand. What caused the pain in terms of the reduction in the margin profile was again demand. The first one was high demand. The second one was poor demand.

Now this is one of the most important factors. So , to my mind, the commodity volatility, the changes in the prices for all these things will generally get passed through by all brands, including us. What will really affect is the demand.

Now if the war continues and if there is an inflationary trend and the affordability of this product, there is a contraction in demand, margins will take much longer for us to inch up. But if there is the impact of the summer, then the affordability is not very badly affected. And the third most important variable between brands is who's got stocks to be able to service the channel partners. So, the first two is an equalizer for everybody. The third one, we seem to be in a much better place since we are much better prepared in terms of our inventory to take care of the peaking in demand. So, we seem to be at least a few steps ahead of most of the competitors, and that will play a positive role in that inching up as and when it happens. But it's a pure demand -supply issue. So , we'll have to play it by that.

Moderator: The next question is from the line of Siddhartha Bera from Nomura.

Siddhartha Bera : First is on the AC volumes. So how much was the volume for the entire year in FY26 , if you can highlight? And what are you thinking about the next year? And in terms of the CR and CAC, if you can also highlight the contribution for this quarter. And we had talked about some challenges in the CR side as well in the past. So , has that sort of achieved the normal margin levels? Or do you think it will take a bit more to improve there?

Mukundan Menon: Yes. So, Siddharth, the last year, actually, the overall industry had a difficult year. So, I think the industry saw a degrowth of something like 10%, 12% is what the best guess is. Last year, Voltas Limited
May 14, 2026

Page 17 of 18

the primary sales of all brands put together was 14.3 million units, actually, that was the total number.

And this includes all the brands, the 60 brands . Around 12 of them are big brands and the rest of it is a bunch of other brands. Now projection for going forward, this will certainly expect it to grow at least 15% to 20% is what we feel because the last year base was a little weak. So that's on the room AC.

As far as the commercial refrigeration was concerned, last year, the industry has seen a degrowth of roughly 5%. Siddharth, if you know the commercial refrigeration is also a product which is a high impact on the intensity of the summer.

For example, the product like deep freezers has got a direct relevance to the heat because t

he ice

cream freezer demand starts peaking when the temperatures are high, and it reduces when the temperatures are not as good. So even the OEMs, the big Amul, the Vadilal, the Havmors of the world, the Arun Icecreams, all of them stop buying freezers when they see the season is not going too well.

Same is the case with Visi Coolers. Visi Coolers is the beverage cooler, which we give to all for storing of beverages. And there, again, there is a direct linkage to the summer. So, both these categories saw a major dip last year, and that was because of the unseasonal rains. So here, again, it is a pure function of summer. If the summer is strong, and this year, we are seeing a good summer. So, this category also is likely to grow upwards of 10% at least, if not more.

Commercial air conditioner is another category which has no relevance to the intensity of the summer. It's purely a B2B business, driven by the air conditioning requirement of offices, restaurants, whether it's health clubs, spas, boutiques, all these kinds of things . And then, of course, there is a big segment which is coming up for the commercial AC is the manufacturing sector, which is growing very rapidly in India.

So, a lot of manufacturing play is coming in where we are getting a lot of inquiries for the manufacturing thing. So, this is another category which the industry will grow by at least 12% to 15%. And we are as a brand are underleveraged in this, and we see a huge headroom for us to grow, and we are working on that.

So whatever our CFO, Mr. K.V. Sridhar said is capex requirements judiciously, which we put in, quite a lot of that is going into the commercial air conditioning, where we see a huge headroom for us to grow because the kind of traction that we are seeing in this space and the fact that we are under -leverage d in this is going to be the next growth engine for Voltas in addition to our core strength of the room air conditioners and commercial refrigeration.

Moderator: The next question is from the line of Praveen Sahay from Prabhudas Lilladher.

Praveen Sahay : A few data points required, sir. The first is how is the channel inventory in the RAC right now,

if in terms of months or days, you can give. Secondly, on the order book in the project, which is INR 6,200 crores, how much is the domestic contribution? And thirdly, how is the Chennai Voltas Limited
May 14, 2026

Page 18 of 18

facility operating at? Because you had highlighted that the utilization level has improved from previous year. At what level of utilization that's running at?

Mukundan Menon: Yes. Thank you. Quickly to give you, the channel inventory has dropped dramatically. It's less than 45 days now, probably closer to 30 days the way we see it. The order book, INR 6,200 crores, INR 4,500 crores is domestic and the rest of it is international. The Chennai Factory is now built up to a capacity of 1.5 million units, which is roughly 1.2 lakh machines a month is what is happening.

So overall, around 14 lakh to 15 lakh is what we are doing. We have increased the capacity from 1 million last year to 1.5 million during this year so that we can meet the demand. And we will wait for another 1-2 years more before we do our next investment. We've built this factory for 2 million, all that we must do, a small capex to increase the capacity from 1.5 million to 2 million. So, we're almost ready for that. And once the demand trajectory is visible, we will do that third round of investment. Right now, it is delivering 1.2 lakh units a month average on an annual basis, roughly around 1.5 million.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question for today. I now hand the conference over to management for closing comments.

K. V. Sridhar: Thank you. Thanks for all your questions and the discussion. Just to summarize, as Voltas moves forward, the company remains enco

uraged by the strong momentum across its businesses and significant opportunities emerging across cooling, home appliances, engineering products and projects.

Voltas has completed a structural transformation exercise across business verticals, product portfolio, channel expansion, cost optimization, supply chain and business processes, which should help Voltas to strengthen its leadership in the cooling segment while steadily evolving into a scaled future-ready home appliances and engineering solutions enterprise. Thank you all for the discussion. Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.